wapic

A subsidiary of Access Bank Plc

Wapic Insurance Plc
Annual Report and Accounts 2012

Sustainable leadership

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Our people are at the heart of our business and we have a strong commitment to diversity

About Us

Wapic provides a full suite of insurance products and services covering life, general and special risk. We were founded in 1958 and are licensed to underwrite all classes of insurance.

Over five decades, Wapic has gained relevant experience across the Nigerian economy in risk management and underwriting, assisting corporations and individuals with various classes of cover. The Company has two wholly-owned subsidiaries: Wapic Life Assurance Limited, which operates in Nigeria; and Wapic Insurance (Ghana) Limited, which operates in Ghana.

To help strengthen the Company's repositioning and restructuring programme, Wapic completed a merger with Intercontinental Properties Limited in 2012. This has significantly enhanced Wapic's underwriting capacity and placed it among the top five insurance companies in Nigeria.

The Company seeks to be a truly diversified financial services institution that provides protection against all forms of insurable risks to all customer segments. Wapic aims to become one of the top 20 financial services institutions in Nigeria by 2017.

Wapic has been listed on the Nigerian Stock Exchange since 1978.

Corporate Philosophy

Our vision

To be the most respected insurance company in Africa.

Our mission

Setting standards for sustainable business practices that unleash the talents of our employees, deliver superior value to our customers and provide innovative solutions for the markets and communities we serve.

Our core values

- Leadership
- Excellence
- Empowered employees
- Professionalism
- Passion for customers
- Innovation

Group Strategy

Access Bank's acquisition of Intercontinental Properties created a need for a new direction for the insurance company. The Wapic Board and management unanimously agreed to appoint a global management consulting firm to help develop a corporate strategy for the new company.

Our Corporate Aspirations are:

"To build a truly diversified financial services institution that provides protection against all forms of insurable risks to all customer segments"

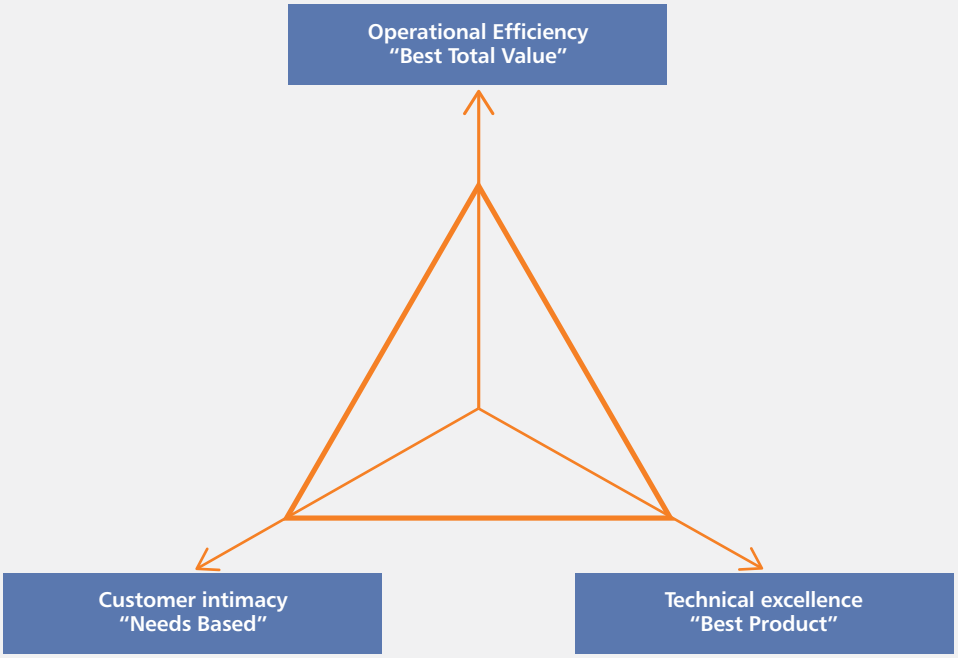
AND

"To become one of the top twenty financial services institutions in Nigeria by 2017"

To achieve this we have identified the following six strategic imperatives as key enablers of our future success:

- Executing a business model that provides competitive differentiation;
- Ensuring full alignment of our operating model to our business model and corporate strategy;
- Building or acquiring specific core insurance capabilities that provide competitive advantage;
- Achieving superiority in human capital;
- Adopting industry leading governance standards and building robust enterprise support capabilities; and
- Executing superior strategic partnerships and alliances.

Levers of Performance



We are focused on providing tailored value propositions and services to our target customers

Wapic Group's future direction requires a balanced approach to delivering a value-led and tailored customer experience for the corporate and targeted retail segments.

The corporate strategy has three components:

1. **Operational efficiency** – Focus on cost management to maximise returns
2. **Customer intimacy** – Focus on understanding and responding to customer needs to drive profitable growth
3. **Technical excellence** – Focus on excellence in risk selection and pricing to maximise returns

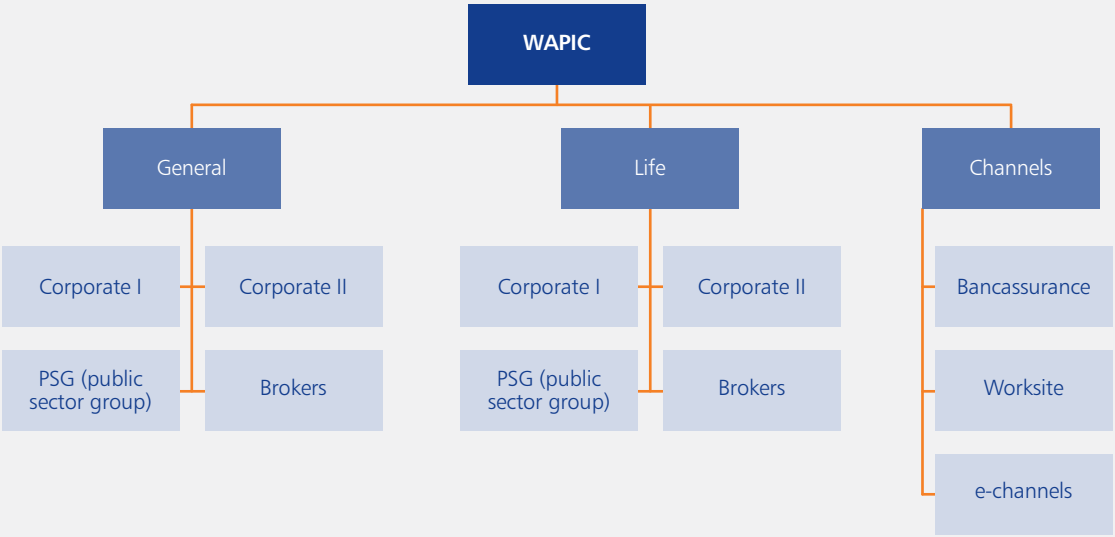
There are five axes for Wapic Group's desired strategic positioning for the period 2012 to 2017:

1. **Target markets:** Clear alignment of choice of target markets to corporate vision and strategic aspirations;
2. **Target customer segments:** Deliberate choice of target customer segments with due consideration of resources/time required to ramp up relevant capabilities;
3. **Product/channel prioritisation:** Effective alignment of product and channel priorities with the value proposition to respective target customer segments;
4. **Service delivery/claims fulfilment:** Effective alignment of investment in service delivery capabilities with the target customer segments and the product/channel strategy; and
5. **Value chain optimisation:** Targeted investment in core and enterprise capabilities to achieve long-term differentiation and competitive advantage.

Following a strategy transformation project carried out by Accenture, Wapic was restructured along eight different business lines. These created a matrix comprising two broad business areas – General and Life – and a mix of target customers, target markets and products.

1. **General**
   a. Corporate I
      i. Telecoms
      ii. Manufacturing
      iii. Financial Institutions
   b. Corporate II
      i. Cement & Construction
      ii. Transport
      iii. Oil downstream
      iv. Oil upstream
   c. PSG (public sector group)
   d. Brokers
2. **Life**
   a. Corporate I
      i. Telecoms
      ii. Manufacturing
      iii. Financial Institutions
   b. Corporate II
      i. Cement & Construction
      ii. Transport
      iii. Oil and Gas
   c. PSG (public sector group)
   d. Brokers

Operating Model



Chairman's Statement

Distinguished Shareholders, it is with great pleasure that I welcome you to the 54th Annual General Meeting of your Company.

Aigboje Aig-Imoukhuede
Chairman

I will be presenting to you a brief review of major developments that have taken place in the global economy as well as the summary of the Group's performance for the financial year ended 31 December 2012.

The global economy in 2012 continued to be affected by the residual negative affects of the 2009 financial crisis. Fears of recession remain prevalent in the Eurozone with a rash of sovereign rating downgrades across the region. It is clear that the interventions by leading Euro countries have thus far not fully resolved their respective economic challenges. Emerging markets and developing markets, just as in 2011, continue to outperform the global economic growth benchmarks. The Nigerian economy grew by 6.68% and it is expected that this growth momentum will be sustained in 2013 on the back of high crude oil prices.

Growth opportunities

As reported to you in last year's statement, the Board and Management of your Company took the opportunity of Access Bank's divestment from non-banking businesses to complete a business combination with Intercontinental Properties Ltd.
I am delighted to inform you that with your approval and fulfilment of all other necessary conditions, we finalised the legal merger of your Company and Intercontinental Properties Ltd in January 2013. We have completed the integration of the people, products and processes of the two companies thus cementing our position as a leader in the Nigerian insurance industry and giving us a sustainable market-leading platform to achieve our future aspirations.

Financial performance

The Group recorded a profit before tax of N552 million for the period ended 31 December 2012. Total assets also grew by 6% to N12.9 billion from N11.9 billion in 2011. Similarly, our investment income grew by 60% to N1.35 billion against a position of N850 million in 2011.

Board of Directors

We are pleased to announce the appointment of Mrs Titi Osuntoki, Mr Bababode Osunkoya and Alhaji Adamu Atta as Non-Executive Directors during the period under review. All three individuals are seasoned professionals who possess significant board-level experience that will complement the expertise of your Board of Directors. Mrs Osuntoki's appointment strengthens the diversity of our Board, increasing the proportional representation of female Board members to 18%. We welcome the new members to the Board and look forward to their contributions over the coming years.

The year under review marked the final year of service of Mr Obinna Nwosu, Alhaji Isyaku Umar and Mr Iheanacho Ugochukwu as members of your Board of Directors. These distinguished individuals have served with great merit and were pillars of support to your Company in its quest for excellence. We will miss their contributions to the Board of Directors but remain confident that they will continue to support Wapic Insurance as significant Shareholders and major customers.

Corporate governance

In line with normal practice, our Annual Report contains detailed disclosures on issues of corporate governance. However, I would like to highlight the tremendous progress we have recorded in achieving compliance with the Securities & Exchange Commission's Code of Corporate Governance which came into effect in April 2011. This is in addition to our already high level of compliance with the rules and regulations of the National Insurance Commission (NAICOM), the Nigerian insurance industry regulator.

Conclusion

My sincere appreciation goes to our Shareholders, customers, employees and other Stakeholders for their continued support throughout the process of our business re-engineering. With your continued trust and confidence in us, we look forward with great excitement to even better performance in the years ahead and increased returns for all Stakeholders.

God bless.

Aigboje Aig-Imoukhuede, CON
Chairman

Managing Director's Statement

The year under review, as was the case in other years, had its share of challenges. Nevertheless, your Company delivered a positive and resilient financial performance.

Segun Balogun
Managing Director

We have repositioned our business for transformation and have made good progress, moving from a ranking of 12th position in 2011 within the Nigerian insurance sector to our current status as a "top 5" insurance company in Nigeria as measured by Shareholders' funds and assets. The transformation of your Company owes much to the tremendous support of our loyal Shareholders, our customers, the insurance industry regulators and other Stakeholders.

We took bold steps in 2012 to secure our Company's future and are determined to re-shape Wapic and build a truly world-class institution. We began by investing in developing a new business strategy. This in turn led to new investments in people, processes and technology, and subsequently to a redesigned customer service capability.

We are grateful that we are already reaping the dividends of all the hard work of our teams over the past financial year. After nearly four years of dealing with a challenging market, Wapic is now proudly taking its place within the wider community of high-performance companies. Despite the high operating expenses incurred given the various corporate actions your Company had embarked upon, your Company still turned in a profit.

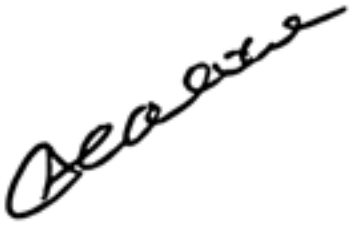
We have also taken many measures to bolster your Company's performance and position ourselves for industry leadership. We fine-tuned our Enterprise Risk Management Framework to global standards and transformed our human resources systems with the aim of becoming Africa's employer of choice.

The crash of Dana Air flight 992 on 3 June 2012 demonstrated to the public that the local insurance industry can rise to the occasion to soften the blow that is associated with this kind of devastating event. Looking ahead, our goal is to extend the confidence the market has shown in the insurance industry. Our aim is to ensure that the insurance sector and the community in general fully understands that Wapic is in the business of keeping faith with the insured when a peril occurs. For us this is not an abstract idea; it is the essence of our existence. We will continue to introduce structures that will strengthen the confidence in Wapic that has been shown by the market and the community in which we operate.

The reward for success, they say, is more hard work. Thus, 2013 will see us leveraging our ability to deliver exceptional customer service and innovative strategies to expand our customer base. Our vision, mission and values remain the cornerstone of the Wapic way and will continue to reflect the fact that we have a sharp business focus and the ability to grow sustainably. Our sincere belief is that these aspirations will only be achieved with the support of our Shareholders and the investing public, NAICOM, the NIA, our management and staff, and our Board of Directors.

To achieve this, we shall continue to introduce structures that will further strengthen stakeholder confidence in your Company.

Finally, we thank you for your support, patience and valued patronage.



Segun Balogun
Managing Director
Wapic Insurance Plc

At a glance

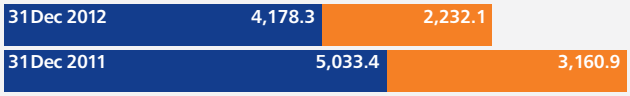
Group key performance indicators

Wapic Group and Company

Wapic Group Wapic Company

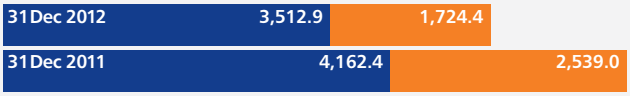
Gross premiums written (N'000)

Wapic Group: –17%
Wapic Company: –29%



Net premium income (N'000)

Wapic Group: –16%
Wapic Company: –32%

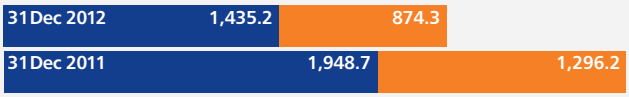


Net claims expense (N'000)

Wapic Group: +13%
Wapic Company: –16%

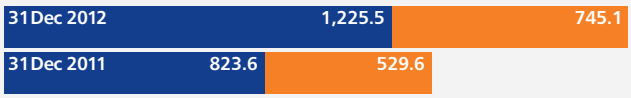
Underwriting profit (N'000)

Wapic Group: –26%
Wapic Company: –33%



Investment income (N'000)

Wapic Group: +49%
Wapic Company: +41%

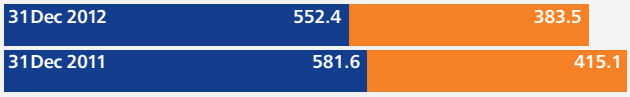


Operating expenses (N'000)

Wapic Group: +1%
Wapic Company: –9%

Profit before tax (N'000)

Wapic Group: –5%
Wapic Company: –8%



Earnings per share (kobo)

Wapic Group: +14%
Wapic Company: –17%

Wapic General provides insurance covering all forms of personal and business risk. In particular, the classes of insurance covered are motor, general accident, engineering, aviation and marine, fire, special risk as well as oil and gas.

Following the acquisition of the Group by Access Bank, there has been a change of direction with emphasis on delivering value to customers, and building sustainable relationships.

Performance highlights

In the year under review, we experienced major challenges which led to a decrease in profit relative to 2011. However, thanks to major restructuring during the year, there was growth in total assets, an increase in the efficiency of the investment portfolio as evidenced in the significant growth in investment income, and a net realisable gain on financial assets compared to the previous financial year.

At a glance, summary of group results

Wapic Group

Total assets (N'000) +6.15%

Dec 2012	12,678,755
Dec 2011	11,944,623

Total liabilities (N'000) +8.28%

Dec 2012	5,055,278
Dec 2011	4,668,500

Gross earnings (N'000) –5.48%

Dec 2012	5,471,852
Dec 2011	5,789,205

Profit before tax (N'000) –5.05%

Dec 2012	552,285
Dec 2011	581,644

Wapic General

Total assets (N'000) +3.75%

Dec 2012	9,935,562
Dec 2011	9,576,022

Total liabilities (N'000) +6.15%

Dec 2012	2,205,779
Dec 2011	2,077,981

Gross earnings (N'000) –18%

Dec 2012	3,071,528
Dec 2011	3,750,762

Profit before tax (N'000) –7.63%

Dec 2012	383,460
Dec 2011	415,125

Wapic Life

Total assets (N'000) +11.36%

Dec 2012	4,346,184
Dec 2011	3,902,712

Total liabilities (N'000) +7.85%

Dec 2012	1,913,312
Dec 2011	1,773,988

Gross earnings (N'000) +20%

Dec 2012	1,531,664
Dec 2011	1,277,531

Profit before tax (N'000) +7.05%

Dec 2012	128,827
Dec 2011	120,341

Performance highlights

Wapic Life is a wholly owned subsidiary, whose principal business is the provision of life assurance services. In the year under review the life business significantly grew its client base and portfolio. The Company made a positive contribution with a 7% increase in profit before tax as compared to the year 2011 and a growth in gross earnings of about 20%. The Company performance was driven by passion for the customer, dedication to customer needs, and delivering value via every facet of our services. In 2012, there was a significant 42% increase in claims compared to 2011.

Wapic Ghana

Total assets (N'000) +13.26%

Dec 2012	1,159,992
Dec 2011	1,024,147

Total liabilities (N'000) +36%

Dec 2012	950,374
Dec 2011	696,933

Gross earnings (N'000) +14.16%

Dec 2012	868,660
Dec 2011	760,912

Profit before tax (N'000) –13.1%

Dec 2012	40,098
Dec 2011	46,178

Performance highlights

Wapic Ghana is a foreign subsidiary wholly owned by Wapic Group. The business is gradually building a reputation of excellent service and reliability in Ghana. It made a positive contribution to the Group in 2012, although this was 13% lower than the previous year. Total assets grew by about 13%. With a vision of building on existing relationships and creating solid future alliances, Wapic Ghana is poised to strengthen its position in the insurance industry in Ghana.

Management team

Executive Management

S/No	First name	Surname	Department
1	Segun	Balogun	Managing Director
2	David	Aluko	Deputy Managing Director
3	Richard	Adewole	Executive Director, Finance
4	Folusho	Alliyu	Executive Director, Technical

Deputy General Manager

S/No	First name	Surname	Department
5	Enevo	Onomivbori	Group Head, Corporate I

Assistant General Managers

S/No	First name	Surname	Department
6	Paul	Aja	Group Head, Underwriting
7	Olumuyiwa	Anwoju	Group Head, Brokers Market
8	Tunde	Lawuyi	Group Head, Direct Channels

Controllers

S/No	First name	Surname	Department
9	Adedayo	Arowojolu	Head, Corporate II
11	Olusola	Soetan	Head, Facilities & Admin

Senior Managers

S/No	First name	Surname	Department
12	Felicia	David	Head, Claims
13	Adeyinka	Falade	Head, Public Sector

Our People, Culture and Diversity

Our employees are at the heart of our achievements and this is why we have a team of skilled, appropriately motivated and well-led personnel, focused on achieving clearly defined performance outcomes.

Our well-defined human resources strategy empowers us to build an environment that fosters learning and creativity while maximising the potential of our people. Our strong commitment to diversity and inclusiveness reinforces our superiority.

Career development

Our learning and development environment seeks to give every employee the opportunity to reach their maximum potential. We are dedicated to continuous and consistent career development at all levels and across all functions.

Learning is synonymous with the Wapic Way. During their careers, our employees develop valuable skills, gain industry insight, learn from colleagues and contribute to a dynamic and sustainable working environment.

In terms of capacity building and employee development, our principal strategy is to use learning and development as a catalyst to transform our employees into world-class performers.

Our Learning Management System provides a common framework focused on creating motivated, skilled and empowered employees. We provide our employees with a credible platform to acquire the skills and capabilities they need for superior performance. We employ the blended learning approach so that our employees have several ways in which they can acquire the knowledge and expertise required to transform Wapic into a world-class insurance institution. To ensure continued and sustained competence at all levels, Wapic conducts periodic tests for its employees.

Our Entry Level Graduates are enrolled in a three-month intensive training programme that grooms them for the career journey ahead. The Entry Level Training Programme (ELTP) held at the Wapic Graduate Training School (WGTS) is conducted by experienced and qualified facilitators.

The WGTS was established in 2012 and in its first year produced 50 highly skilled executive trainees each with the potential to take on important senior management roles within Wapic in future years and make a robust contribution to our business.

Diversity and inclusiveness

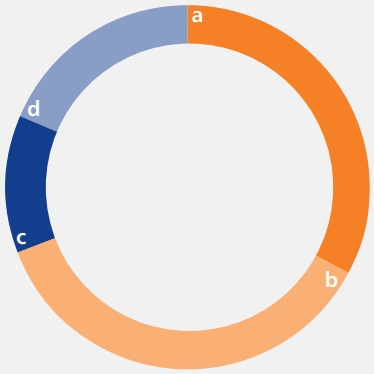
We believe diversity and inclusiveness are powerful drivers of our competitive edge. Our diverse workforce enables us to develop a deeper understanding of our customers' needs and address them in an insightful manner. The Company is determined to create an inclusive work environment as a means to motivating employees and helping them achieve their career aspirations.

By pursuing diversity, we gain access to the widest talent pools which, in turn, is conducive to achieving our business targets. Therefore, we strive in everything we do to create a culture that embraces differences and celebrates unique ideas, perspectives and experiences. The wide range of nationalities in our workforce of over 240 professionals, for example, illustrates one of many ways in which the Company is implementing its commitment to diversity.

At Wapic Insurance, we believe diversity and inclusion is more than a moral obligation or a societal goal; we see it as a business imperative that drives our ability to attract and develop the best talent, create an engaged workforce, and deliver world-class insurance services. Diversity and inclusion are fundamental components of our long-term growth strategy.

Our Diversity Scorecard in 2012:

Our female workforce constitutes:
(a) 30% of total employees
(b) 33% of our Management positions
(c) 11.1% of top Management positions
(d) 16.67% of our Board positions



Reinsurance

We use reinsurance companies with sound long-term corporate credit ratings

Wapic Insurance Plc maintains a range of reinsurance treaty agreements with six reinsurance companies, both foreign and local, as follows:

1. Munich Re (AA+)
2. African Reinsurance Corporation (A)
3. Ghana Reinsurance Company (B+)
4. WAICA Reinsurance Corporation
5. Continental Reinsurance (B+)
6. Nigeria Reinsurance Corporation

The Company uses reinsurance companies with sound long-term corporate credit ratings for its reinsurance requirements. Munich Re is our leading foreign reinsurer. We have worked with this globally renowned and financially strong reinsurance brand for more than 15 years. Munich Re is based in Germany and has offices in several sub-Saharan countries including South Africa, Mauritius and Ghana. African Reinsurance Corporation is our leading local reinsurance treaty partner.

Treaty arrangements for fire and engineering:

Munich	**50.0%**
African Reinsurance	**50.0%**
	100.0%

Local treaty arrangements for general accident, marine cargo, marine hull, bond, motor insurance:

African Reinsurance	**65.0%**
Ghana Reinsurance	**2.5%**
Waica Reinsurance	**2.5%**
Continental Reinsurance	**20.0%**
Nigeria Reinsurance	**10.0%**
	100.0%

Underwriting

The Underwriting is continuing its relentless work in improving the Wapic customer experience

The Underwriting mirrors the Company's overall repositioning initiatives to provide better services to customers.

Our core responsibility is to process customer requirements for our products. These requirements include preparation of quotations, processing of policy details as well as determining terms and conditions under which a particular risk can be underwritten by the Company. The Underwriting Group has a highly experienced and dedicated workforce that employs the latest technology to fulfil its responsibilities.

The Group works closely with the marketing team and policy fulfilment unit to ensure our customers experience fast and high quality services at all times. The Group was restructured during the year into a set of teams that focus on serving a specific segment of the market. This initiative has strengthened our ability to transact business. The Brokers Team is responsible for servicing all business emanating from the broker distribution channel. Corporate Team 1 and Corporate Team 2 are dedicated to servicing our highly valued corporate clients. These are complemented by the Public Sector Team, the Branches Team; and the Group Life Team and Individual Life Team. Each of these teams is manned by seasoned and experienced insurance professionals. Together, they ensure we achieve maximum efficiency and the fastest possible response time to customer requirements.

Our goal with regard to specific documents such as Motor Insurance Certificates, Marine Insurance Certificates as well as other policy documents is to deliver these within 24 hours of the customer's request. To help us meet this fast turnaround time, we have deployed the internationally acclaimed Premia insurance software as well as other IT tools that have significantly streamlined our operations.

As one of the major players in the Nigerian insurance industry, Wapic is actively partnering with the National Insurance Commission (NAICOM), the Nigerian insurance industry regulator, in the implementation of the "no premium no cover directive", which commenced 1 January 2013. The Underwriting is Wapic's interface with this initiative, which we believe will go a long way to resolving the high level of receivables historically seen within the insurance industry.

We are also partnering with the Nigerian Financial Intelligence Unit (NFIU) through NAICOM in the implementation of the "Know your Customer initiative" (KYC) which seeks to address the issues of fraud and money laundering.

The Underwriting is continuing its relentless work in improving the Wapic customer experience while enhancing the Company's ability to manage risks, deliver superior value, and enhance operational efficiency across the entire organisation.

Information Technology

We continue to align the future of our IT organisation with Wapic's vision

From an IT perspective, 2012 was a year of transformation as Wapic pursued a range of new opportunities. During the year, the Information Technology Group once again responded quickly to changes in the business environment. Our technology solutions and systems of engagement across all of Wapic's businesses strongly influenced decision making. More than ever, IT is poised to advance our company's competitive advantage. Our mission is to "Grow Wapic business through information technology".

We continue to align the future of our IT organisation with Wapic's vision: "to be the most respected insurance company in Africa". We are focused on achieving three objectives: delivering operational excellence, achieving business objectives, and transforming Wapic through insight and innovation.

Growing business through IT

Wapic's operations continued during the year to change at a rapid pace by diversifying into new markets, service offerings and products. To help Wapic respond to these needs, the Information Technology Group partnered with business units throughout the Group to develop innovative tools, services, and support that address the technology requirements for success. From increasing productivity and insight across the sales pipeline to supporting the launch of new products, we once again played a key role in accelerating Wapic's growth.

Business efficiency

Wapic is entering several new markets that present challenging demands, including shorter product design cycles and time to market. Working closely with Wapic business units, we deliver systems and automation to accelerate product development, improve efficiency, and streamline business processes.

Embracing mobility

We continued during the year to embrace the consumerisation of IT to boost employee productivity, providing employees greater choice in computing devices and applications. Mobile applications are a major component of our strategy. We delivered a number of business applications during the year. Our goal is to provide a seamless, secure experience for our employees across a wide spectrum of devices by putting user experience first.

Building the socially enabled enterprise

Wapic is embracing social media as a strategic capability. We use it to build relationships with customers and other audiences, and to encourage the free flow of information within the company. To help Wapic achieve the maximum benefit from its social computing, we invest in innovative social media services, tools, and support with the aim of increasing collaboration and idea-sharing internally and externally worldwide.

Protecting Wapic

The quantity and sophistication of threats continue to increase due in large part to the rapid growth of social media, cloud computing, IT consumerisation, and mobile technology. We focus very carefully on information risk and, through implementation of our "Protect to Enable" security strategy, we are helping Wapic meet its goals of providing increased protection while supporting the flow of information and the adoption of new technologies. The full scope of our protection strategy includes enterprise risk, safeguarding privacy, systems availability, and regulatory compliance. We made good progress in all these areas during the year under review.

Better service at a lower cost

The Information Technology Group is constantly seeking ways to improve services while reducing operational costs. By completing our transition to a service-based model, we made major progress in 2012 in driving down costs while improving internal customer service. We also maintained our focus on driving efficiencies in our data centres through improvements that deliver the greatest gains in quality, speed, efficiency and capacity.

Claims Settlement

We aim to surpass the market average in service delivery and turnaround time

The Claims Department fulfils the contractual obligation Wapic Insurance has to its customers in the event the risk insured crystallises.

Prior to 2012, the Company operated a central claims processing unit whereby a single individual was responsible for all stages of the claims settlement operation. This process resulted in an unsatisfactory turnaround time which meant claimants might make complaints.

We reorganised the process by introducing a number of sub units including Claims Settlement, Claims Remedial and Claims Fulfilment.

Claims Settlement

This unit vested is responsible for promptly attending to claims. As soon as a claim is reported, it is immediately inspected with a view to settling it without delay.

The Claims Settlement Department is supported by dedicated and highly experienced professionals, who have been in the business of settling claims for several years. With this expertise, we can settle genuine claims promptly. This focus on providing high quality service delivery promotes our image to consumers who buy insurance and to the general public and this in turn helps us acquire new business.

Remedial Management Service

As a service-oriented company with a passion for excellence, our remedial management unit is responsible for examining clients' claims immediately after the claims settlement team files a report.

Our service providers, which include professional loss adjusters and engineers, have gained wide experience in a variety of fields in Nigeria and other geographic markets. Their experience plays a key role in our ability to indemnify clients in a professional and equitable manner.

The Claims Remedial Department paid a number of major claims in 2012 running into several millions of Naira.

Looking ahead, this department aims to surpass the market average in service delivery and turnaround time.

Managing Risk for a Sustainable Future

Risk Management

Wapic Insurance Plc has put in place a well-established risk governance and competent risk team. Importantly, the established risk management framework in Wapic has exceeded NAICOM requirements and strives to align with International best practices. The essence is to enhance timely and informed decision taking to maximise opportunities and mitigate potential threats. Wapic has taken pre-emptive actions to ingrain risk culture in every employee and work process, to improve insurance standards, and increase the frequency of risk monitoring.

Risk Management Objectives

The broad risk management objectives of the Company are

- To identify and manage existing and new risks in a planned and co-ordinated manner with minimum disruption and cost;
- To protect against unforeseen losses and ensure stability of earnings;
- To maximise earning potentials and opportunities;
- To maximise share price and shareholder protection, to enhance credit ratings and policyholder, analyst, investor and regulator perception; and
- To develop a risk culture that encourages all staff to identify risks and associated opportunities and to respond to them with cost-effective actions.

The Company's Approach to Risk

Risk is an integral part of Wapic and its subsidiaries business activities, Wapic's overall risk appetite is established in the context of the Company's capital, efficiency, earnings power and business model. Effective risk management is critical to any company for achieving financial soundness.

In Wapic, risk management is integrated and aligned to its organisational structure and business strategy. Our risk management framework and governance structure are intended to provide risks inherent in its business activities and to create a culture of risk awareness and personal responsibility throughout the Company.

Our position at the end of 2012 reflected a sustainable beginning for a sustainable future. The Company has hired an experienced and competent risk team, sustainable risk governance structure is put in place, reduced its exposure to higher-risk assets classes, business activities and unethical business practices. It also has aware-employees that recognise the prominence risk management plays in the fortification of the Company's capital and risk culture.

Wapic has been disciplined in its management of risk. The Company increased its effort on the inter-relationships between risk types and where appropriate more severe standards have been established. It has commenced to internalise the risk stream policy manuals and conduct periodic reviews of risk exposure limits and risk control with a view to position itself against any adverse scenarios.

The Company's risk management architecture is shaped to balance corporate oversight with well-defined risk management functions in line with the "three lines of defence" methodology. This falls into one of three categories, which includes lines of business, governance and control, and corporate audit. The Board of Directors and Management of the Company are not only committed to constantly establishing, implementing and sustaining tested practices in risk management to match those of leading international insurance companies but also possess the right tone at the top. This therefore indicates that an effective commitment to the long-term sustainability of our Company is on course and risk management occupies a significant position of relevance and importance in the Company.

Importantly, the Board of Directors determines Wapic's overall objectives in terms of risk by issuing risk policies. These risk policies define acceptance levels of risk for day-to-day operations as well as the willingness of Wapic to assume risk, weighing them against the expected rewards. The umbrella risk policy is detailed in the Enterprise Risk Management (ERM) Framework, which is a structured approach to identifying opportunities, assessing the risk inherent in these opportunities and actively managing these risks in a cost-effective manner. It is a top-level integrated approach to events identification and analysis for proper assessment, monitoring, and identification of business opportunities. Specific policies are also in place for managing risks in the different core risk areas of underwriting and claims, credit, market and operational risks as well as for other key risks, such as liquidity, strategic and reputational risk.

In keeping abreast with the evolving nature of risk management practice, Wapic's ERM framework is subjected to continuous review to ensure effective and cutting-edge risk management. The review is done in either or both of the following ways: via continuous self-evaluation and monitoring by the risk management and compliance functions in conjunction with internal audit, and through independent evaluation by external auditors and consultants.

The Chief Risk Officer has primary responsibility for risk management and the review of the ERM framework and to provide robust challenge to the management teams based on quantitative and qualitative metrics. All amendments to the Company's ERM Framework require Board approval. The risk management division is responsible for the enforcement of the Company's risk policies by constantly monitoring risk with the aim of identifying and quantifying significant risk exposures and acting upon such exposures as necessity.

Overall, we view risk not only as a threat, but also as a potential opportunity to grow and develop the business within the context of our clearly articulated and Board driven risk appetite. Thus, Wapic approaches risk, capital and value management robustly and believe that our initiatives will position the Company at the leading edge of risk management.

Risk and Capital Drive Value

The quest for value requires us to balance risk assumed against capital required. Thus, we have commenced the analysis involving optimising the upside and minimising the downside on a continuous basis. We assure that this process will add value for our shareholders, provide security to our capital providers and clients, and ensure overall sustainability in our business activities. We embarked to increase our capital to enable us to retain more insurance businesses, as well as to cover the liabilities exposures created.

In exchange for the prospect of earning a return, every business activity in our Group necessitates us to put capital at risk. Leveraging from the Group structure, we have commenced substantial work in determining our risk and capital management framework to focus on taking risks where we:

- Understand the nature of the risks and the range of outcomes under various scenarios;
- Understand the capital required in order to assume these risks; and
- Understand the range of returns on the capital required to back these risks; and attempt to optimise the risk-adjusted rate of return by reducing the range of outcomes and capital required arising from these risks and increasing the certainty of earning an acceptable return.

Our objective of balancing risk, return and capital would lead us to enhance substantially our risk management methodologies, in order to be able to identify threats, uncertainties and opportunities and in turn develop mitigation and management strategies to achieve an optimal outcome.

Value is added for shareholders if our process allows us to demonstrate sustainable risk-adjusted returns in excess of our cost of capital. This process provides security to our capital providers and clients by assuring them that we are not taking on incremental risks which may adversely affect the outcomes we have contracted to deliver to them.

Stress Testing

As part of our core risk management practices, the Company has started to conduct compartmental stress tests on a periodic basis to better understand earnings, capital and liquidity sensitivities to certain economic scenarios, including economic conditions that are more severe than anticipated. These compartmental stress tests provide an understanding of the potential impacts to our risk profile, capital and liquidity. They generate and consider pertinent and plausible scenarios that have the potential to adversely affect our business.

Currently, analysis from such stress scenarios is compiled for and reviewed through the Enterprise Risk Management Committee and serves to inform and be incorporated, along with other core business processes, into decision making by management and the Board. The Company would continue to invest in and improve stress testing capabilities as a core business process.

Our stress testing framework covered the following:

- Contribute to the setting and monitoring of risk appetite;
- Identify key risks to our strategy, financial position and reputation;
- Examine the nature and dynamics of the risk profile and assess the impact of stresses in our profitability and business plans;
- Effective governance processes and systems are in place to co-ordinate and integrate stress testing; and
- Inform senior management; and ensure adherence to regulatory requirements.

Risk Management and the merger process in 2012

The significance of the risks inherent in the acquisition was acknowledged by the Company in the business combination with Intercontinental Properties Limited (IPL) during the year. This necessitated a well-structured and proactive approach to the management of risk in the acquisition process which ensured measures were put in place to minimise exposures to credit, market, underwriting, claims, reputation and operational losses in all phases of the acquisition process.

Risk Management philosophy, culture, appetite and objectives

Risk Management philosophy and culture

Risk management is being ingrained as the core into the operating structure of the Company. We are committed to limit adverse variations in earnings and capital by managing risk exposures within agreed levels of risk appetite. Our risk management approach includes minimising undue concentrations of exposure, limiting potential losses from stress events and the prudent management of liquidity.

In 2012, our risk management framework was established in line with NAICOM's Guideline requiring all insurers and reinsurers operating in Nigeria to have in place ERM framework and a functional risk management unit. The identified gaps in the ERM framework implementation are currently being addressed closely with a view to drive the ERM framework to a mature level. However, the Company's risk management is continuously developing and refining, given the uncertainty that all market developments, particularly those of extreme nature, can be fully anticipated at all times.

Risk management is integral to the Company's decision-making and management process. It is embedded in the role and purpose of all employees via the organisational culture, thus enhancing the quality of strategic, capital allocation and day-to-day business decisions.

Wapic considers risk management philosophy and culture as the set of shared beliefs, values, attitudes and practices that characterise how the Company considers risk in everything it does, from strategy development and implementation to its day-to-day activities. In this regard, the Company's risk management philosophy is that a moderate and guarded risk attitude ensures sustainable growth in shareholder value and reputation.

The Company believes that enterprise risk management provides the superior capabilities to identify and assess the full spectrum of risks and enable staff at all levels to better understand and manage risks. This will ensure that:

- Risk acceptance is done in a responsible manner;
- The executive and the Board of the Company have adequate risk management support;
- Uncertain outcomes are better anticipated;
- Accountability is strengthened; and
- Stewardship is enhanced.

The Company identifies the following attributes as guiding principles for its risk culture

(a) Management and staff:

- Consider all forms of risk in decision-making;
- Create and evaluate business-unit and firm-wide risk profile to consider what is best for their individual business units and department and what is best for the firm as a whole;
- Retain ownership and accountability for risk and risk management at the business unit or other point of influence level;
- Accept that enterprise risk management is mandatory, not optional;
- Strive to achieve best practices in enterprise risk management;
- Document and report all significant risks and enterprise-risk management deficiencies;
- Adopt a holistic and integrated approach to risk management and bring all risks together under one or a limited number of oversight functions;
- Empower risk officers to perform their duties professionally and independently without undue interference;
- Ensure a clearly defined risk management governance structure;
- Ensure clear segregation of duties between market facing business units and risk management control functions;
- Strive to maintain a conservative balance between risk and profit considerations; and
- Continue to demonstrate appropriate standards of behaviour in development of strategy and pursuit of objectives.

(b) Risk officers work as allies and through partners to other stakeholders within and outside the Company and are guided in the exercise of their powers by a deep sense of responsibility, professionalism and respect for other parties.

(c) Risk management is a shared responsibility. Therefore, the Company aims to build a shared perspective on risks that is based on consensus.

(d) Risk management is governed by well-defined policies, which are clearly communicated across the Company.

(e) Equal attention is paid to both quantifiable and non-quantifiable risks.

(f) The Company avoids products and businesses it does not understand.

Group risk oversight approach

The Company's risk management department provides a central oversight of risk management across the Company to ensure that the full spectrum of risks facing the Company are properly identified, measured, monitored and controlled in order to minimise adverse outcomes.

Our oversight starts with the strategy setting and business planning process. These plans help us articulate our appetite for risk, which is then set as risk appetite limits for each business unit to work within.

The Company is complemented by the financial control and regulatory/reputation risk group in the management of strategic and reputational risks respectively.

The Chief Risk Officer co-ordinates the processes of monitoring and reporting risk across the Company. Internal Audit has the responsibility of auditing the risk management and control function to ensure that all units charged with risk management perform their roles effectively on a continuous basis. Audit also tests the adequacy of internal control and makes appropriate recommendations where there are weaknesses.

Strategy and Business Planning

Risk management is embedded in our business strategy and planning cycle. Testament to this is the inclusion of risk management as one of our strategic priorities. By setting the business and risk strategy, we are able to determine appropriate capital allocation and target setting for the Group and each of our businesses.

All business units are required to consider the risk implications of their annual plans. These plans include analysis of the impact of objectives on risk exposure. Throughout the year, we monitored business performance regularly focusing both on financial performance and risk exposure. The aim is to continue the process of integrating risk management into the planning and management process and to facilitate informed decisions.

Through ongoing review, the links between risk appetite, risk management and strategic planning are embedded in the business so that key decisions are made in the context of the risk appetite for each business unit.

Risk Appetite

Risk appetite is an articulation and allocation of the quantum of risk Wapic is willing to accept in pursuit of its strategy, duly set and monitored by the executive committee and the Board, and integrated into our strategy, business, risk and capital plans. Risk appetite reflects the Company's capacity to sustain potential losses arising from a range of potential outcomes under different stress scenarios.

Our risk appetite can be expressed in terms of how much variability of return the Company is prepared to accept in order to achieve a desired level of result. It is determined by considering the relationship between risk and return.

In 2012, the process to determine risk appetite was established at the corporate level for the corporate KPIs and major risks categories.

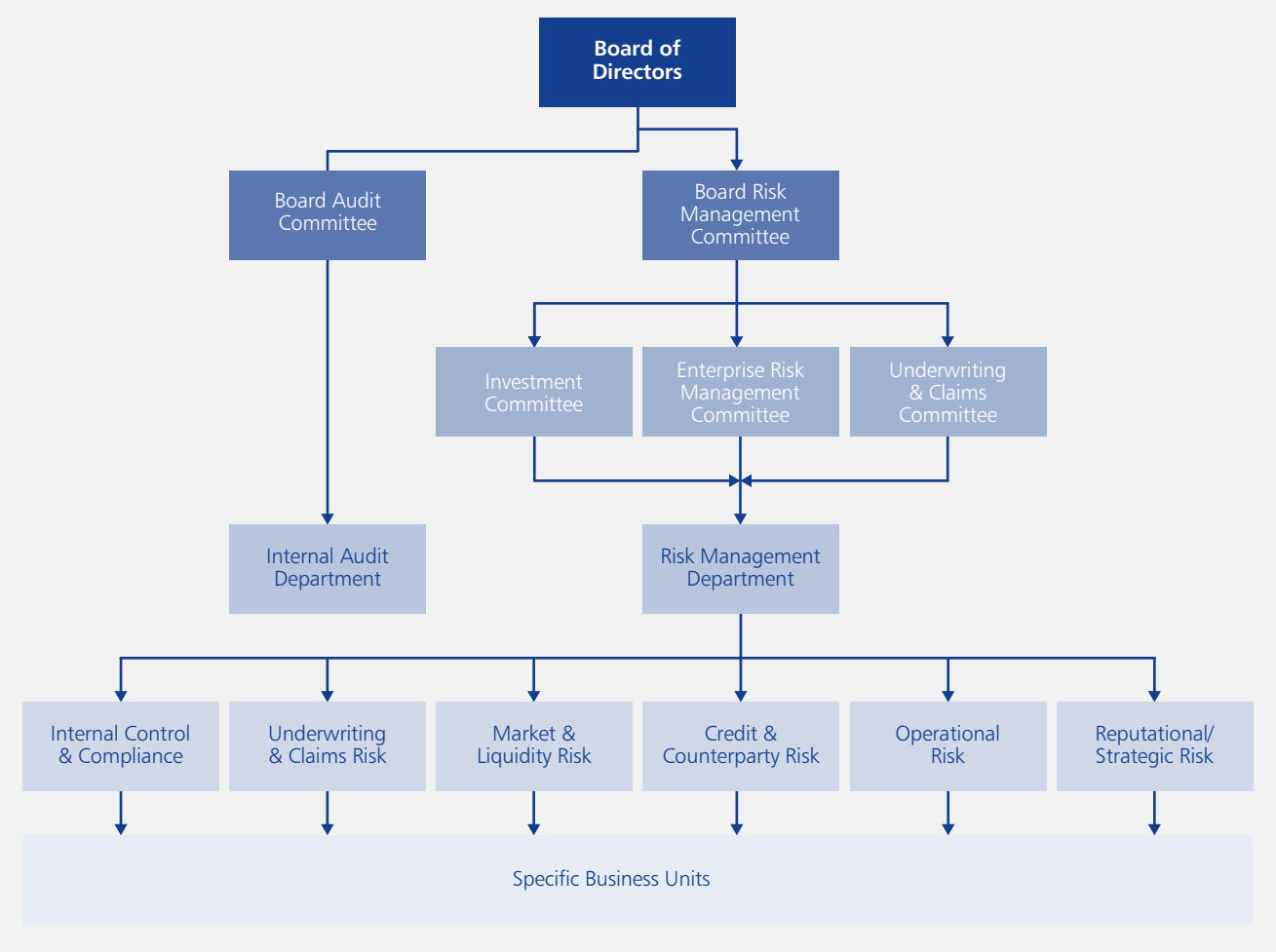
Risk Categorisation

Wapic is exposed to a range of risks through its operations. The Company has identified and categorised its exposure to these broad risks as listed below:

- Credit and counterparty risk;
- Operational risk;
- Market and liquidity risk;
- Underwriting and claims risk;
- Reinsurance risk;
- Provisioning and reserves risk;
- Legal and compliance risk;
- Strategic risk;
- Reputational risk; and
- Capital risk.

These risks and the framework for their management are detailed in the enterprise risk management framework.

Risk management governance structure



Responsibilities and functions

Roles and Responsibilities are defined at three levels viz.

- Level 1 – Policy and Strategy Level
  - Board of Directors (BOD), Board Audit Committee (BAC) and Board Risk Management Committee (BRMC) are responsible for approval of Policies and its implementation throughout Wapic.
- Level 2 – Risk Monitoring and Control Level
  - Investment Management Committee, Enterprise Risk Management Committee and Underwriting & Claims Committee are responsible for assisting the BOD and BRMC in monitoring the implementation of risk policies.
- Level 3 – Risk Co-ordination and Operation Level
  - Business Units for respective risks are responsible for Operational aspects of implementing risk policies. Chief Risk Officer shall head the Risk Management Department.

Board of Directors

Board of Directors (BOD) representing the interests of stakeholders, has the ultimate responsibility for risk management. The BOD has the primary responsibility for:

- Approval of risk policies to mandate a set of standards for risk management throughout Wapic that include risk identification, measurement, setting of exposure and risk limits, monitoring and control and risk reporting;
- Setting appetite for risk taking at the firm level and at various levels consistent with business strategies;
- Ensuring effectiveness, independence and integrity of risk management system through internal control & audit; and
- Periodically (at least annually) reviewing the risk strategy and significant risk policies of Wapic.

The Board of Directors' Risk Management oversight roles and responsibilities shall be delegated to the Board Risk Management Committee & Board Audit Committee.

Without prejudice to the roles of these committees, the full Board shall retain the ultimate responsibility for risk management.

Board Risk Management Committee (BRMC)

BRMC is responsible for all Material Risks in Wapic. The committee is established by the BOD as standing committee to assist the BOD in Risk Management. The purpose of the top level committee is to assist the BOD, by virtue of the powers delegated to it by the BOD. The committee has full responsibility of assisting the BOD in formulating strategies for Enterprise-Wide Risk Management, evaluating overall risks faced by Wapic, aligning risk policies with business strategies, determining the level of risks which will be in the best interest of the firm.

The following are the Roles and Responsibilities of the BRMC:

- Primary role of the BRMC is to effectively co-ordinate the efforts of Risk Committees to provide an integrated view of risks faced by the firm to the BOD at regular intervals and to effectively implement the BOD's strategy for risk management;
- Based on the reports received, BRMC will take decisions and provide guidance/mandate to risk committees and relevant functions of the firm on management of risks;
- Make suitable recommendations to the BOD as it sees fit and examine any other matters referred to it by the BOD;
- BRMC will review issues raised by Internal Audit that impact the risk management and make suitable recommendations to the BOD;
- The Committee, by virtue of powers delegated to it by the BOD, will approve any changes in risk policies. The necessity for changes to the policy should be due to genuine reasons viz. regulatory changes and unexpected changes in business scenario. Changes to the policy approved by BRMC have to be ratified by the BOD within an acceptable timeframe set by the BOD;
- Approval of exceptions to the risk policies upon thorough enquiry into circumstances leading to exceptions, nature, size and genuineness of exceptions. Repetition of exceptions of similar nature should lead to changes in the policy of a permanent nature rather than repeated instances of similar exceptions. This should be handled by through changes in policies rather than approved as exceptions; and
- BRMC will review the roles of the risk committees, at least on an annual basis, based on revision in policies and provide suitable recommendations to the BOD.

Enterprise Risk Management Committee

- Address all categories of key risks, and their components, to which the firm is exposed;
- Manage significant/material risk exposures (individually or in the aggregate) at a much higher level than the individual business units;
- Place the interests of what is best for the firm ahead of individual business unit interests;
- Provide for and champion enterprise-wide risk management and achievement of Wapic's risk philosophy, culture and objectives;
- Provide for consolidated supervision of the firm's different activities and legal entities, alliances and joint ventures;
- Provide for formal interaction between business units and the sharing of specialised knowledge/research for the mutual benefit of all and the promotion of risk management and corporate governance; and
- Provide assurance to shareholders, policyholders, investors, rating agencies, analysts, regulators and others that sound corporate governance and effective risk management prevail throughout the organisation.

Investment Management Committee

- The Investment Committee shall be headed by the Chief Investment Officer;
- Endorse the Funding and Liquidity Plan;
- Establish significant funding source limits and review exposure reports;
- Approve a course of action for rectifying any breach of liquidity limits;
- Assist in the quality control process by reviewing reports for reasonableness, consistency and completeness; and
- The Investment Committee shall be responsible for management of all the risks emanating from use of funds by the firm.

Underwriting and Claims Management Committee

- Evaluate and approve the reinsurance strategy of the firm which is a proxy for the risk appetite of the firm with respect to underwriting risks;
- Address all the key risks related with underwriting exposures taken by the firm;
- Evaluate the adequacy of premiums being charged for risk exposures being taken by the firm;
- Evaluation and approval for modification of existing products and introduction of new products;
- Responsible for decision making related to claims management; and
- Evaluate and validate the claims approval process followed within the firm.

Roles and Responsibilities for Market and Liquidity Risk Management

- Establish liquidity and funding limits and identify exceptions to limits;
- Perform stress tests and establish action plans;
- Receive notification of limit excesses and approve corrective actions;
- Maintain an independent liquidity risk-reporting framework; and
- Prepare and circulate liquidity reports to management.

Roles and Responsibilities for Counterparty and Credit Risk Management

- Review the process for selection of reinsurance and insurance brokers;
- Preparation of reports showing the reinsurance counterparty risk;
- Review of the credit limits set for insurance and reinsurance brokers; and
- Decide the process for selection and monitoring of reinsurance programme.

Roles and Responsibilities for Operational Risk Management

- Capturing data on risk events and integrating those data from a multitude of systems to build a clear and accurate view of risks across the business;
- Ensuring development and implementation of appropriate information systems for risk measurement and reporting, which identify losses, key risks to be managed, incidents, etc.; and
- Informing the Board of Directors of significant risk issues in the firm and risk transfer strategies taken in order to achieve mitigation of such risks.

Roles and Responsibilities of Underwriting and Claims Risk Management

- Ensure that underwriting standards are never compromised due to pressure from various stakeholders;
- Development of performance measurement standards for judging the quality of underwriting and making recommendations to the Enterprise Risk Management Committee;
- Analysis of insurance exposures, continuous analysis of claims, product profitability analysis and other relevant risk issues;
- Investigate unusual claims, large sums assured and high variability in quotations submitted to the clients and make sure that unnecessary risks are not taken;
- Identify, monitor and report pricing risk and product design risks; and
- Provide early warning signals for emerging risks in the insurance portfolio.

Roles and Responsibilities for Reputational Risk Management

- Ensure that the zero tolerance of the management is communicated to all stakeholders and employees for non-compliance with laws and regulatory guidelines;
- Ensure transparency, ethical behaviour and professionalism is ingrained in the risk culture of the organisation; and
- Ensuring that there is full compliance with the Institution's code of conduct and other internal policies.

Role of Internal Audit Department

Internal Audit Department (IAD) is an independent appraisal function established within the firm to examine and evaluate its internal control systems, improve the effectiveness of risk management, control, and governance processes, including controls over financial reporting. Internal auditing's core role with regard to ERM is to provide objective assurance to the Board on the effectiveness of Wapic's ERM activities to help ensure key business risks are being managed appropriately and that the system of internal control is operating effectively.

It is the responsibility of the Internal Audit to report the findings of their review to the Audit Committee of the firm for corrective actions to be taken. Internal Audit should also follow up on the corrective actions taken for the findings already submitted.

The roles and responsibilities of Internal Audit Department should be documented in the audit charter and approved by the Audit Committee.

Roles and responsibilities for Internal Control and Compliance

- Examination and evaluation of the adequacy and effectiveness of the internal control systems;
- Independent investigation of risk management related issues;
- Review of the application and effectiveness of risk management policies, procedures and risk assessment methodologies;
- Evaluating risk management processes;
- Review of the management and financial information systems, including the electronic information system;
- Review of the accuracy and reliability of the accounting records and financial reports;
- Review of the means of safeguarding assets;
- Review of the systems established to ensure compliance with legal and regulatory requirements, codes of conduct and the implementation of policies and procedures;
- Wapic's compliance with policies and risk controls (both quantifiable and non-quantifiable); and
- Reliability (including integrity, accuracy and comprehensiveness) and timeliness of financial and management information.

Risk Management Group – relationship with other units

The relationships between Risk Management Unit (RMU) and other units are highlighted below:

- RMU sets policies and defines limits for other units in the Company;
- RMU performs Company-wide risk monitoring and reporting;
- Other units provide data to RMU for risk monitoring and reporting and identify potential risks in their line of business and RMU provides a framework for managing such risks;
- RMU underwriting and market-facing units collaborate in designing new products;
- RMU and internal audit co-ordinate activities to provide a holistic view of risks across the Company;
- RMU makes recommendations with respect to capital allocation, pricing and reward/sanctions based on risk reports; and
- Information technology support group provides relevant user support to the RMU function in respect of the various risks management software.

Key risks and uncertainties 2012

Risk type	Definition	Features	Key development in 2012	Risk Mitigation
Market risk	The risk that the value of an asset or liability may change as a result of a change in market risk factors.	• Potential for large material losses from complicated treasury products. • Potential for losses due to volatilities and stress events.	• The growth in gross premium and relatively active Government presence in the market led to a high fixed income market rate. • The Naira was relatively stable hovering between N155 and N165 to the Dollar. • The CBN monetary intervention opened up a window in the parallel market which led to volatility in the market.	• Market and associated risks were identified, modelled and mitigated using the Company's various stress test policies.
Funding and liquidity risk	The risk of being unable to meet short-term obligations as they fall due.	• May disrupt the business model and the Company's activities. • Significantly correlated with underwriting and claims activities.	• Increase in claims ratio industry-wide and NAICOM's directive to insurance companies to establish ERM framework has led to a risk-based strategy to liquidity management.	• We remain consistently within our in-house and regulatory liquidity limits. • Deliberate effort was employed to reduce premium debtors and increase gross premium written.
Underwriting and Claims risk	Risk that the actual claim outcome is worse than the expected claim outcome at the underwriting stage.	• Potential risk of underwriting volatile policies. • Retention risk – potential for retaining beyond capacity. • Potential for catastrophic claims/losses. • Potential for pricing risk.	• Transformation of the technical department. • Limits were set for different level of underwriting risk. • Improved claims processes and established approval levels.	• Strengthen technical competence in underwriting and claims through training and workshops for all technical staff. • Structure and streamline claims processes by splitting the unit into claims settlement, claims remedial, and claims fulfilment. • Strengthen governance structure for underwriting and claims units by establishing approval limits.
Operational risk	The risk arising from inadequate or failed internal processes, people or systems, or from external environment.	• Small but accumulated losses that can become materially high. • Infrequent material losses with high impact.	• Wapic repositioned its market relevance by the implementation of certain restructuring initiatives, which created people related exposures for the Company. • Certain strategic business units were relocated from our head office to another location thus created process related exposures. • Sequel to our business combination with Intercontinental Properties Ltd (IPL), our operations were seamlessly integrated and the associated risks were managed effectively e.g. process misalignment, differences in corporate culture, etc.	• Development and implementation of policy standards and procedure manuals across all business functions. • Metrics for proper identification of risks were implemented and reports were escalated to business units' heads and executives.
Regulatory risk	The Risk arising from changes in law, guidelines and other regulatory requirements.	• Compliance with laws and regulations. • Potential for fines and/or restriction in business activities.	Several guidelines were issued by regulators in 2012 in line with the ongoing reforms in the insurance industry.	We have a compliance framework in place which is proactive in nature to meet regulatory requirements. A checklist is deployed to monitor compliance with regulatory requirements and reports are discussed in the management and board committees risk meetings.
Other risk (Reputational, Strategic etc.)	**Reputational Risk:** The risk of negative public opinion resulting from the failure of the Company to meet the expectations of its stakeholders. **Strategic Risk:** The risk of loss resulting from an institution's inability to implement appropriate business plans, strategies, decision-making, resource allocation and its inability to adapt to changes in its business environment.	• Exposure to penalties, fines and reputational damage. • Expectations of stakeholders are not met.	The transformation programme exposed the Company to public scrutiny; however there was no major reputational risk event in 2012 as the Company proactively managed the process successfully. The Company opted upward its core value of ethics and professionalism which set a high standard that exceeded the regulators requirements. The strategic risk is high due to changing regulatory environments and implementation of eight key projects under the transformation strategic initiatives.	Framework was put in place to regularly monitor all risk event drivers, adherence to the principle of zero tolerance for regulatory breaches and active engagement of all stakeholders – customers, staff, suppliers, investors, regulators, etc. Strategic risk is managed within the context of our thoroughly defined strategic focus. Management constantly review deviations in plans and reports are provided to the executive management team and the Board.

Underwriting, Claims and Reinsurance Risk Management
Risk management is novel in the Nigerian insurance industry and there is no gain saying that Wapic is amongst those few insurance companies that have progressed substantially on the implementation of risk management framework in Nigeria. Globally, technical department is the core function of an insurance company, whilst the effectiveness and efficiency of the technical department will determine the profitability of the Company. The technical department consists of the following units: underwriting, claims and reinsurance.

Following the above, Wapic focused critically on these units by identifying the potential risks and ensure they are well managed appropriately to achieve the Company's objectives. It is important to note that prior to 2012, risk management framework was not in existence in Wapic. Therefore, our discussion is mainly limited to the developments in 2012.

Insurance risk
Insurance risk is the inherent uncertainty regarding the pricing, product design, net retention and reserving of insurance liabilities. The exposures are assumed in Wapic through the underwriting process by the retention of insured businesses underwritten in the Company.

As part of the risk management principles, Wapic only write the risks it understands, which provides reasonable opportunity to earn an acceptable profit. Upon the assumption of customers' risks, Wapic effectively managed the underwriting risks, through the following means:

- Establishing limits for underwriting authority;
- Requiring specific approvals for transactions involving new products or where established limits of size and complexity may be exceeded;
- Using a variety of reserving and modelling methods to address the various insurance risks inherent in Wapic's business; and
- Ceding insurance risk through proportional, non-proportional and specific risk reinsurance treaties.

Key Developments in 2012:
- In 2012, there was a massive transformation in the technical department, which include:

  (a) The Claims department was divided into three sub-units, which includes claims settlement, claims remedial, and claims fulfilment; and

  (b) The Underwriting department was divided into underwriting unit and policy fulfilment (documentation) unit.

These categorisations validate segregation of duties philosophy, enhance specialisation and ensure quality service delivery is achieved in a timely manner. This ensures that the division runs effectively and efficiently, with no single person originating, processing and closing a transaction in the Company.

- Upon the identification of the existence of knowledge gap in the technical department, technical insurance training and users training on Premia (our core insurance processing application) were conducted. The essence was to strengthen the technical competence and the complete usage of Premia application in Wapic. Thus, these should result in the eradication of manual processing, creation of a seamless process, ensuring effective record keeping, and elimination of exposure to fraud;
- All Wapic's employees were trained on Enterprise Risk Management framework and its effect as a management tool to drive company and work processes to operational efficiency. The essence is to embed risk culture into the Company and work processes and empower the management of risk to reside in the various Specific Business Units (SBUs) as the first level of defence. This training created awareness to staff on risk and risks are identified, measured, controlled and managed with a view to improve the internal processes of the Company; and
- In line with NAICOM's guideline, all material risks in Wapic have been identified and policies and procedural manuals were developed in guiding the processes of the management of risks in each department in particular and company-wide in general. The policies and procedural manuals include but are not limited to Underwriting Risk policy, Claims Risk policy, Provisioning/reserving Risk policy, Reinsurance and Credit Risk policy, and Operational Risk policy.

Non-life insurance risk
Non-life insurance risk includes the reasonable possibility of significant loss due to uncertainty in the frequency of the occurrence of the insured events as well as in the severity of the resulting claims. The following provides an overview of Wapic core lines of business:

- Motor includes automobile physical damage, loss of the insured vehicle and third party liability insurance;
- Property includes fire risks (for example fire, explosion and business interruption), natural perils (for example earthquake, windstorm and flood), engineering lines (for example boiler explosion, machinery breakdown and construction), and marine (cargo and hull);
- Liability includes general/public and product liability, excess and umbrella liability, professional liability including medical malpractice, and errors and omissions liability;
- Special lines include directors and officers, credit and surety, crime and fidelity, accident and health, and crop; and
- Oil and Energy (contractor's all risk, package policy, etc.)

The risk coverage associated with non-life insurance includes:

- Underwriting process risk is the risk encountered when the underwriting standard of the Company is not adhered;
- Pricing risk refers to the risk of underestimating insurance premium payable on a product. The prices charged by the Company for insurance contracts will be ultimately inadequate to support the future obligations arising from those contracts;
- Policyholder behaviour risk is the risk that policyholders' behaviour in discontinuing and reducing contributions or withdrawing benefits prior to the maturity of the contract is worse than expected. The Company's policyholder will act in ways that are unanticipated and have an adverse effect on the Company;
- Product design risk is the risk encountered when a new product designed does not reflect the dynamic changes in customer preference;
- Claims risk is the risk encountered when many more claims occurred than expected or that some claims that occurred are much larger than expected claims resulting in unexpected losses; and
- Net retention risk is the risk of retaining businesses more than the Company retention capacity. That is, the risks are not adequately ceded to reinsurers exposing the Company to potential high claims payout.

Wapic underwriting strategy took advantage of the diversification of non-life insurance risks across industries and geographical locations where Wapic operates. Wapic optimised shareholders' value by achieving its corporate goals, which necessitated a

Table 1: Non-life Insurance – Gross premiums by line of business and by geographical location for 2012

	Motor	Fire	General Accident	Marine	Aviation	Engineering	Oil & Energy	Bond	Total
	N'm	N'm	N'm	N'm	N'm	N'm	N'm	N'm	N'm
Lagos	433	136	477	144	28	53	527	12	1,810
Ibadan	32	4	11	2	1	2	–	–	53
Abuja	86	17	15	6	-11	12	26	–	151
Benin	20	6	24	1	–	–	–	–	50
PH	24	5	7	12	–	2	1	–	52
Kano	20	4	16	-1	23	2	–	2	67
Enugu	35	6	3	2	–	–	–	–	47
Total	**651**	**179**	**553**	**165**	**41**	**72**	**555**	**14**	**2,231**

prudent and stable underwriting philosophy that aims to take advantage of its competitive strengths, while managing risks with disruptive volatility. At the core of Wapic underwriting is a robust governance process.

In view of the above, Wapic had set limits on underwriting capacity and cascaded authority to individuals based on their specific expertise. Furthermore, appropriate pricing guidelines were set with a focus on consistent technical pricing across the Company. As part of the pricing guidelines, the Company requires the setting of a technical price according to common standards.

The technical price is set in a manner that allows yielding a return on capital in line with Wapic target. Technical reviews confirm whether underwriters perform within authorities and adhere to underwriting philosophies and policies. Wapic has incorporated governance procedures in its risk management framework to review and approve new products and to evaluate whether the risks are well understood or justified by the potential rewards.

Wapic periodically conducted risk assessment to closely monitor potential new emerging risk exposures via its Underwriting and Claims Risk Management unit, with cross-functional expertise to identify, assess and recommend actions for such risk. Emerging risks are those risks phenomena whose full nature and effects are not yet known with the degree of certainty in other insurance exposures.

In addition to the specific risks insured, each line of business has the potential to expose Wapic to losses that may arise from natural and man-made catastrophes. The concentrations of risks arising from such potential catastrophes are regularly reported to senior management on a monthly basis and quarterly to the Board.

Table 1 above shows Wapic's concentration risk within the non-life insurance business by geographical location and the line of business based on direct written premiums gross of reinsurance. The Company's exposure to non-life insurance risks varies significantly by class and may change over time.

Risks from Man-made Catastrophes

Man-made catastrophes include such risks as industrial accidents and all types of terrorism attacks. In 2012, there were quite a number of man-made events in Nigeria which include but are not limited to Boko-Haram attacks, kidnapping, militants disturbances in Niger Delta, crude oil theft, etc.

Wapic experience in monitoring potential exposures from natural catastrophes is also applicable to threats posed by man-made catastrophes, particularly terrorism. Due to the high degree of uncertainty about what events might actually occur, Wapic accumulation monitoring and analyses contain a number of assumptions about the potential characteristics of such threats depending on the frequency of such events.

Wapic is committed to continuously review and aggregate property exposures with a view to identifying areas of significant attention. The Company also assessed other lines of business, such as liability and motor, although the potential exposure is not as significant. The resulting data allows the Company to evaluate the correlation between insuring a particular customer's risk and impacting directly to Wapic's overall exposure.

Life Insurance Risk

The risks associated with life insurance include:

- Mortality risk is the risk that actual policyholder death experience on life insurance policies is higher than expected;
- Longevity risk is the risk that annuitants live longer than expected;
- Morbidity risk is the risk that policyholder health-related claims are higher than expected;
- Policyholder behaviour risk is the risk that policyholders' behaviour in discontinuing and reducing contributions or withdrawing benefits prior to the maturity of the contract is worse than expected. Poor persistency rates may lead to fewer policies remaining on the books to defray future fixed expenses and reduce the future positive cash flows from the business written, potentially impacting its ability to recover deferred acquisition expenses; and
- Expense risk is the risk that expenses incurred in acquiring and administering policies are higher than expected.

The increased number of surrendered policies experienced from 3rd quarter 2012 exposed Wapic to policyholder behaviour risk. A comprehensive review was conducted to identify the root cause and solution was proffered in managing the trend of losing individual life businesses. Parts of the solutions proffered were:

(a) Setting up of a call centre to promptly address customers' requests.

(b) Wapic's customers were advised to embrace direct debit in remitting their premium. This strategy tends to reduce premium leakages and policies becoming dormant.

The Company regularly reviews the continued suitability and the potential risks of existing and new products that could significantly increase or change the nature of its risks. Such reviews allow Wapic to manage new risks inherent in its new business propositions.

Reinsurance for non-life insurance and life insurance

Wapic has a reinsurance unit, whose role is to keep abreast with risks that the Company might be exposed to depending on the types of business that have been brought into the Company. The objective of purchasing reinsurance is to provide market-leading capacity for customers while protecting the balance sheet and optimising Wapic capital efficiency.

The unit is guided by the treaty arrangement which was made at the inception of the year for all lines of insurance business that Wapic underwrites. Except oil and energy which does not have treaty arrangement in place. However, discussions are being made with JLT for the oil and energy treaty arrangement before the end of first quarter in 2013.

Wapic uses local and international reinsurance companies to manage its risk to unusually severe or unusually frequent events through the purchase of treaty covers effected as of 31 December 2012.

Reserves:

Insurance is characterised as an "intangible" product because the insured does not receive anything material or tangible for his or her premium paid until a claim is paid. The payment of a claim is what consummates the insurance contract. It is especially important, therefore, that when claims become due, money is available to meet those obligations. Insurance companies are regulated for solvency so that they will be able to pay claims in the future.

Claim reserves are necessary to properly recognise, at any given time, a Company's future obligations. The importance of proper reserving is further demonstrated by the fact that claim reserves are required by insurance regulatory law.

The risk management department has designed templates to track outstanding claims and to ensure appropriate reserves were made to enable the Company meet its claims' demand. The department regularly monitors the reserves position and submit their reports to senior management on a monthly basis and quarterly to the Board.

Improper reserving, both under-reserving and over-reserving, adversely affects a company's financial position. Inadequate reserves understate a company's liabilities or overstate its surplus.

Sensitivities analysis for Insurance risk

Table 2 shows the sensitivity of net income before tax as a result of adverse development in the claims ratio by five per cent (5%) and ten per cent (10%) respectively. Such an increase could arise from either higher frequency of the occurrence of the insured events or from an increase in the severity of resulting claims or from both.

The sensitivities do not indicate a probability of such an event and do not consider any non-linear effects of reinsurance. Based on the assumptions applied in the presentation of the sensitivity analysis in Table 2 below, each percentage increase in the claims ratio would lead to a linear impact on profit before tax.
In addition, the risk management unit monitors insurance risk by evaluating extreme scenarios.

Credit risk management

Credit risk arises from the failure of a counterparty of the Company to repay amount due at the stipulated time or failure otherwise to perform as agreed. Wapic's exposure to credit risk is primarily derived from the following main groups:

- Lost premium from insured or brokers;
- Disruption in investment and liquidity cash flows from fund managers; and
- Non-recovery of claims paid from reinsurers.

As the Company is not in the business of granting loans like banks, credit risks in terms of customer default on loans repayment is not applicable. However, in terms of premium payment and investments in counterparties, considerable risks exist where brokers and large corporates who are allowed extended payment periods may default and this is closely allied to cash flow risks. The three sources of credit risk identified are:

- Downgrade Risk: risk that changes in the possibility of a future default by an obligor will adversely affect the present value of the contract with the obligor today;
- Direct Default Risk: risk that the Company will not receive the cash flows or assets to which it is entitled because a party with which the firm has a bilateral contract defaults on one or more obligations; and
- Settlement Risk: risk arising from the lag between the value and settlement dates of securities transactions.

Wapic is exposed to risk relating to its debt holdings in its investment portfolio, outstanding premiums from customers and the reliance on reinsurers to make payment when certain loss conditions are met. To effectively manage its premium debtor balance, the Company commenced a verification exercise on premiums outstanding with a view to ascertain the appropriateness and correctness of the premium debtors positions in the accounting book.

Table 2: Insurance Sensitivity Analysis

	Group 2012			Company 2012		
Description	Base case	5% increase in claims ratio	10% increase in claims ratio	Base case	5% increase in claims ratio	10% increase in claims ratio
	N'm	N'm	N'm	N'm	N'm	N'm
Gross premium written	4,178	4,178	4,178	2,232	2,232	2,232
Gross premium income	4,246	4,246	4,246	2,326	2,326	2,326
Reinsurance expenses	(733)	(733)	(733)	(602)	(602)	(602)
Net premium income	3,513	3,513	3,513	1,724	1,724	1,724
Fee and commission income	127	127	127	121	121	121
Net underwriting income	3,640	3,640	3,640	1,845	1,845	1,845
Net claims expenses	(1,519)	(1,686)	(1,862)	(493)	(569)	(655)
Underwriting expenses	(686)	(686)	(686)	(478)	(478)	(478)
Total underwriting profit	1,435	1,268	1,092	874	798	712
Investment income and other income	1,349	1,349	1,349	827	827	827
Net income	2,784	2,617	2,441	1,702	1,626	1,539
Expenses	(2,232)	(2,232)	(2,232)	(1,318)	(1,318)	(1,318)
Profit before tax	552	385	210	383	307	221

Also, a counterparty credit risk database is developed and parameters to establish preferred internal credit ratings of all counterparty is being developed to enable a seamless assessment of counterparty creditworthiness.

To manage individual credit exposures and concentration risk, regular stress tests and scenario simulations are carried out. Mitigating measures are recommended and implemented by management in cases of adverse results.

The Group's investment policy puts limits on the fixed income and money market instruments including portfolio composition limits, issuer type limits, aggregate issuer limits and corporate sector limits. The Group's investment portfolio is exposed to credit risk through its fixed income and money market instruments. The contribution of the fixed income & money market instruments to the Group's investment is as follows:

31 December 2012

	GROUP	COMPANY
Fixed income instruments	56%	46%
Money market instruments	42%	52%
Other investments	2%	2%

31 December 2011

	GROUP	COMPANY
Fixed income instruments	39%	52%
Money market instruments	43%	35%
Other investments	18%	13%

31 December 2010

	GROUP	COMPANY
Fixed income instruments	3%	0.003%
Money market instruments	67%	74%
Other investments	30%	26%

Based from the above table, Wapic's exposure to credit risk is low as Government sector (Government bonds and Treasury bills) and money market accounted for 98% of the investment as at 31 December 2012 (82%: 31 December 2011 and 70%: 31 December 2010).

Wapic further manages its exposure to credit risk through counterparty risk via established limits as approved by the Board. These limits are determined based on credit ratings of the counterparty amongst other factors. All fixed income investments are measured for performance on a quarterly basis and monitored by management on a monthly basis.

The Company's counterparty exposure as at 31 December 2012 is represented below:

Company portfolio

Counterparty	Investment in money market	%
National Banks	1,661,320	65
Discount House	876,314	34
Investment House	3,073	0.1

Reinsurance contract is executed only with reinsurers with a minimum acceptable minimum credit rating. Management monitors the creditworthiness of all reinsurers by reviewing their annual financial statements and through ongoing communications. Reinsurance treaties are reviewed annually by management prior to renewal of the reinsurance contract.

Asides credit risk exposure from our investment policies, Wapic is also exposed to this risk from its core business – outstanding premiums from clients. Trade receivables are short term in nature consisting of a large number of policyholders and are subject to moderate credit risk. Wapic categorises its exposure to this risk based on business types (namely Agents, Brokers and Insurance Companies business) and periodically reviews trade receivable to ensure creditworthiness.

Credit risk exposure to direct business is low as the Company requires debtors to provide guarantees before inception of insurance policies. The Company's exposure to credit risk arising from brokered business is relatively moderate and the risk is managed by the Group's internal rating model for brokers. Our credit risk internal rating model is guided by several weighted parameters which determine the categorisation of brokers the Group transacts businesses with.

Credit Risk Control and Mitigation

Authority Limits on Credit

The highest credit approval authority is the Board of Directors, supported by the Board Credit Committee and further by the Management Credit Committee. Individuals are also assigned credit approval authorities in line with Wapic's criteria for such delegation set out in its credit risk and counterparty portfolio management plan. The maximum amount of credit that may be approved by specific authorised individuals is limited, with amounts above such limit being approved by the Board Credit Committee.

Premium Debt Provisioning

Provisions for potential premium debts consisting of a portfolio of performing and non-performing credits are in accordance with National Insurance Commission (NAICOM) guidelines.

Premium Debtors by Intermediaries as at 31 December 2012

Intermediaries	Group 2012 N'm	Company 2012 N'm	Group 2011 N'm	Company 2011 N'm
Brokers	**304.10**	**304.10**	928.70	687.064
Agents	**1,496.29**	**261.09**	998.84	591.12
Insurance Companies	**57.04**	**57.04**	145.55	138.402
Total	**1,857.43**	**622.23**	2,073.09	1,416.59

Premium Debtors by Age band as at 31 December 2012

Age band	Wapic Group N'm	Wapic General N'm
0-90 days	719.94	117.11
90-180 days	314.83	150.97
180-270 days	257.84	134.94
270-365 days	211.19	127.78
Over 365 days	353.63	91.43
Total	**1,857.43**	**622.23**

Market risk management

Wapic's ability to meet business objectives will be adversely affected by changes in the level or volatility of market rates or prices such as interest rates, foreign exchange rates, equity prices, commodity prices and credit spreads. Market risk mainly rises from trading activities and equity investments. Wapic's identification, management, control, measurement and reporting of market risk are aligned towards the sub-risk categories namely:

1. Interest rate risk
2. Foreign exchange risk
3. Equity price risk

Interest rate risk

Interest rate risk is the probability that the market interest rates will rise significantly higher than the interest rate earned on investments such as bonds, resulting in their lower market value. The Company is exposed to interest rate risk through the interest bearing assets and liabilities in its books.

Wapic's objective for management of interest rate risk in the Company's life business is to ensure a spread margin which is the difference between the average investment rate obtained from the Company's exposures in the money market and the guaranteed interest rate to policyholders of life investment-linked policies of the Company. This is achieved by hedging material exposures against likely movements in the external market.

Interest rate risk is monitored centrally with a Gap report. A limits framework is in place to ensure that retained risk remains within approved appetite.

The Wapic's interest-rate sensitive liabilities (investment-linked life policies) are quite small compared with the interest-rate sensitive assets thus; fluctuations in interest rates cannot significantly impact our balance sheet. Interest rate risk exists in policies that carry investment guarantees on early surrender or at maturity, where claim values can become higher than the value of backing assets as a result of rises or falls in interest rates. Wapic is also moderately exposed to interest-rate risk through its conservative investment approach with high investment in Fixed Income and Money Market instruments.

A significant portion of Wapic's assets relate to its capital rather than liabilities, the value of its interest rate based assets exceed its interest rate based liabilities. As a result, the Company's investment income will move with interest rates over the medium to long term, while the short-term interest rate fluctuations create unrealised gains or losses in other comprehensive income.

A summary of the Group's interest rate gap position on non-trading portfolios was as follows:

Market risk

			Re-pricing period			
	Carrying amount	No stated maturity	1 – 3 months	3 – 6 months	6 – 12 months	1 – 5 years
	N'000	N'000	N'000	N'000	N'000	N'000
Group – 31 December 2012						
Assets						
Cash and cash equivalents	4,068,517	–	4,068,517	–	–	–
Equity securities – Available-for-sale	16,736	16,736	–	–	–	–
Debt securities – Held to maturity	4,867,690	–	3,803,413	115,893	–	948,384
Non-pledged trading assets	158,942	158,942	–	–	–	–
Trade receivables	667,365	–	667,365	–	–	–
Other receivables	642,027	–	642,027	–	–	–
	10,421,277	175,678	9,181,322	115,893	–	948,384
Liabilities						
Insurance Liabilities	3,545,872	–	2,879,389	–	666,483	–
Liabilities on insurance contracts	65,591	65,591	–	–	–	–
Trade and other payables	853,219	–	853,219	–	–	–
	4,464,682	65,591	3,732,608	–	666,483	–
Total interest re-pricing gap	**5,956,595**	**110,087**	**5,448,714**	**115,893**	**(666,483)**	**948,384**

			Re-pricing period			
	Carrying amount	No stated maturity	1 – 3 months	3 – 6 months	6 – 12 months	1 – 5 years
	N'000	N'000	N'000	N'000	N'000	N'000
Group – 31 December 2011						
Assets						
Cash and cash equivalents	3,895,663	–	3,895,663	–	–	–
Equity securities – Available-for-sale	16,736	16,736	–	–	–	–
Debt securities – Held to maturity	4,867,690	–	3,606,845	257,342	–	1,003,503
Non-pledged trading assets	158,942	158,942	–	–	–	–
Trade receivables	630,000	–	630,000	–	–	–
Other receivables	759,098	–	759,098	–	–	–
	10,328,129	175,678	8,891,606	257,342	–	1,003,503
Liabilities						
Insurance Liabilities	3,439,325	–	2,281,592	–	1,157,733	–
Liabilities on insurance contracts	63,432	63,432	–	–	–	–
Trade and other payables	691,309	–	691,309	–	–	–
	4,194,066	63,432	2,972,901	–	1,157,733	–
Total interest re-pricing gap	**6,134,063**	**112,246**	**5,918,705**	**257,342**	**(1,157,733)**	**1,003,503**

			Re-pricing period			
	Carrying amount	No stated maturity	1 – 3 months	3 – 6 months	6 – 12 months	1 – 5 years
	N'000	N'000	N'000	N'000	N'000	N'000
Group – 1 January 2011						
Assets						
Cash and cash equivalents	5,292,507	–	5,292,507	–	–	–
Equity securities – Available-for-sale	3,537	3,537	–	–	–	–
Debt securities – Held to maturity	478,309	–	478,309	–	–	–
Non-pledged trading assets	1,433,950	1,433,950	–	–	–	–
Trade receivables	778,438	–	778,438	–	–	–
Other receivables	658,768	–	658,768	–	–	–
	8,645,509	1,437,487	7,208,022	–	–	–
Liabilities						
Insurance Liabilities	3,138,664	–	2,046,391	–	1,092,273	–
Liabilities on insurance contracts	79,136	79,136	–	–	–	–
Trade and other payables	783,391	–	783,391	–	–	–
	4,001,191	79,136	2,829,782	–	1,092,273	–
Total interest re-pricing gap	**4,644,318**	**1,358,351**	**4,378,240**	**–**	**(1,092,273)**	**–**

A summary of the Company's interest rate gap position on non-trading portfolios was as follows:

			Re-pricing period				
	Carrying amount	**No stated maturity**	**1 – 3 months**	**3 – 6 months**	**6 – 12 months**	**1 – 5 years**	**Above 5 years**
	N'000	**N'000**	**N'000**	**N'000**	**N'000**	**N'000**	**N'000**
Company – 31 December 2012							
Assets							
Cash and cash equivalents	2,671,903	–	2,671,903	–	–	–	–
Equity securities – Available-for-sale	16,736	16,736	–	–	–	–	–
Debt securities – Held to maturity	2,241,258	–	1,482,895	115,893	–	642,470	–
Non-pledged trading assets	126,351	126,351	–	–	–	–	–
Trade receivables	231,422	–	231,422	–	–	–	–
Other receivables	647,172	–	647,172	–	–	–	–
	5,934,842	143,087	5,033,392	115,893	–	642,470	–
Liabilities							
Insurance Liabilities	1,373,644	–	707,161	–	666,483	–	–
Trade and other payables	488,003	–	488,003	–	–	–	–
	1,861,647	–	1,195,164	–	666,483	–	–
Total interest re-pricing gap	**4,073,195**	**143,087**	**3,838,228**	**115,893**	**(666,483)**	**642,470**	**–**

			Re-pricing period				
	Carrying amount	No stated maturity	1 – 3 months	3 – 6 months	6 – 12 months	1 – 5 years	Above 5 years
	N'000	N'000	N'000	N'000	N'000	N'000	N'000
Company – 31 December 2011							
Assets							
Cash and cash equivalents	1,938,389	–	1,938,389	–	–	–	–
Equity securities – Available-for-sale	16,736	16,736	–	–	–	–	–
Debt securities – Held to maturity	2,487,989	–	1,532,883	257,342		697,764	
Non-pledged trading assets	571,818	571,818	–	–	–	–	–
Trade receivables	276,724		276,724	–	–	–	
Other receivables	507,941	–	507,941	–	–	–	–
	5,799,597	588,554	4,255,937	257,342	–	697,764	–
Liabilities							
Insurance Liabilities	1,403,456	–	677,658	–	725,798	–	–
Trade and other payables	380,040	–	380,040	–	–	–	–
	1,783,496	–	1,057,698	–	725,798	–	–
Total interest re-pricing gap	**4,016,101**	**588,554**	**3,198,239**	**257,342**	**(725,798)**	**697,764**	**–**

			Re-pricing period				
	Carrying amount	No stated maturity	1 – 3 months	3 – 6 months	6 – 12 months	1 – 5 years	Above 5 years
	N'000	N'000	N'000	N'000	N'000	N'000	N'000
Company – 1 January 2011							
Assets							
Cash and cash equivalents	3,553,103	270,222	3,282,881	–	–	–	–
Equity securities – Available-for-sale	3,537	3,537	–	–	–	–	–
Debt securities – Held to maturity	269,408	–	–	–	269,408	–	–
Non-pledged trading assets	859,493	859,493	–	–	–	–	–
Trade receivables	566,645	–	566,645	–	–	–	–
Other receivables	636,692	–	636,692	–	–	–	–
	5,888,878	1,133,252	4,486,218	–	269,408	–	–
Liabilities							
Insurance Liabilities	1,558,656	–	770,575	–	788,081	–	–
Trade and other payables	611,730	–	611,730	–	–	–	–
	2,170,386	–	1,382,305	–	788,081	–	–
Total interest re-pricing gap	**3,718,492**	**1,133,252**	**3,103,913**	**–**	**(518,673)**	**–**	**–**

Foreign Exchange Risk

Foreign Exchange Risk is the risk of loss resulting from changes in exchange rates. Wapic's operation is exposed to the financial impact arising from changes in the exchange rates of various currencies. Thus, its exposure to foreign exchange risk is primarily through undertaking certain transactions denominated in foreign currency with investments in unquoted equity, dollar-denominated fixed deposits and bank balances in other foreign currencies.

To ensure an effective overview of this risk which is a critical element of Wapic's asset/liability risk management, considerations are taken at the corporate level. The Board of Directors defines its risk tolerance levels and expectations for foreign exchange risk management and ensures that the risk is maintained at prudent levels.

Foreign exchange risk is quantified using the net balance of assets and liabilities in each currency, and their total sum. The assets and liabilities include current positions, forward positions, commitments, and the market value of derivatives in foreign currency.

The table below summarises Wapic's financial instruments at carrying amount, categorised by currency:

		31 December 2012					
	Notes	Total	Naira	US Dollar	Euro	Pound	Others
		N'000	N'000	N'000	N'000	N'000	N'000
Group							
Assets							
Cash and cash equivalents	7	4,068,517	3,949,357	54,733	3,529	244	60,654
Equity securities – Available-for-sale	8	16,736	10,242	6,494	–	–	–
Debt securities – Held to maturity	8	4,867,690	4,293,729	–	–	–	573,961
Non-pledged trading assets	8	158,942	158,942	–	–	–	–
Trade receivables	9(a)	667,365	480,193	–	–	–	187,172
Other receivables and prepayments	9(c)	642,027	616,423	–	–	–	25,604
Total assets		**10,421,277**	**9,508,886**	**61,227**	**3,529**	**244**	**847,391**
Liabilities							
Insurance contract liabilities	22	3,545,872	3,000,918	–	–	–	544,954
Investment contract liabilities	23	65,591	65,591	–	–	–	–
Trade and other payables	24 & 25	853,219	553,039	–	–	–	300,180
Total liabilities		**4,464,682**	**3,619,548**	**–**	**–**	**–**	**845,134**

		31 December 2011					
	Notes	Total	Naira	US Dollar	Euro	Pound	Others
		N'000	N'000	N'000	N'000	N'000	N'000
Group							
Assets							
Cash and cash equivalents	7	3,895,663	3,760,951	83,125	1,290	263	50,034
Equity securities – Available-for-sale	8	16,736	10,242	6,494	–	–	–
Debt securities – Held to maturity	8	3,123,496	2,793,867	–	–	–	329,629
Non-pledged trading assets	8	831,902	831,902	–	–	–	–
Trade receivables	9(a)	630,000	388,485	–	–	–	241,515
Other receivables and prepayments	9(c)	759,098	723,540	–	–	–	35,558
Total assets		**9,256,895**	**8,508,987**	**89,619**	**1,290**	**263**	**656,736**
Liabilities							
Insurance contract liabilities	22	3,439,325	2,940,991	–	–	–	498,334
Investment contract liabilities	23	63,432	63,432	–	–	–	–
Trade and other payables	24 & 25	691,309	459,799	–	–	–	231,510
Total liabilities		**4,194,066**	**3,464,222**	**–**	**–**	**–**	**729,844**

		1 January 2011					
	Notes	Total	Naira	US Dollar	Euro	Pound	Others
		N'000	N'000	N'000	N'000	N'000	N'000
Group							
Assets							
Cash and cash equivalents	7	5,292,507	5,065,815	176,227	835	240	49,390
Equity securities – Available-for-sale	8	3,537	1,000	2,537	–	–	–
Debt securities – Held to maturity	8	478,309	269,408	–	–	–	208,901
Non-pledged trading assets	8	1,433,950	1,433,950	–	–	–	–
Trade receivables	9(a)	778,438	684,397	–	–	–	94,041
Other receivables and prepayments	9(c)	658,768	630,393	–	–	–	28,375
Total assets		**8,645,509**	**8,084,963**	**178,764**	**835**	**240**	**380,707**
Liabilities							
Insurance contract liabilities	22	3,138,664	2,807,797	–	–	–	330,867
Investment contract liabilities	23	79,136	79,136	–	–	–	–
Trade and other payables	24 & 25	783,391	665,437	–	–	–	117,954
Total liabilities		**4,001,191**	**3,552,370**	**–**	**–**	**–**	**448,821**

The table below summarises the Company's financial instruments at carrying amount, categorised by currency:

		31 December 2012					
	Notes	**Total**	**Naira**	**US Dollar**	**Euro**	**Pound**	**Others**
		N'000	**N'000**	**N'000**	**N'000**	**N'000**	**N'000**
Company							
Assets							
Cash and cash equivalents	7	2,671,903	2,616,956	51,174	3,529	244	–
Equity securities – Available-for-sale	8	16,736	10,242	6,494	–	–	–
Debt securities – Held to maturity	8	2,241,258	2,241,258	–	–	–	–
Non-pledged trading assets	8	126,351	126,351	–	–	–	–
Trade receivables	9(a)	231,422	231,422	–	–	–	–
Other receivables and prepayments	9(c)	647,172	647,172	–	–	–	
Total assets		**5,934,842**	**5,873,401**	**57,668**	**3,529**	**244**	**–**
Liabilities							
Insurance contract liabilities	22	1,373,644	1,373,644	–	–	–	–
Trade and other payables	24 & 25	488,003	488,003	–	–	–	–
Total liabilities		**1,861,647**	**1,861,647**	**–**	**–**	**–**	**–**

		31 December 2011					
	Notes	Total	Naira	US Dollar	Euro	Pound	Others
		N'000	N'000	N'000	N'000	N'000	N'000
Company							
Assets							
Cash and cash equivalents	7	1,938,389	1,857,722	79,114	1,290	263	–
Equity securities – Available-for-sale	8	16,736	10,242	6,494	–	–	–
Debt securities – Held to maturity	8	2,487,989	2,487,989	–	–	–	–
Non-pledged trading assets	8	571,818	571,818	–	–	–	–
Trade receivables	9(a)	276,724	276,724	–	–	–	–
Other receivables and prepayments	9(c)	507,941	507,941	–	–	–	–
Total assets		**5,799,597**	**5,712,436**	**85,608**	**1,290**	**263**	**–**
Liabilities							
Insurance contract liabilities	22	1,403,456	1,403,456	–	–	–	–
Trade and other payables	24 & 25	380,040	380,040	–	–	–	–
Total liabilities		**1,783,496**	**1,783,496**	**–**	**–**	**–**	**–**

		1 January 2011					
	Notes	Total	Naira	US Dollar	Euro	Pound	Others
		N'000	N'000	N'000	N'000	N'000	N'000
Company							
Assets							
Cash and cash equivalents	7	3,553,103	3,382,288	169,740	835	240	–
Equity securities – Available-for-sale	8	3,537	3,537	–	–	–	–
Debt securities – Held to maturity	8	269,408	269,408	–	–	–	–
Non-pledged trading assets	8	859,493	859,493	–	–	–	–
Trade receivables	9(a)	566,645	566,645	–	–	–	–
Other receivables and prepayments	9(c)	636,692	636,692	–	–	–	–
Total assets		**5,888,878**	**5,718,063**	**169,740**	**835**	**240**	**–**
Liabilities							
Insurance contract liabilities	22	1,558,656	1,558,656	–	–	–	–
Trade and other payables	24 & 25	611,730	611,730	–	–	–	–
Total liabilities		**2,170,386**	**2,170,386**	**–**	**–**	**–**	**–**

Liquidity risk

Liquidity risk is the risk that a given security or asset cannot be traded quickly enough in the market to prevent a loss (or make the required profit). Liquidity risk arises when the Company is unable to meet expected or unexpected current or future cash flows. The Group mitigates this risk by monitoring cash activities and expected outflows and preserves a high degree of liquidity so that it can meet its obligation to its customers at all times including periods of financial stress.

The Group's current liabilities arise as claims are made and clients request for termination of their investment linked products. The Group has no material commitments for capital expenditures and there is no need for such expenditures in the normal course of business. Claims payments are funded by current operating cash flow including investment income. The Group has zero tolerance for liquidity risk and is committed to meeting all liabilities as they fall due.

The Board approves the Group's liquidity policy and contingency funding plan, including establishing liquidity risk tolerance levels. The Board and its committees, monitors our liquidity position and reviews the impact of strategic decisions on our liquidity. Liquidity positions are measured by calculating the Group's net liquidity gap.

Below is a summary of the contractual re-pricing or maturity dates (whichever is earlier) of financial assets matched with financial liabilities.

Quantifications

The Company has developed a liquidity management framework based on a statistical model underpinned by conservative assumptions with regard to premium generation and the crystallisation of insured risk. In addition, liquidity stress tests assuming extreme claims scenarios are performed. These stress tests specify additional liquidity requirements to be met by holding of liquid assets.

In addition, the following tools are deployed to ensure an effective liquidity management:

a) Funding and Liquidity plan;

b) Gap Analysis; and

c) Ratio Analysis.

The Funding and Liquidity plan defines the Wapic's sources and channels of utilisation of funds. The funding liquidity risk limit is quantified by calculating liquidity ratios and measuring/monitoring the cumulative gap between our assets and liabilities. The Liquidity Gap Analysis quantifies the daily and cumulative gap in a business as usual environment. The gap for any given tenor bucket represents the liabilities to, or placements made, the market required to replace maturing liabilities or assets. The Company monitors the cumulative gap as a + or – 20% of the total risk assets and the gap as a + or – 20% of total liabilities.

The Company's liquidity has consistently been materially within regulatory standards. The Company's solvency margin as stipulated by regulation has been well above the stipulated threshold.

The following table shows the undiscounted cash flows on the Group's financial assets and liabilities and on the basis of their earliest possible contractual maturity. The Gross nominal inflow/(outflow) disclosed in the table is the contractual, undiscounted cash flow on the financial asset liability.

	Residual contractual maturities of financial assets and liabilities					
	Carrying amount	**Gross nominal inflow/ (outflow)**	**1 – 3 months**	**3 – 6 months**	**6 – 12 months**	**1 – 5 years**
	N'000	**N'000**	**N'000**	**N'000**	**N'000**	**N'000**
Group – 31 December 2012						
Assets						
Cash and cash equivalents	4,068,517	4,068,517	4,068,517	–	–	–
Equity securities – Available-for-sale	16,736	16,736	16,736	–	–	–
Equity securities – Held for trading	158,942	158,942	158,942	–	–	–
Held to maturity	4,867,690	4,867,690	3,803,413	115,893	–	948,384
Other financial instruments held to maturity	–	–	–	–	–	
Trade receivables	667,365	667,365	667,365	–	–	–
	9,779,250	9,779,250	8,714,973	115,893	–	948,384
Liabilities						
Insurance liabilities	3,545,872	3,545,872	2,879,389	–	666,483	–
Financial liabilities:						
– Investment contracts	65,591	65,591	65,591	–	–	–
Trade and other payables	853,219	853,219	853,219	–	–	–
	4,464,682	4,464,682	3,798,199	–	666,483	–
Gap (asset – liabilities)	5,314,568	5,314,568	4,916,774	115,893	(666,483)	948,384
Cumulative liquidity gap	**5,314,568**	**5,314,568**	**4,916,774**	**5,032,667**	**4,366,184**	**5,314,568**

	Residual contractual maturities of financial assets and liabilities					
	Carrying amount	Gross nominal inflow/ (outflow)	1 – 3 months	3 – 6 months	6 – 12 months	1 – 5 years
	N'000	N'000	N'000	N'000	N'000	N'000
Group – 31 December 2011						
Assets						
Cash and cash equivalents	3,895,663	3,895,663	3,895,663	–	–	–
Equity securities – Available-for-sale	16,736	16,736	16,736	–	–	–
Equity securities – Held for trading	831,902	831,902	672,960	–	–	158,942
Held to maturity	3,123,496	3,123,496	1,862,651	257,342	–	1,003,503
Trade receivables	630,000	630,000	630,000	–	–	–
Total assets	8,497,797	8,497,797	7,078,010	257,342	–	1,162,445
Liabilities						
Insurance liabilities	3,439,325	3,439,325	2,341,540	–	1,097,785	–
Financial liabilities:						
– Investment contracts	63,432	63,432	63,432	–	–	–
Trade and other payables	691,309	691,309	691,309	–	–	–
	4,194,066	4,194,066	3,096,281	–	1,097,785	–
Gap (asset – liabilities)	4,303,731	4,303,731	3,981,729	257,342	(1,097,785)	1,162,445
Cumulative liquidity gap	**4,303,731**	**4,303,731**	**3,981,729**	**4,239,071**	**3,141,286**	**4,303,731**

	Residual contractual maturities of financial assets and liabilities					
	Carrying amount	Gross nominal inflow/ (outflow)	1 – 3 months	3 – 6 months	6 – 12 months	1 – 5 years
	N'000	N'000	N'000	N'000	N'000	N'000
Group – 1 January 2011						
Assets						
Cash and cash equivalents	5,292,507	5,292,507	5,292,507	–	–	–
Equity securities – Available-for-sale	3,537	3,537	3,537	–	–	
Equity securities – Held for trading	1,433,950	1,433,950	602,048	–	–	831,902
Held to maturity	478,309	478,309	478,309	–	–	–
Trade receivables	778,438	778,438	778,438	–	–	–
	7,986,741	7,986,741	7,154,839	–	–	831,902
Liabilities						
Insurance liabilities	3,138,664	3,138,664	2,108,450	–	1,030,214	–
Financial liabilities:						
– Investment contracts	79,136	79,136	79,136	–	–	–
Trade and other payables	783,391	783,391	783,391	–	–	–
	4,001,191	4,001,191	2,970,977	–	1,030,214	–
Gap (asset – liabilities)	3,985,550	3,985,550	4,183,862	–	(1,030,214)	831,902
Cumulative liquidity gap	**3,985,550**	**3,985,550**	**4,183,862**	**4,183,862**	**3,153,648**	**3,985,550**

The following table shows the undiscounted cash flows on the Company's financial assets and liabilities and on the basis of their earliest possible contractual maturity. The Gross nominal inflow/(outflow) disclosed in the table is the contractual, undiscounted cash flow on the financial liability or commitment.

	Residual contractual maturities of financial assets and liabilities					
	Carrying amount	**Gross nominal inflow/ (outflow)**	**1 – 3 months**	**3 – 6 months**	**6 – 12 months**	**1 – 5 years**
	N'000	**N'000**	**N'000**	**N'000**	**N'000**	**N'000**
Company – 31 December 2012						
Assets						
Cash and cash equivalents	2,671,903	2,671,903	2,671,903	–	–	–
Equity securities – Available-for-sale	16,736	16,736	16,736	–	–	–
Equity securities – Held for trading	126,351	126,351	126,351	–	–	–
Held to maturity	2,241,258	2,241,258	1,482,895	115,893	–	642,470
Other financial instruments held to maturity	–	–	–	–	–	
Trade receivables	231,422	231,422	231,422	–	–	–
	5,287,670	5,287,670	4,529,307	115,893	–	642,470
Liabilities						
Insurance liabilities	1,373,644	1,373,644	707,161	–	666,483	–
Trade and other payables	488,003	488,003	488,003	–	–	–
	1,861,647	1,861,647	1,195,164	–	666,483	–
Gap (asset – liabilities)	3,426,023	3,426,023	3,334,143	115,893	(666,483)	642,470
Cumulative liquidity gap	**3,426,023**	**3,426,023**	**3,334,143**	**3,450,036**	**2,783,553**	**3,426,023**

	Residual contractual maturities of financial assets and liabilities					
	Carrying amount	Gross nominal inflow/ (outflow)	1 – 3 months	3 – 6 months	6 – 12 months	1 – 5 years
	N'000	N'000	N'000	N'000	N'000	N'000
Company – 31 December 2011						
Assets						
Cash and cash equivalents	1,938,389	1,938,389	1,938,389	–	–	–
Equity securities – Available-for-sale	16,736	16,736	16,736	–	–	–
Equity securities – Held for trading	571,818	571,818	445,467	–	–	126,351
Held to maturity	2,487,989	2,487,989	1,532,883	257,342		697,764
Trade receivables	276,724	276,724	276,724	–	–	–
	5,291,656	5,291,656	4,210,199	257,342	–	824,115
Liabilities						
Insurance liabilities	1,403,456	1,403,456	642,667	–	760,789	–
Financial liabilities:						
– Investment contracts	–	–	–	–	–	–
Trade and other payables	380,040	380,040	380,040	–	–	–
	1,783,496	1,783,496	1,022,707	–	760,789	–
Gap (asset – liabilities)	3,508,160	3,508,160	3,187,492	257,342	(760,789)	824,115
Cumulative liquidity gap	**3,508,160**	**3,508,160**	**3,187,492**	**3,444,834**	**2,684,045**	**3,508,160**

	Residual contractual maturities of financial assets and liabilities					
	Carrying amount	Gross nominal inflow/ (outflow)	1 – 3 months	3 – 6 months	6 – 12 months	1 – 5 years
	N'000	N'000	N'000	N'000	N'000	N'000
Company – 1 January 2011						
Assets						
Cash and cash equivalents	3,553,103	3,553,103	3,553,103	–	–	–
Equity securities – Available-for-sale	3,537	3,537	3,537	–	–	–
Equity securities – Held for trading	859,493	859,493	287,675	–		571,818
Held to maturity	269,408	269,408	–	–	–	269,408
Trade receivables	566,645	566,645	566,645	–	–	–
	5,252,186	5,252,186	4,410,960	–	–	841,226
Liabilities						
Insurance liabilities	1,558,656	1,558,656	737,548	–	821,108	–
Trade and other payables	611,730	611,730	611,730	–	–	–
	2,170,386	2,170,386	1,349,278	–	821,108	–
Gap (asset – liabilities)	3,081,800	3,081,800	3,061,682	–	(821,108)	841,226
Cumulative liquidity gap	**3,081,800**	**3,081,800**	**3,061,682**	**3,061,682**	**2,240,574**	**3,081,800**

The following table shows amount expected to be recovered or settled after more than twelve months (non-current) for each asset and liability line item and the amounts expected to be recovered or settled no more than twelve months after the reporting period (current).

Group

	31 December 2012			31 December 2011			1 January 2011		
	Current	**Non-current**	**Total**	Current	Non-current	Total	Current	Non-current	Total
	N'000	**N'000**	**N'000**	N'000	N'000	N'000	N'000	N'000	N'000
Assets									
Cash and cash equivalents	**4,068,517**	**–**	**4,068,517**	3,895,663	–	3,895,663	5,292,507	–	5,292,507
Financial assets	**4,094,984**	**948,384**	**5,043,368**	2,809,689	1,162,445	3,972,134	1,083,894	831,902	1,915,796
Trade receivables	**667,365**	**–**	**667,365**	630,000	–	630,000	778,438	–	778,438
Reinsurance assets	**474,394**	**–**	**474,394**	78,325	64,392	142,717	–	97,919	97,919
Deferred acquisition cost	**175,788**	**–**	**175,788**	192,239	–	192,239	177,679	–	177,679
Other receivables and prepayments	**642,027**	**–**	**642,027**	759,098	–	759,098	658,768	–	658,768
Investment in subsidiaries	**–**	**–**	**–**	–	–	–	–	–	–
Investment property	**–**	**264,334**	**264,334**	–	1,067,072	1,067,072	–	1,153,846	1,153,846
Deferred tax asset	**–**	**100,116**	**100,116**	–	26,101	26,101	–	10,592	10,592
Intangible assets	**–**	**65,695**	**65,695**	–	56,819	56,819	–	68,378	68,378
Property, plant and equipment	**–**	**659,532**	**659,532**	–	597,573	597,573	–	581,577	581,577
Statutory deposit	**–**	**517,619**	**517,619**	–	605,207	605,207	–	590,170	590,170
Total Assets	**10,123,075**	**2,555,680**	**12,678,755**	8,365,014	3,579,609	11,944,623	7,991,286	3,334,384	11,325,670
Liabilities									
Insurance contract liabilities	**3,545,872**	**–**	**3,545,872**	3,439,325	–	3,439,325	3,138,664	–	3,138,664
Investment contract liabilities	**65,591**	**–**	**65,591**	63,432	–	63,432	79,136	–	79,136
Trade payables	**492,509**	**–**	**492,509**	164,014	–	164,014	325,693	–	325,693
Provisions and other payables	**360,710**	**–**	**360,710**	502,556	24,739	527,295	457,698	–	457,698
Deferred income tax liabilities	**–**	**175,787**	**175,787**	–	87,365	87,365	–	86,587	86,587
Current income tax liabilities	**309,763**	**105,046**	**414,809**	387,069	–	387,069	321,919	–	321,919
Total Liabilities	**4,774,445**	**280,833**	**5,055,278**	4,556,396	112,104	4,668,500	4,323,110	86,587	4,409,697
GAP	**5,348,630**	**2,274,847**	**7,623,477**	3,808,618	3,467,505	7,276,123	3,668,176	3,247,797	6,915,973

The following table shows amount expected to be recovered or settled after more than twelve months (non-current) for each asset and liability line item and the amounts expected to be recovered or settled no more than twelve months after the reporting period (current).

Company

	31 December 2012			31 December 2011			1 January 2011		
	Current	**Non-current**	**Total**	Current	Non-current	Total	Current	Non-current	Total
	N'000	**N'000**	**N'000**	N'000	N'000	N'000	N'000	N'000	N'000
Assets									
Cash and cash equivalents	**2,671,903**	**–**	**2,671,903**	1,938,389	–	1,938,389	3,553,103	–	3,553,103
Financial assets	**1,741,875**	**642,470**	**2,384,345**	2,252,428	824,115	3,076,543	291,212	841,226	1,132,438
Trade receivables	**231,422**	**–**	**231,422**	276,724	–	276,724	566,645	–	566,645
Reinsurance assets	**286,791**	**–**	**286,791**	8,925	64,392	73,317	–	97,919	97,919
Deferred acquisition cost	**110,639**	**–**	**110,639**	130,255	–	130,255	136,252	–	136,252
Other receivables and prepayments	**647,172**	**–**	**647,172**	507,941	–	507,941	636,692	–	636,692
Investment in subsidiaries	**–**	**2,705,576**	**2,705,576**	–	2,455,576	2,455,576	–	2,405,576	2,405,576
Investment property	**–**	**182,667**	**182,667**	–	446,000	446,000	–	528,699	528,699
Deferred tax asset	**–**	**–**	**–**	–	–	–	–	–	–
Intangible assets	**–**	**53,316**	**53,316**	–	37,687	37,687	–	41,364	41,364
Property, plant and equipment	**–**	**361,731**	**361,731**	–	333,590	333,590	–	306,148	306,148
Statutory deposit	**–**	**300,000**	**300,000**	–	300,000	300,000	–	300,000	300,000
Total Assets	**5,689,802**	**4,245,760**	**9,935,562**	5,114,662	4,461,360	9,576,022	5,183,904	4,520,932	9,704,836
Liabilities									
Insurance contract liabilities	**1,373,644**	**–**	**1,373,644**	1,403,456	–	1,403,456	1,558,656	–	1,558,656
Investment contract liabilities	**–**	**–**	**–**	–	–	–	–	–	–
Trade payables	**231,036**	**–**	**231,036**	117,770	–	117,770	320,851	–	320,851
Provisions and other payables	**256,967**	**–**	**256,967**	262,270	–	262,270	290,879	–	290,879
Deferred income tax liabilities	**–**	**124,175**	**124,175**	–	63,554	63,554	–	59,036	59,036
Current income tax liabilities	**114,911**	**105,046**	**219,957**	230,931	–	230,931	265,060	–	265,060
Total Liabilities	**1,976,558**	**229,221**	**2,205,779**	2,014,427	63,554	2,077,981	2,435,446	59,036	2,494,482
GAP	**3,713,244**	**4,016,539**	**7,729,783**	3,100,235	4,397,806	7,498,041	2,748,458	4,461,896	7,210,354

Insurance risk

The claims development history of the Company at the reporting date was as follows:

Engineering

	Development Year							
Accident Year	0	1	2	3	4	5	6	7
2005	5,101,029	7,078,191	7,707,065	7,846,989	7,846,989	7,846,989	7,846,989	7,846,989
2006	612,979	793,521	31,361,731	35,413,830	35,413,830	35,413,830	35,413,830	
2007	3,061,915	18,730,090	20,837,895	20,837,895	20,837,895	20,837,895		
2008	1,183,499	9,781,557	20,000,023	20,000,023	20,000,023			
2009	2,360,909	43,629,952	43,836,452	43,836,452				
2010	7,608,992	37,059,857	63,710,125					
2011	16,696,398	24,873,634						
2012	**46,746,703**							

Fire

	Development							
Accident Period	0	1	2	3	4	5	6	7
2005	24,626,496	52,968,925	54,936,028	56,360,134	56,769,218	56,769,218	56,769,218	56,769,218
2006	39,475,555	46,368,939	490,581,056	496,519,505	496,519,505	496,519,505	496,519,505	
2007	23,303,768	44,330,380	53,656,663	54,050,853	54,756,866	55,992,051		
2008	90,087,550	179,631,370	190,952,400	190,952,400	190,952,400			
2009	40,937,273	114,548,121	119,212,960	119,212,960				
2010	14,058,843	25,577,128	27,677,117					
2011	8,850,612	112,767,765						
2012	**6,956,337**							

General Accident

	Development							
Accident Period	0	1	2	3	4	5	6	7
2005	46,782,936	58,251,674	60,284,732	62,317,212	62,317,212	62,476,631	62,476,631	62,476,631
2006	91,595,818	113,269,872	120,799,413	177,981,826	178,057,017	178,057,017	178,057,017	
2007	149,431,329	228,225,954	234,903,824	237,776,859	238,961,729	242,705,888		
2008	139,156,977	266,979,687	293,081,769	298,934,647	404,812,791			
2009	139,842,401	235,880,317	246,513,512	268,392,329				
2010	182,585,303	260,366,932	267,087,136					
2011	178,418,286	208,905,420						
2012	**37,324,821**							

Motor

	Development							
Accident Period	0	1	2	3	4	5	6	7
2005	116,611,166	135,681,945	139,481,283	143,297,619	143,297,619	143,297,619	143,297,619	143,297,619
2006	120,697,054	129,060,814	131,620,795	131,946,802	132,128,490	132,128,490	132,128,490	
2007	313,014,716	373,033,672	397,157,542	397,286,592	397,286,592	397,286,592		
2008	593,900,220	662,284,146	673,127,360	674,312,064	674,312,064			
2009	642,950,796	677,636,624	678,754,140	678,754,140				
2010	380,486,527	395,997,091	396,260,808					
2011	288,435,665	295,665,676						
2012	**120,160,436**							

Fair Value Hierarchy

The Group's accounting policy and basis of fair value measurements are disclosed under notes 3.2(d) and 4.

Level 1: Quoted market price in an active market for an identical instrument.

Level 2: Valuation techniques based on observable inputs. This category includes instruments valued using: quoted market prices in active markets for similar instruments; quoted prices for similar instruments in markets that are considered less than active; or other valuation techniques where all significant inputs are directly or indirectly observable from market data.

Level 3: This includes financial instruments, the valuation of which incorporate significant inputs for the asset or liability that is not based on observable market data (unobservable inputs). Unobservable inputs are those not readily available in an active market due to market illiquidity or complexity of the product. These inputs are generally determined based on inputs of a similar nature, historic observations on the level of the input or analytical techniques.

The table below analyses financial instruments measured at fair value at the end of the year, by the level in the fair value hierarchy into which the fair value measurement is categorised:

		31 December 2012			
	Notes	**Level 1**	**Level 2**	**Level 3**	**Total balance**
		N'000	**N'000**	**N'000**	**N'000**
Group					
Assets					
Equity securities – Available-for-sale	8(a)	–	–	16,736	16,736
Equity securities – Held for trading	8(b)	158,942	–	–	158,942
Total financial assets measured at fair value		**158,942**	**–**	**16,736**	**175,678**

		31 December 2011			
	Notes	Level 1	Level 2	Level 3	Total balance
		N'000	N'000	N'000	N'000
Group					
Assets					
Equity securities – Available-for-sale	8(a)	–	–	16,736	16,736
Equity securities – Held for trading	8(b)	831,902	–	–	831,902
Total financial assets measured at fair value		**831,902**	**–**	**16,736**	**848,638**

		1 January 2011			
	Notes	Level 1	Level 2	Level 3	Total balance
		N'000	N'000	N'000	N'000
Group					
Assets					
Equity securities – Available-for-sale	8(a)	–	–	3,537	3,537
Equity securities – Held for trading	8(b)	1,433,950	–	–	1,433,950
Total financial assets measured at fair value		**1,433,950**	**–**	**3,537**	**1,437,487**

	Notes	31 December 2012			
		Level 1	**Level 2**	**Level 3**	**Total balance**
		N'000	**N'000**	**N'000**	**N'000**
Company					
Assets					
Equity securities – Available-for-sale	8(a)	–	–	16,736	16,736
Equity securities – Held for trading	8(b)	126,351	–	–	126,351
Total financial assets measured at fair value		**126,351**	**–**	**16,736**	**143,087**

	Notes	31 December 2011			
		Level 1	Level 2	Level 3	Total balance
		N'000	N'000	N'000	N'000
Company					
Assets					
Equity securities – Available-for-sale	8(a)	–	–	16,736	16,736
Equity securities – Held for trading	8(b)	571,818	–	–	571,818
Total financial assets measured at fair value		**571,818**	**–**	**16,736**	**588,554**

	Notes	1 January 2011			
		Level 1	Level 2	Level 3	Total balance
		N'000	N'000	N'000	N'000
Company					
Assets					
Equity securities – Available-for-sale	8(a)	–	–	3,537	3,537
Equity securities – Held for trading	8(b)	859,493	–	–	859,493
Total financial assets measured at fair value		**859,493**	**–**	**3,537**	**863,030**

Capital Management

The Company's objectives with respect to capital management are to maintain a capital base that is structured to exceed regulatory and to best utilize capital allocations.

Insurance industry regulator measures the financial strength of Non-life insurers using a solvency margin model, NAICOM generally expect non-life insurers to comply with this capital adequacy requirement. This test compares insurers' capital against the risk profile. Section 24 (1) of the Insurance Act, 2003 requires that an insurer shall in respect of its business other than its life insurance business, maintain at all times a margin of solvency being the excess of the value of its admissible assets in Nigeria over its liabilities in Nigeria. The solvency margin shall not be less than 15% of the gross premium income less reinsurance premiums paid out during the year under review or the minimum paid-up capital which ever is greater. During the year, the Company has consistently exceeded this minimum. The regulator has the authority to request more extensive reporting and can place restrictions on the Company's operations if the Company falls below this requirement as deemed necessary.

The solvency margin for the Company as at 31 December 2012 was as follows;

	N'000	N'000
Excess of Assets (Admissible assets) over Liabilities – Solvency Margin		
		6,791,636
Higher of:		
Gross premium written	2,232,122	
Less: Reinsurance paid during the year	(602,044)	
Net Premium	1,630,078	
15% of Net premium	244,512	
Minimum capital base – Non life	3,000,000	
Minimum capital base – Life	2,000,000	
The higher thereof:		3,000,000
Surplus in Solvency Margin over minimum capital base		**3,791,636**
Solvency Ratio		226%

The Company further developed an internal capital adequacy model that assesses the risk of assets, policy liabilities and other exposures by applying various factors. The model calculates the capital required for each class of the broad risks identified by the Company and aggregates through co-variance methodology that considers the relationship among these risk categories.

Limit Management and Monitoring

Active management of liquidity through the framework of limits and control presented above is possible only with proper monitoring capabilities. The Company's investment department is responsible for maintaining sufficient liquidity by maintaining a balanced investment portfolio adequate to pay claims as they crystallise. Risk management exercises oversight risk functions on the investment department to ensure this is in place. Liquidity risk is reported to the Board of Directors on a quarterly basis.

The Company monitors its liquidity position and funding strategies on an ongoing basis, but recognises that unexpected events, economic or market conditions, earnings problems or situations beyond its control could cause either a short- or long-term liquidity crisis. It reviews its contingency funding plan in the light of evolving market conditions and stress test results.

Stress testing

Market risk complements the capital adequacy measurement by regular stress testing of market risk exposures to highlight the potential risk that may arise from extreme market events that are rare but plausible.

Stress testing is an integral part of the market risk management framework and considers both historical market events and forward-looking scenarios.

Stress testing provides an indication of the potential size of losses that could arise in extreme conditions. It helps to identify risk concentrations across business lines and assist senior management in capital planning decisions.

A consistent stress testing methodology is applied on all investment activities. The stress testing methodology assumes that scope for management action would be limited during a stress event, reflecting the decrease in market liquidity that often occurs. The Company performs two main types of stress/scenario testing. Firstly, risk stress testing, where extended historical stress moves are applied to each of the main risk categories, which include interest rate and equity. Secondly, the balance sheet is subjected to multi-factor scenarios that simulates past periods of significant market disturbance and hypothetical extreme yet plausible events.

Stress scenarios are regularly updated to reflect changes in risk profile and economic events. Regular stress test scenarios are applied to interest rates and equity prices. Ad hoc scenarios are also prepared reflecting specific market conditions of risk that arise within the businesses.

Analysis of economic sensitivities for equity risk

The table below shows the estimated impacts from a 10%, 20% and 30% decline in stock markets as at 31 December 2012.

Equity Price sensitivity in millions of Naira

	Group			Company		
Decline in stock market price	10% decline	20% decline	30% decline	10% decline	20% decline	30% decline
	N'm	N'm	N'm	N'm	N'm	N'm
Investment	(22)	(38)	(54)	(10)	(13)	(16)
Liabilities	–	–	–	–	–	–
Net impact before tax	(22)	(38)	(54)	(10)	(13)	(16)
Tax impact	7	11	16	3	4	5
Net impact after tax	(15)	(26)	(37)	(7)	(9)	(11)

Analysis of sensitivities for investment property

The table below shows the estimated impacts from a 10%, 20% and 30% decline in property price as at 31 December 2012.

Investment Property sensitivity in millions of Naira

	Group			Company		
Decline in investment property price	10% decline	20% decline	30% decline	10% decline	20% decline	30% decline
	N'm	N'm	N'm	N'm	N'm	N'm
Investment Property	(26)	(53)	(79)	(18)	(37)	(55)
Liabilities	–	–	–	–	–	–
Net income before tax	(26)	(53)	(79)	(18)	(37)	(55)
Tax impact	8	16	24	5	11	16
Net income after tax	(19)	(37)	(56)	(13)	(26)	(38)

The Company's profit before tax was able to absorb the effect of the reduction in the price of equity and investment property.

Limitations of the analysis:

- The sensitivity analysis does not take into account actions that might be taken to mitigate losses, as an active strategy to manage these risks. This strategy may involve changing the asset allocation, for example through selling and buying assets;
- The sensitivities show the effects of a change of certain risk factors, while other assumptions remain unchanged;
- The equity market scenarios assume a concurrent movement of all stockmarkets; and
- The sensitivities do not indicate a probability of such events occurring in the future. In addition, management uses stress scenarios to assess the impact of more severe market movements on the Company's financial condition.

Risk limits

Risk limits are set and reviewed at least annually to control Wapic's investment activities in line with the defined risk appetite. Criteria for setting risk limits include relevant market analysis, market liquidity and business strategy.

Compliance Risk Management

Wapic Insurance philosophy is to consistently comply fully with all the applicable laws and regulations governing our activities. Compliance risk is the risk of damage to the Company's integrity as a result of failure (or perceived failure) to comply with relevant laws, regulations, internal policies and procedures or ethical standards. In addition to reputational damage, failure to effectively manage compliance risk can expose financial institutions to fines, civil and criminal penalties, payment of damages, court orders, and suspension or revocation of licences. A failure (or perceived failure) can adversely impact customers, staffs, counterparties and shareholders of Wapic Insurance Plc.

The Company believes that fully embedded compliance risk management preserves the trust its customers, shareholders and staff have in the Company and it is important to the way Wapic Insurance and its subsidiaries does business. Managing compliance risk is fundamentally for driving value. Laying the foundation of long-term business sustainability requires proper conduct of business activities in accordance with the high ethical standards of Wapic Insurance Business principles. These principles do not only reflect laws and regulations, but are also based on the Company's core values: leadership, excellence, empowered employees, passion for customers, professionalism, and innovation.

Sequel to recent changes in the insurance industry, continuous introduction of new legislations and new guidelines by NAICOM, have placed greater emphasis on the formal structured monitoring of compliance with legal, regulatory, supervisory and internal requirements. Although legislative changes place an administrative burden on the Company, the development of framework provides the Company with an opportunity to commit more openly to a culture of compliance within Wapic Insurance and its subsidiaries. In ensuring compliance with laws and regulations, the Company had put in place a robust compliance risk management policy which set out guidelines to manage the Group's compliance risk made indispensable by the expansion of Wapic Insurance activities in various jurisdictions, the evolving nature of the Global financial service industry, the introduction of new legislation, and the update of existing legislation, as well as the increasing complexities of the Company's activities.

An efficient infrastructure has been put in place to enable management to track current and emerging compliance risk issues, to communicate these internal and external stakeholders, and to drive continuous improvement. Wapic Insurance Plc understands that good compliance risk management involves understanding and delivering on the expectations of customers and other stakeholders, thereby improving the quality of key relationships based on honesty, integrity and fairness.

Our compliance framework provides the platform for the compliance programmes that are consistently applied across the Company to manage compliance risk. The framework has put in place a Group-wide reporting compliance framework encompassing both mandatory (regulatory) and non-mandatory (self-regulatory) compliance. This framework includes a common approach to commitment and accountability, policies and procedures, controls and supervision, monitoring, regulatory change management, education and awareness and reporting.

We approach compliance risk management on an enterprise and line of business level. The Compliance and Internal Control function provide oversight of significant compliance risk issues. The function also develops and guides the strategies, policies and practices for assessing and managing Compliance Resources Officers Meeting set up to develop, manage and integrate a compliance culture that meets global standards within the organisation. Through education and communication efforts, a culture of compliance is emphasised across the organisation.

We also mitigate compliance risk through a broad-based approach to process management and improvement. The lines of business are responsible for all the risk within the business line, including compliance risk. Compliance Risk Officers have developed key tools to address and measure compliance risks and to ensure compliance with laws and regulations in each line of business.

Operational Risk Framework

Operational risk is the risk of loss resulting from inadequate or failed internal processes, people, or systems, or from external events. Our definition of operational risk excludes regulatory risks, strategic risks and potential losses related solely to judgements with regard to taking credit, market, interest rate, liquidity, or insurance risks.

It also includes the reputation and franchise risk associated with business practices or market conduct in which the Company is involved. Operational risk is inherent in Wapic's global business activities and, as with other risk types, is managed through an overall framework designed to balance strong corporate oversight with well-defined independent risk management. This framework includes:

- Recognised ownership of the risk by the businesses;
- Oversight by independent risk management; and
- Independent review by Corporate Audit.

We seek to minimise exposure to operational risk, subject to cost trade-offs. Operational risk exposures are managed through a consistent set of management processes that drive risk identification, assessment, control and monitoring.

The goal is to keep operational risk at appropriate levels relative to the characteristics of our businesses, the markets where we operate, our capital and liquidity, and the competitive, economic and regulatory environment. Notwithstanding these controls, Wapic Group incurs operational losses.

Wapic's Risk Management had commenced developing and implementing a robust ORM Framework for effective management of Operational Risks (OR) in the Company. Understanding the importance of strong OR culture in the effective management of risks is paramount.

The implementation of OR framework is in compliance with regulatory demand, the OR framework of Wapic recognises the need to align its framework with Wapic's dynamic risk profile as well as best practices. The framework identifies the necessity to accept OR losses that would not cause significant loss to the institution albeit such losses are provided for in the budget. However, OR losses that are assessed high with resultant significant losses are addressed by the framework.

Management and Control Responsibilities

In Wapic, we adopted a three-line approach to managing OR risks. This is shown in the diagram below.

From the diagram, the business units form the first level in the management of OR Risks. OR unit works with the various business units to ensure that day-to-day activities are well run and any deviation from standards that may result in either financial loss or otherwise are immediately noted, flagged and managed. The periodic reports generated by OR unit are disseminated to management to aid their decision making and to seek approval for corrective action implementation. The Management being the second line of OR management has the responsibility to ensure that OR policy and procedures are in place and well enforced. The Board ensures that the policy and procedure manuals are approved and reviewed periodically to reflect changes in business environments.

Measurement and Management

Wapic recognises the importance of Operational Risk and is committed to enhancing the measurement and management thereof. Within the Company's operational risk framework, qualitative and quantitative methodologies and tools are applied (Company-wide) to identify and assess operational risks and to provide management information for determining appropriate mitigating measures risks.

Risk Event Data Collection and Reporting

To properly keep log of risk exposures for both actual losses and potential losses we have commenced timely OR intervention by initiating and establishing Company-wide loss data collection. The data gathered reside in database on our shared-drive platform for future references and analysis of internal model of capital computation. General awareness on loss reporting and several other initiatives have been deployed to increase the commitment level of staff to freely report any losses and/or errors.

Risk and Control Self-Assessment (RCSA)

In order to proactively identify and actively mitigate risks, the operational risk framework utilises RCSAs. RCSA is used at a granular level to identify relevant material risks and key controls mitigating these risks. In 2012, we have initiated an extensive RCSA programme, geared towards assessing the risks inherent in the processes of all business units. The risks and controls are assessed on a quarterly basis and relevant action plans are put in place to treat, tolerate, terminate or transfer the risks, taking into account the relevant business risk appetites.

The effectiveness of this programme is evaluated by the Internal Audit with improvements suggested where necessary.

Management and Control Responsibilities

Key Risk Indicators (KRIs)
This is another OR management metric deployed towards the effective management of OR exposures in Wapic. A comprehensive set of KRIs are in place across Wapic, with relevant and agreed thresholds set by the business. KRIs are monitored on a Group and business unit level, based on significance. Threshold breaches are managed in accordance with an agreed process across the Group.

Reporting
Timely and effective reporting of risk exposures to the management is germane to the overall effectiveness and success of any risk management framework. To that effect, reports generated from the implementation of techniques like KRI, RCSA etc. are regularly submitted to the management and Enterprise Risk Management Committee for information and effective decision making.

Allocating Capital to Business Units
An allocation methodology is applied for allocating capital to business units. For each business unit, the allocation takes into consideration not only the size of the business unit, but also measures of the business unit's control environment. This translates to a risk-sensitive allocation with the opportunity afforded to business to identify actions to positively impact on their respective allocated operational risk capital.

Expected Loss (EL) budgeting mitigation
The ERM team developed a database for loss event collation named Loss Event Register. This register allows staff to report actual and near-miss (an unplanned event that did not result in injury, illness, or damage – but had the potential to do so) loss events. Summary statistics from the loss event database are used to show trends of total losses and mean average loss, with analysis by type of loss and business line.

Insurance Mitigation
In line with the nature of our business as well as regulatory requirements, we have secured insurance coverage on certain transactions; Wapic purchases a cluster of insurance policies to meet counterparty commitments as well as stakeholders' expectation. The primary insurance policies secured by the Company on behalf of staff include:

- Group accident insurance; and
- Group life insurance.

Information Security and Continuity of Business
As part of our efforts to manage possible legal and reputational risks exposures that may arise from the mismanagement of our clients' information, Wapic ensures that all clients' data are adequately safeguarded. Interestingly, in our business combination with IPL, inherited clients and staff data from this entity were seamlessly migrated onto our platform with confidentiality and integrity of the data intact.

Business continuity initiatives have been developed and implemented Company-wide. Strategies for crisis management were introduced. For example, a fire-drill exercise was conducted in December 2012 to simulate and improve response patterns. Staffs have also been undergoing training on the concept of Business Continuity Management (BCM) and compliance to business continuity standards is adequately enforced within the Company.

Reputational Risk Management
Reputation risk is the risk of indirect losses arising from a decline in an insurer's reputation amongst one or multiple insurer stakeholders. The risk can expose the insurer to litigation, financial loss or damage to its reputation. Reputation can primarily be damaged by an insurer's failure to manage the risks that it faces (such as Liquidity risk, Underwriting risk, Market risk, Operational risk or other material risks) as well as some external factors that are beyond its control (e.g. market rumours). Such damage may lead to serious consequences with immediate or long-term implications.

At Wapic, we have created a structure within the Risk Management Group that effectively carries out the function of managing our reputation risk. Issues that could impact our reputation have been considered in our products, our services and other areas of engagements with all our stakeholders in a proactive manner. We adequately managed potential reputational issues that could have arisen from our business combination with IPL and other restructuring initiatives executed in 2012. Reports are equally being generated and presented to the management and the Enterprise Risk Management Committee on a monthly basis.

Strategic risk
Strategic risk corresponds to the unintended risk that can result as a by-product of planning or executing the strategy. Strategic risks can arise from:

- Inadequate assessment of strategic plans;
- Improper implementation of strategic plans; and
- Unexpected changes to assumptions underlying strategic plans.

Risk considerations are a key element in the strategic decision-making process. Wapic assesses the implications of strategic decisions on risk-based return measures and risk-based capital in order to optimise the risk-return profile and to take advantage of economically profitable growth opportunities as they arise.

Wapic works on reducing the unintended risks of strategic business decisions through its risk assessment processes and tools. Wapic's Executive Committee regularly assesses key strategic risk scenarios for Wapic as a whole, including scenarios for emerging risks and their strategic implications.

Wapic conducts risk assessments of Merger and Acquisition (M&A) transactions to evaluate risks specifically related to the integration of Intercontinental Property Limited (IPL) acquired business.

Board of Directors

Our Board comprises accomplished financial services experts with a combined wealth of experience spanning over two centuries. The Board includes Executive and Non-Executive Directors, some of who are Independent:

Non-Executive Directors

- Aigboje Aig-Imoukhuede, CON (Chairman)
- Bababode Osunkoya (Independent)
- Titi Osuntoki (Independent)
- Adamu Atta
- Barnabas Olise
- Taukeme Koroye
- Ojini Olaghere
- Victor Etuokwu

Executive Directors

- Segun Balogun (Managing Director)
- David Aluko (Deputy Managing Director)
- Richard Adewole (Executive Director)

Aigboje Aig-Imoukhuede (CON)
Chairman

Aigboje Aig-Imoukhuede's banking career spans over two decades. He spent over 10 years at Guaranty Trust Bank Plc (GT Bank) and resigned in 2001 to lead a dynamic team of accomplished bankers as the Managing Director/Chief Executive Officer of Access Bank Plc with the mandate to transform the bank into a world-class financial services provider.

Aigboje's visionary leadership has inspired Access Bank's rapid and unprecedented growth over the past decade and has seen the Bank develop to rank amongst the top four banks in Nigeria.

This year, Aigboje was awarded with the prestigious African Banker of the Year Award by IC Publications, publisher of the African Banker Magazine. In 2012, he emerged the winner of the "2011 Ernst & Young West Africa Entrepreneur of The Year" award. Aigboje has served the nation in different capacities where his contributions and insights have facilitated the achievement of set goals. This includes his current membership in the National Economic Management Team.

He was awarded the prestigious National Honor, Commander of the Order of the Niger, in recognition of his contributions to the development of the Nigerian economy. Aigboje is an alumnus of Harvard Business School Executive Management Programme.

He holds LLB and BL degrees from the University of Benin and the Nigeria Law School respectively. He is an honorary fellow of the Chartered Institute of Bankers of Nigeria.

Bababode Osunkoya
Independent Director

Bode Osunkoya is a Chartered Accountant with over two decades of cognate post-qualification experience in Banking, Audit, Accountancy, Taxation, Business and Financial Advisory. Bababode commenced his training with the firm of Z. O. Ososanya & Co (Chartered Accountants) where he qualified as a Chartered Accountant in 1986. After some years he moved to Abacus Merchant Bank Limited and thereafter Konsuma Credit Limited, where he honed his financial skills. In 1994, he founded Bababode Osunkoya & Co. (Chartered Accountants), a firm he nurtured until 2008 when he became a partner in Abax-OOSA Professionals, a firm of Chartered Accountants, formed by a merger with three other firms. Bababode served two consecutive tenures as Managing Partner, before reverting to Senior Partner in 2012.

Bababode is a 1984 graduate of the Department of Accounting, University of Lagos. He is a Fellow of the Institute of Chartered Accountants of Nigeria (ICAN), a Fellow of the Chartered Institute of Taxation of Nigeria (CITN), and an Associate Member of the Institute of Directors (IoD). In March 2010, he became one of the first batches of Certified Forensic Accountants of the Institute of Chartered Accountants of Nigeria. Bode is a member of the Public Practice Monitoring Committee of the Institute of Chartered Accountants of Nigeria.

Titi Osuntoki
Independent Director
Titi Osuntoki is a consummate banker who possesses over two decades of cognate experience across various fields in the financial services industry including Marketing, Treasury, Currency Trading, Corporate Finance, Financial Control, Risk Management, and Strategic Planning. She is currently the Chief Executive Officer of GTO Professional Services Limited, a business consultancy outfit based in Lagos. Prior to this, she was an Executive Director at Guaranty Trust Bank Plc (GTBank), from 2008 till October 2011. In that role, she had direct responsibility for all marketing operations in the Lagos Division as well as strategy formulation at GTBank.

Titi is a member of the Non-oil/Non-Agric Policy Commission of the Nigerian Economic Summit Group. She has served as Director of a number of notable companies within and outside Nigeria such as Guaranty Trust Bank (Sierra Leone) Limited; FITC Limited; Patrick Speech and Languages Centre Limited, and the CRC (Credit Bureau) Limited. She was a member of the Governing Board of Massey Street Children Hospital, Lagos between 2008 and 2011.

Mrs. Osuntoki holds a B.Sc. in Civil Engineering and an MBA from the University Of Lagos, Nigeria. She has attended various executive management programmes in Harvard Business School, USA; Stanford Graduate School of Business, USA; INSEAD, France; IMD, Switzerland etc. She is an alumnus of the Cranfield University School of Management, UK.

Adamu Atta
Non-Executive Director
Adamu Atta is the Chief Executive, Matad Group Nigeria Ltd, an investment company with operations across Africa. He also sits on the Board of a number of first class companies.

An astute business man with over two decade experience in financial management and consulting, he has developed an enviable portfolio of clients. His consultancy provides services for worldclass companies such as Shell, Nigerian National Petroleum Corporation (NNPC), Nigerian Liquefied Natural Gas Company (NLNG), First Bank of Nigeria Plc and Lafarge Plc amongst others.

His involvements also extend into projects for the World Bank, UNICEF, DFID and HYSON mainly in the areas of infrastructure, financial services, capacity building, hospitality and tourism, housing, transportation and logistics. His other interests include textile and garments, cement, food and beverage production. He has also served on various Committees in Oil and Gas and Textile sectors and was a pioneer member of the Nigerian Business Forum.

He holds a B.A. in International Relations and Economics and an MA in Development Economics from the United States International University and University of California, and a Masters in Political Economics from Ahmadu Bello University, Zaria.

Barnabas Olise
Non-Executive Director
Barnabas Olise is the Managing Partner/CEO Of Enterprise Value Matrix Consult (EVMC) Limited, a multidisciplinary consultancy firm established in 2010. Olise's rich pool of work experience spans nearly two decades and covers Auditing, Consulting and Banking.

Barnabas began his career in Deloitte, an international firm of Chartered Accountants as an audit trainee. He spent nearly a decade with the firm and gained cognate experience in auditing companies operating in virtually every sector of the Nigerian economy. Following his stint at Deloitte, he joined former Intercontinental Bank (now Access Bank Plc) and facilitated the expansion of the Ghanaian subsidiary's branch expansion to 28 outlets. He served as the Bank's Group Head, Project Management and later Group Executive, Management Services and Franchise Expansion before resigning from the Bank to set up a consultancy.

Barnabas holds a BSc. in Mathematics from the University of Ibadan and is an Associate member of the Chartered Institute of Accountants of Nigeria (ICAN). He is happily married with children.

Board of Directors
continued

Taukeme Koroye
Non-Executive Director
Taukeme Koroye began his banking career with Nigeria International Bank (NIB) Limited (now Citibank Nigeria) in 1987, having acquired four years' professional accounting experience at Price Waterhouse (now PricewaterhouseCoopers).

At NIB, his work experience spanned several departments including Corporate Finance, Corporate Banking, Personal Banking, Global Trade and Treasury Operations. He rose to the position of Vice President, Operations and Technology, prior to joining Access Bank Plc in 2002.

He is a graduate of Business Administration from the University of Lagos; a Fellow of the Institute of Chartered Accountants of Nigeria (ICAN) and IMD; and an alumnus of the Harvard Business School.

Ojini Olaghere
Non-Executive Director
Ojini Olaghere began her career as an auditor with Coopers & Lybrand Associates (now PricewaterhouseCoopers) before joining the Banking Industry. She started her banking career in 1991 with Ecobank Nigeria Plc. and has since garnered cognate experience in many key banking functions including Retail Banking, Commercial Banking, Branch Services and General Resource Management.

She is a Fellow of the Institute of Chartered Accountants of Nigeria and an Honorary Senior Member of the Chartered Institute of Bankers (HCIB). Ojini also holds a Bachelor of Arts degree in French (1984) from University of Nigeria, Nsukka.

Victor Etuokwu
Non-Executive Director
Victor Etuokwu possesses about 20 years' banking experience cutting across banking operations and information technology, internal control, general administration, retail banking, business acquisition and integration.

He joined Access Bank in July 2003 from Citibank Nigeria and was promoted to General Manager in February 2008. He has served the Bank in different capacities, leading several successful and critically important projects across the Bank. The latest of such projects was the acquisition of controlling equity interest in Intercontinental Bank Plc and the subsequent merger of both banks.

Victor holds a Bachelor of Science Degree and Masters of Business Administration degree from the University of Ibadan and University of Benin respectively. He is a Senior Honorary member of the Chartered Institute of Bankers of Nigeria.

Segun Balogun
Managing Director
Segun Balogun's cognate experience spans nearly three decades in the Insurance industry since graduating from the University of Lagos in 1984. Prior to his appointment as the Managing Director/Chief Executive Officer of Wapic Insurance Plc, he was the Managing Director/Chief Executive at Metropolitan Trust Insurance Company. He also worked at Confidence Insurance Company Limited (1985 to 1986), Glanville Enthoven (1986), UNIC Insurance (1986 to 1990), LASACO (1987 to 1990) and New Line Insurance Company Limited (1990 to 1992).

Segun was for many years a part-time lecturer at a private tutorial college for the Chartered Insurance Institute of Nigeria (CIIN). He is a member of both the Island Club and Ikoyi Club 1938. He is a 2007 University of Lagos Alumni Association Merit Award winner for outstanding contributions and commitment to national development. Segun is a Fellow of the Chartered Insurance Institute of Nigeria.

David Aluko
Deputy Managing Director
David Aluko's professional career spans over two decades in banking and finance having acquired cognate experience both from within and outside Nigeria. At Access Bank, his commitment to professionalism contributed to the excellent co-ordination of the successes of the Bank's Ghanaian and Ivoirian subsidiaries where he had served as an Executive Director at various times.

He graduated from University of Lagos in 1988 with B.Sc. (Hons.) in Accounting. David also wields an MBA in Banking & Finance from University of Nigeria, Nsukka (2008). David is an Associate of both the Institute of Chartered Accountants of Nigeria (ICAN) and the Chartered Institute of Bankers of Nigeria (CIBN). He is an alumnus of London Business School and Lagos Business School and was formerly the Group Head, Commercial Banking South-South Region for Access Bank Plc.

Richard Adewole
Executive Director
Richard Adewole graduated with distinctions in accounting (1989) and became an Associate Member of the Institute of Chartered Accountants of Nigeria in 1991. By 1995 he became an Associate Member of the Nigeria Institute of Management (AMNIM) and later earned a MSc. in Banking and Finance from the University of Ibadan in 1997.

He started his career with Patrick Uwakwe & Co. Chartered Accountants as an Audit Assistant/Trainee later moving to Afribank Nigeria Plc as Senior Executive Officer. He worked in a number of Banks including RIMS Merchant Bank and FBN (Merchant Bankers) Limited before joining former Intercontinental Bank Plc (now Access Bank Plc) in 1997 where he rose to become the Financial Controller. He also served as Branch Manager for many branches in Lagos before his redeployment to the South West Region of the Bank as a Regional Executive and thereafter on secondment to Wapic Insurance Plc.

Richard is an Associate member of the Chartered Institute of Taxation of Nigeria (2004) and the Chartered Institute of Stockbrokers (2005) respectively.

Corporate Information

Directors

Aigboje Aig-Imoukhuede, CON	Chairman
Mr. Segun Balogun	Managing Director/Chief Executive Officer
Mr. David Aluko*	Deputy Managing Director
Mr. Victor Etuokwu	Non-Executive Director
Ms. Ojini Olaghere	Non-Executive Director
Mr. Taukeme Koroye****	Non-Executive Director
Mr. Barnabas Olise	Non-Executive Director
Mr. Richard Abiodun Adewole	Executive Director
Alhaji (Dr) Isyaku Umar**	Non-Executive Director
Mr. Obinna Nwosu**	Non-Executive Director
Mr. Iheanacho Ugochukwu**	Non-Executive Director
Mr. Bababode Osunkoya***	Non-Executive Director
Mrs. Titilayo Osuntoki***	Non-Executive Director
Mr. Adamu Mahmound Atta***	Non-Executive Director

* Appointed during the year effective 23 May 2012.
** Retired effective 31 December 2012.
*** Appointed subsequent to year end effective 1 January 2013.
**** Appointed during the year effective 20 February 2012.

Corporate Office	WAPIC Insurance PLC 50, Awolowo Road, Ikoyi P.O. Box 55508, Falomo, Ikoyi, Lagos Telephone: +234 1 811 9857, 461 5153 Email: wapicinsurance@accessbankplc.com Website: www.wapicinsuranceplc.com
Auditor	KPMG Professional Services, KPMG Tower, Bishop Aboyade Cole Street, Victoria Island, Lagos. Telephone: +234 1 463 0291-3 www.ng.kpmg.com
Company Secretary	Ms. Mary Agha
Bankers	Access Bank Plc Fidelity Bank Plc Guaranty Trust Bank Plc First Bank of Nigeria Diamond Bank Plc Skye Bank Keystone Bank Ltd Sterling Bank Ltd Wema Bank Plc Ecobank Nigeria Plc
Reinsurers	African Reinsurance Corporation Continental Reinsurance Plc Munich Reinsurance Company Limited Nigerian Reinsurance Corporation Ghana Reinsurance Company Limited Waica Reinsurance Corporation
Actuaries	HR Nigeria Limited FRC/NAS/00000000738
	Alexander Forbes Nigeria Limited FRC/2012/0000000000504
Estate Surveyor and Valuer	Jide Taiwo & Co. Limited FRC/2012/0000000000254
Registrar	United Securities Limited, 10 Amodu Ojikutu Street, Victoria Island, Lagos Telephone: +234 01 730898, +234 01 730891

Directors' Report

For the year ended 31 December 2012

The Directors are pleased to submit their report together with the audited financial statements of Wapic Insurance Plc ("the Company"), formerly Intercontinental Wapic Insurance Plc and its subsidiaries (together "the Group") for the year ended 31 December 2012.

Legal form and principal activity

The Company was incorporated on 14 March 1958 as a private limited liability Company under the name of West African Provincial Insurance Company Limited. It became a public limited liability company in 1990 when the Company's shares were listed on the Nigerian Stock Exchange. The Company secured a life insurance business licence from National Insurance Commission (NAICOM) in 2000 and became a composite insurance business. The Company separated the life business and transferred the related assets and liabilities to its subsidiary, Intercontinental Life Assurance Limited, on 1 March 2007 through which it continues to provide life assurance services. The Company operates from its corporate office in Lagos and branches in major cities of the Federation.

The Company has two wholly owned subsidiaries which include: Wapic Life Assurance Limited and Wapic Insurance Ghana Limited.

The Group is principally engaged in the provision of various classes of insurance such as general accident, fire, motor, engineering, marine insurances and life assurance businesses. The Group also transacts insurance business for aviation, oil & gas and other special risks.

Change of name

The Company, formerly Intercontinental Wapic Insurance Plc, changed its name to Wapic Insurance Plc on 4 June 2012 following necessary Board and regulatory approvals.

Operating results

The following is a summary of the Group's and Company's operating results for the year ended 31 December 2012:

	Group 2012	Group 2011	**Company 2012**	Company 2011
	N'000	N'000	**N'000**	N'000
Profit before taxation	**552,385**	581,644	**383,460**	415,125
Taxation charge	**(169,353)**	(235,893)	**(142,627)**	(127,438)
Profit after taxation	**383,032**	345,751	**240,833**	287,687
Transfer to statutory regulatory reserve	**113,138**	132,184	**76,692**	94,826
Transfer to retained earnings for the year	**269,894**	213,567	**164,141**	192,861
Earnings per share – Basic and diluted (Kobo)	**8**	7	**5**	6

Directors and their interests

The Directors' interests in the issued share capital of the Company as recorded in the register of members and as advised by the Company's registrars for the purposes of section 275 of the Companies and Allied Matters Act and the listing requirements of the Nigerian Stock Exchange are as follows:

31 December 2012

Name of Director	Direct	Indirect	Total
Mr Aigboje Aig-Imoukhuede (Chairman)	–	292,765,166	292,765,166
Mr Segun Balogun (MD/CEO)	23,647,735	–	23,647,735
Mr Obinna Nwosu (Director)	–	–	–
Mr Victor Etuokwu (Director)	–	–	–
Mr David Oludare Aluko (DMD)	–	–	–
Mr Taukeme Koroye (Director)	–	–	–
Mrs Ojini Olaghere (Director)	5,000,000	–	5,000,000
Alhaji Isyaku Umar (Director)	8,571,415	–	8,571,415
Mr Iheanacho C Ugochukwu (Director)	4,015,050	–	4,015,050
Mr Olise Barnabas (Director)	–	–	–
Mr Richard A Adewole (Executive Director)	5,475,138	–	5,475,138

31 December 2011

Name of Director	Direct	Indirect	Total
Mr Aigboje Aig-Imoukhuede (Chairman)	–	–	–
Mr Segun Balogun (MD/CEO)	23,647,735	–	23,647,735
Mr Obinna Nwosu (Director)	–	–	–
Mr Victor Etuokwu (Director)	–	–	–
Mr David Oludare Aluko (DMD)	–	–	–
Mr Taukeme Koroye (Director)	–	–	–
Mrs Ojini Olaghere (Director)	–	–	–
Alhaji Isyaku Umar (Director)	8,571,415	–	8,571,415
Mr Iheanacho C Ugochukwu (Director)	5,418,060	–	5,418,060
Mr Olise Barnabas (Director)	–	–	–
Mr Richard A Adewole (Executive Director)	5,515,138	–	5,515,138

Directors' interest in contracts

In accordance with section 277 of the Companies and Allied Matters Act, none of the directors have notified the Company of any declarable interests in contracts or proposed contracts with the Company.

Appointment of Directors

The Company appointed the following Directors during the year:

Mr David Oludare Aluko – Deputy Managing Director (appointed on 23 May 2012)

Mr Bababode Osunkoya – Non-Executive Director (with effect from 1 January 2013)

Mrs Titilayo Osuntoki – Non-Executive Director (with effect from 1 January 2013)

Mr Adamu Mahmound Atta – Non-Executive Director (with effect from 1 January 2013)

Retirement of Directors

The following Directors retired from the Board of the Company effective 31 December 2012:

Alhaji (Dr) Isyaku Umar – Non-Executive Director

Mr Obinna Nwosu – Non-Executive Director

Mr Iheanacho Ugochukwu – Non-Executive Director

Directors' remuneration

Types of packages – Fixed	Description	Timing
Basic salary	This represents part of the gross salary package for Executive Directors. This reflects the insurance industry competitive salary package and the extent to which the Company's objectives have been met for the financial year	Paid monthly during the financial year
13th month salary	This represents part of the gross salary for Executive Directors	Paid last month of the financial year
Directors' fees	Allowances paid to Non-Executive Directors	Paid during the financial year
Sitting allowance	Allowances paid to Non-Executive Directors only for sitting at the Board meetings and other business meetings	Paid during the financial year

Changes in ownership

On 23 January 2012, the Federal High Court, Lagos sanctioned the scheme of merger between Access Bank Plc and former Intercontinental Bank Limited (IBL) and the shareholding in the Company of 58% held by the then IBL was transferred to Access Bank Plc.

The called-up and fully paid-up shares of the Company were beneficially held as follows at:
31 December 2012

	Number of shares	Percentage
Access Bank Plc	2,937,945,494	58
Other Nigerian entities, citizens and associations	2,123,858,505	42
Total	5,061,803,999	100

Analysis of shareholders

31 December 2012

Range	Number of shareholders	No. of shares held	% of number of shareholders	% of number of shares held
1 – 1,000	1,931	1,034,845	7	–
1,001 – 5,000	12,988	30,952,337	43	1
5,001 – 10,000	4,763	32,886,897	16	1
10,001 – 50,000	6,689	139,268,255	23	3
50,001 – 100,000	1,260	87,672,736	4	2
100,001 – 500,000	1,344	253,731,657	5	5
500,001 – 1,000,000	163	115,620,398	1	2
1,000,001 – 5,000,000	237	403,028,070	1	8
5,000,001 – 10,000,000	14	109,966,719	–	2
10,000,001 – 2,000,000,000	33	3,887,642,085	–	76
	29,422	5,061,803,999	100	100

31 December 2011

Range	Number of shareholders	No. of shares held	% of number of shareholders	% of number of shares held
1 – 1,000	1,979	1,059,658	7	–
1,001 – 5,000	12,857	30,707,190	44	1
5,001 – 10,000	4,694	32,397,668	16	1
10,001 – 50,000	6,525	135,479,387	23	3
50,001 – 100,000	1,199	83,192,975	4	2
100,001 – 500,000	1,252	237,859,813	4	5
500,001 – 1,000,000	151	107,056,311	1	2
1,000,001 – 5,000,000	221	379,809,707	1	8
5,000,001 – 10,000,000	14	109,833,116	–	2
10,000,001 – 2,000,000,000	32	3,944,408,174	–	76
	28,924	5,061,803,999	100	100

According to the register of members at 31 December 2012, no individual shareholder held more than 5% of the issued capital of the Company except the following:

	Number of shares	Percentage
Access Bank Plc	2,937,945,494	58

Donations

The Company made no contributions to charitable and non-political organisations during the year (December 2011: Nil).

Employment of disabled persons

The Company's recruitment and staff development policies and practices are non-discriminatory.

Employee involvement and training

The Company ensures that employees are informed of matters concerning them through formal and informal fora with an appropriate two-way feedback mechanism. In accordance with the Company's policy of continuous development, in-house training is provided on various aspects of the organisation. In addition, employees are nominated to attend both local and international courses and workshops which are complemented by on-the-job trainings.

Health, safety at work and welfare of employees

Health and safety regulations are in force within the Company's premises and employees are aware of existing regulations.
The Company provides subsidies to all levels of employees for medical, transportation, housing and lunch expenses.

Gender analysis

The number and percentage of women employed during the financial year vis-à-vis total workforce was as follows:

	Male Number	Female Number	Male Percentage	Female Percentage
Employees	141	60	70%	30%
Detailed analysis of the Board and top management is as follows:				
Assistant Manager	10	1	91%	9%
Deputy Manager	13	1	93%	7%
Manager	6	5	55%	45%
Senior Manager	2	–	100%	–
Controller	3	–	100%	–
Assistant General Manager	–	1	–	100%
Deputy General Manager	–	–	–	–
General Manager	1	–	100%	–
Executive Director	1	–	100%	–
Managing Director	1	–	100%	–

Acquisition of own shares

The Company did not purchase any of its own shares during the year.

Events after the end of the reporting period

At the Court Ordered Meeting on 20 December 2012, the holders of ordinary shares of the Company voted in favour of special resolutions to merge the business of the Company with that of Intercontinental Properties Limited (IPL). The Company obtained the approval of the Securities and Exchange Commission (SEC) on 22 January 2013, sanction of the Federal High Court on 30 January 2013 and the approval of the National Insurance Commission (NAICOM) on 21 March 2013. Following the above approvals, all the assets, liabilities and undertakings of IPL including real property rights were transferred to Wapic Insurance Plc. Further details of the merger has been disclosed in Note 43 to the financial statements.

There were no other events after the end of the reporting period which could have a material effect on the financial statements of the Group and the Company which have not been recognised and/or disclosed.

Auditors

Messrs KPMG Professional Services have indicated their willingness to continue in office in accordance with section 357(2) of the Companies and Allied Matters Act of Nigeria.

By order of the Board

Mary Agha
FRC/2013/NBA/00000002817
Company Secretary
27 March 2013

Corporate Governance Report

Introduction

Wapic Insurance Plc ("Wapic" or "the Company") recognises that the implementation of corporate governance standards and practices should have dual objectives of protecting the interest of the shareholders and other stakeholders whilst also enabling the Board and Management to direct and manage the affairs of the Company. The Company is therefore committed to implementing the best practice standards of corporate governance.

Wapic is mindful of its obligations under the relevant codes of corporate governance such as the Securities and Exchange Commission's Code of Corporate Governance (the SEC Code), the National Insurance Commission (NAICOM) Code of Corporate Governance for the Insurance Industry in Nigeria and the Post Listing Requirements of the Nigerian Stock Exchange (NSE). These, in addition to the Company's Board Charter collectively provide the basis for promoting sound corporate governance in the Company. Our core values of excellence, leadership, innovation, professionalism, empowered employees and passion for customers are the bedrock upon which we continue to build our corporate behaviour.

Performance evaluation

As part of the Company's commitment to uphold sound Corporate Governance practices and in compliance with the requirement of the NAICOM Code of Corporate Governance, the Company, at its Annual General Meeting (AGM), held on 4 June 2012, appointed Accenture Limited as an external Consultant to conduct the annual Board Performance Appraisal for the financial year ended 31 December 2012. This is with a view to ensuring continuous monitoring and reporting of the Company's Corporate Governance performance. The Board is comfortable that Accenture Limited will provide value-added and objective evaluation notwithstanding its provision of strategy consulting assistance to the Company.

Appointment, retirement and re-election of Directors

On 6 December 2012, the Board, pursuant to the powers vested in it by the Articles of Association of the Company, appointed the following as Directors:

Mrs Titilayo Osuntoki – Independent Director
Mr Bode Osunkoya – Independent Director
Mr Adamu Atta – Non-Executive Director

These appointments are to be tabled before the shareholders at the next AGM for approval. The appointments were made with a view to further strengthen the Board and ensure compliance with both the SEC and NAICOM Codes of Corporate Governance. The appointments were effective 1 January 2013.

Following the completion of their maximum nine-year terms on the Board, as provided by the NAICOM Code of Corporate Governance, Alhaji Isyaku Umar and Mr Iheanacho Ugochukwu retired from the Board effective 31 December 2012. Mr Obinna Nwosu also resigned from the Board during the period in furtherance of his academic pursuit.

Shareholders' meeting

Shareholders' meetings were duly convened and held in line with the Company's Articles of Association and existing statutory and regulatory regimes in an open manner, for the purpose of deliberating on issues affecting the Company's strategic direction. This occurs through a fair and transparent process and also serves as a medium for promoting interaction between the Board, Management and shareholders. Attendance at the Annual General Meeting is open to shareholders or their proxies, while proceedings at such meetings are usually monitored by members of the press, representatives of the Nigerian Stock Exchange, National Insurance Commission and the Securities and Exchange Commission. The Board ensures that shareholders are provided with adequate notice of meetings. An Extraordinary General Meeting may also be convened at the request of the Board or shareholders holding not less than 10% of the Company's paid-up capital.

Access to information and resource

There is ongoing engagement between Executive Management and the Board and the heads of relevant strategic business units to attend Board meetings to make presentations. The Company's external auditors attend the Board, the Board Audit Committee and the Shareholders' Audit Committee Meetings at which annual financial statements are considered or in instances where the Company deem it appropriate. The Directors have unrestricted access to the Management and Company information in addition to the resources to carry out their roles and responsibilities. This includes access to external professional advice at the Company's expense.

Shareholders' rights protection

The Company's reports and other communication to shareholders and other stakeholders are in plain, readable and understandable format. The Board ensures that shareholders' statutory and general rights are protected at all times particularly their right to vote at general meetings. The Board also ensures that all shareholders are treated equally regardless of the size of their shareholding and social conditions.

The Board

The primary obligation of the Board of Directors is to advance the prosperity of the Company by collectively directing its affairs, whilst meeting the appropriate interests of shareholders and stakeholders. The Board is the Company's highest decision making body responsible for governance. It operates on the understanding that sound governance practices are fundamental to earning the trust of stakeholders which is critical to sustainable growth.

Composition and role

The Company has a unitary board structure. In 2012, the Board was comprised of 11 members made up of eight Non-Executive Directors and three Executive Directors, the full details of which are set out on the next page:

S/N	Name	Designation
1	Mr Aigboje Aig-Imoukhuede	Chairman
2	Mr Victor Etuokwu	Non-Executive Director
3	Mr Barnabas Olise	Non-Executive Director
4	Mrs Ojini Olaghere	Non-Executive Director
5	Mr Taukeme Edwin Koroye	Non-Executive Director
6	Alhaji Isyaku Umar	Non-Executive Director
7	Mr Iheanacho Ugochukwu	Non-Executive Director
8	Mr Obinna Nwosu	Non-Executive Director
9	Mr Segun Balogun	Managing Director
10	Mr David Aluko	Deputy Managing Director
11	Mr Richard Adewole	Executive Director

In line with best practice, there is separation of powers between the Chairman and the Managing Director. The effectiveness of the Board derives from the diverse range of skills and competences of the Executive and Non-Executive Directors who have exceptional degrees of insurance, financial and broader entrepreneurial experiences.

The Board is responsible for ensuring the creation and delivery of sustainable value to the Company's stakeholders through its management of the Company's business. The Board is accountable to the shareholders and is responsible for the management of the Company's relationship with its various stakeholders. The Board ensures that the activities of Wapic are at all times executed within the relevant regulatory framework.

Duties of the Board

The duties of the Board include but are not limited to:

- Defining the Company's business strategy and objectives;
- Formulating risk policies;
- Approval of quarterly, half-yearly and full-year financial statements;
- Approval of significant changes in accounting policies and practices;
- Appointment or removal of Directors and Company Secretary;
- Approval of major acquisitions, divestments of operating companies, disposal of capital assets or capital expenditure;
- Approval of terms of reference and membership of Board Committee;
- Approval of remuneration of auditors and recommendation for appointment or removal of auditors;
- Approval of the corporate strategy, medium-term and short-term plans;
- Monitoring delivery of the strategy and performance against plan;
- Review and monitoring of the performance of the Managing Director and the executive team;
- Ensuring the maintenance of ethical standards and compliance with relevant laws;
- Performance appraisal and compensation of Board members and senior executives;
- Ensuring effective communication with shareholders; and
- Ensuring the integrity of financial reports.

Delegation of authority

The ultimate responsibility for the Company's operations rests with the Board. The Board retains effective control through well-developed Committee governance structure that provides in-depth focus on Board responsibilities. The Board delegates authority to the Managing Director and the Executive Management to manage the affairs of the Company within the parameters established by the Board from time to time.

The Board meets quarterly and emergency meetings are convened as may be required. The Annual Calendar of Board and Committee meetings is approved in advance at the beginning of each financial year and all Directors are expected to attend each meeting. Material decisions may be taken between meetings through written resolutions as provided for by the Company's Articles of Association. The Annual Calendar of Board activities include a Board Retreat at an offsite location, to consider strategic matters and review the opportunities and challenges facing the institution. All Directors are provided with Notices, Agenda and meeting papers in advance of each meeting and where a Director is unable to attend a meeting he/she is still provided with the relevant papers for the meeting. Such Director reserves the right to discuss with the Chairman any matter he/she may wish to raise at the meeting. The Directors are also provided with regular updates on developments in the regulatory and business environment.

Board committees

The Board carries out its oversight function through its standing committees, each of which has a charter that clearly defines its purpose, composition, and structure, frequency of meetings, duties, tenure and reporting lines to the Board. In line with best practice, the Chairman of the Board does not sit on any of the committees. The Board's four standing committees are the Board Investment and Finance Committee, the Board Governance and Remuneration Committee, the Board Risk Management Committee and the Board Audit Committee. The Composition of the committees is as set out below:

The composition of the committee members for the 2012 financial year was as shown below:

S/N	Director	BAC	BRMC	BIFC	BGRC
1	Mr Aigboje Aig-Imoukhuede[1]	–	–	–	–
2	Mr Victor Etuokwu[1]	–	M	M	C
3	Mr Barnabas Olise[1]	M	M	M	–
4	Mrs Ojini Olaghere[1]	C	–	M	M
5	Mr Taukeme Edwin Koroye[1]	M	–	C	–
6	Alhaji Isyaku Umar[1]	–	C	M	–
7	Mr Iheanacho Ugochukwu[1]	M	M	–	–
8	Mr Obinna Nwosu[1]	M	–	M	M
9	Mr Segun Balogun[2]	–	M	M	M
10	Mr David Aluko[2]	–	M	M	M
11	Mr Richard Adewole[2]	–	M	M	M

C	Chairman
M	Member
–	Not a member
1	Non-Executive
2	Executive
BAC	Board Audit Committee
BRMC	Board Risk Management Committee
BIFC	Board Investment and Finance Committee
BGRC	Board Governance and Remuneration Committee

Board Audit Committee

The Committee assists the Board in fulfilling its oversight responsibility relating to the integrity of the Company's financial statements and the financial reporting process; the independence and performance of the Company's internal and external auditors; and the Company's system of internal control and mechanism for receiving complaints regarding the Company's accounting and operating procedures. The Company's Chief Internal Auditor and Chief Compliance Officer have access to the Committee and make quarterly presentations to the Committee.

Mrs Ojini Olaghere chaired the Committee during the year. Mrs Olaghere is a Fellow of the Institute of Chartered Accountants of Nigeria. She holds a B.A. in French from the University of Nigeria, Nsukka.

She has several years of professional experience both as an auditor and in the banking industry. The Committee met five times in the 2012 financial year.

Key issues considered by the Committee during the year included recommendation of appointment of Akintola Williams Deloitte as Internal Audit Consultants to further strengthen the internal audit structure of the Company, consideration of the internal audit report on the Company's activities as well as consideration of other external/regulatory audit reports, approval of audited financial statements and approval of the Company's audit plan

Board Risk Management Committee

The Committee assists the Board in fulfilling its oversight responsibility relating to establishment of policies, standards and guidelines for risk management and compliance with legal and regulatory requirements. In addition, it oversees the establishment of a formal written policy on the overall risk management system. The Committee also ensures compliance with established policies through periodic reviews of reports provided by management and ensures the appointment of qualified officers to manage the risk function. The Committee evaluates the Company's risk policies on a periodic basis to accommodate major changes in internal or external environment.

Mr Obinna Nwosu chaired the Committee during the year. Mr Nwosu holds a B.Sc. degree in Accounting and an MBA from the University of Nigeria, Nsukka. He has several years of professional experience in the Nigerian banking industry.

The key issues considered by the Committee during the year included approval of the implementation of the Enterprise Risk Management Framework and all the relevant policies in line with NAICOM requirements. The Committee continued to monitor and ensure the Company's compliance with relevant regulatory policies. The Committee met four times in the 2012 financial year.

Board Investment and Finance Committee

The Committee advises the Board on its oversight responsibilities in relation to the management of the Company's exposure to financial risk, business and cash plan, the financial position and capital as well as the Company's capital allocation strategy, including the cost of capital. It also oversees the management of the Company's general investments and provides strategic guidance for the development and achievement of the Company's financial and investment objectives.

The Committee works with Management to review the quality of the Company's investment portfolio and the trends affecting the portfolio; oversee the effectiveness and administration of investment related policies including compliance with legal investment limits and the Company's in-house investment restrictions. It reviews the process for determining provision for investment losses and the adequacy of the provisions made and provides oversight and guidance to the Company regarding all aspects of implementing the NAICOM Guidelines and compliance with other regulatory Risk based supervision framework.

The Committee is chaired by Mr Taukeme Koroye who is a graduate of Business Administration from the University of Lagos and a Fellow of the Institute of Chartered Accountants of Nigeria (ICAN) as well as an alumnus of the Harvard Business School. Mr Koroye is currently an Executive Director of Access Bank Plc ("the Bank") in charge of the Bank's subsidiaries.

Key issues considered by the Committee included the continued monitoring of the Company's compliance with relevant regulatory policies with respect to the Company's investment portfolio. The Committee met four times in the 2012 financial year.

Board Governance and Remuneration Committee

The Committee advises the Board on its oversight responsibilities in relation to compensation, benefits and all other human resource matters affecting the Company. Specifically, the Committee is responsible for determining and executing the processes for Board appointments, recommending appropriate remuneration for Directors (both Executive and Non-Executive) and approving remuneration for all other members of staff. The Committee is responsible for reviewing and recommending the Company's organisational structure to the Board for approval. The Committee is also responsible for reviewing the performance and effectiveness of the Boards of the Company's subsidiaries on an annual basis and ensures that the Company's human resources are maximised to support the long-term success of the enterprise while protecting the welfare of all employees. The Committee met five times during the 2012 financial year.

Mr Victor Etuokwu chaired the Committee. He holds a Bachelor of Science Degree and Masters of Business Administration degree from the University of Ibadan and University of Benin respectively. He has about 20 years' experience in the banking industry.

The key decisions and initiatives of the Committee in 2012 included the recommendation to the Board for approval of a staff salary review as well as recommendation to the Board for approval of the appointment of key management staff and three Directors.

Attendance at Board and Board Committee meetings

Directors' attendance at meetings during the 2012 financial year was as shown below:

	NAME OF DIRECTORS	MEETING				
S/N	Director	BoD	BRMC	BIFC	BGRC	BAC
	Number of meetings held	7	4	4	5	5
1	Mr Aigboje Aig-Imoukhuede	7	N/A	N/A	N/A	N/A
2	Mr Victor Etuokwu	7	3	2	4	N/A
3	Mr Barnabas Olise	7	3	3	N/A	4
4	Mrs Ojini Olaghere	4	N/A	2	3	3
5	Mr Taukeme Edwin Koroye*	2	N/A	3	N/A	4
6	Alhaji Isyaku Umar	4	2	N/A	N/A	3
7	Mr Iheanacho Ugochukwu	5	N/A	3	4	4
8	Mr Obinna Nwosu	6	4	4	N/A	N/A
9	Mr Segun Balogun	7	4	4	5	N/A
10	Mr David Aluko*	5	2	2	2	N/A
11	Mr Richard Adewole	7	4	4	5	N/A

* Taukeme Koroye – appointed 20 February 2012.
* David Aluko – appointed 23 May 2012.

BoD Board of Directors
BRMC Board Risk Management Committee
BIFC Board Investment and Finance Committee
BGRC Board Governance and Remuneration Committee
BAC Board Audit Committee

Executive Committee

The Executive Committee (EXCO) is made up of the Managing Director, the Deputy Managing Director and the Executive Director, Finance. It is primarily responsible for the implementation of strategies approved by the Board and ensures the efficient deployment of the Company's resources.

Management committees

These are standing committees made up of senior management staff of the Company. The committees are also risk driven and are set up to identify, analyse and make recommendations on risks pertaining to the Company's day-to-day activities. They ensure that risk limits set by the Board and the regulatory bodies are complied with and also provide input to the various Board committees in addition to ensuring the effective implementation of risk polices. These committees meet as frequently as risk issues occur and take actions and decisions within the confines of their respective powers.

In 2012, the management committees included: Management Investment Committee, Management Underwriting and Claims Committee and Enterprise Risk Management Committee.

Statutory Audit Committee

In compliance with Section 359 of the Companies and Allied Matters Act 1990, Wapic constituted a standing Shareholders Audit Committee made up of three Non-Executive Directors and three shareholders. The composition of the Committee is as set out below:

1	Mr Chinwendu Achara	(Shareholder)	Chairman
2	Mrs Mary Joke Shofolahan	(Shareholder)	Member
3	Mr Adeniyi Adebisi	(Shareholder)	Member
4	Mr Taukeme Koroye	(Director)	Member
5	Mr Victor Etuokwu	(Director)	Member
6	Mrs Ojini Olaghere	(Director)	Member

The Committee met three times during the 2012 financial year.

Code of ethics

Wapic has in place, a Code of Conduct which specifies expected behaviour of its employees and Directors. The Code is designed to empower employees and Directors and enable effective decision making at all levels of the business according to defined ethical principles. The Code requires that each Company employee shall read the Code and sign a confirmation that he has understood the content. Wapic also has a disciplinary guide which provides sample offences/violations and prescribes disciplinary measures to be adopted in various cases. The Head of Human Resources is responsible for the design and implementation of the Code of Conduct while the Chief Compliance Officer is responsible for monitoring and ensuring compliance.

Remuneration Statement

The report on Directors' remuneration is as set out in the Audited Financial Statements. The Company has established clear policy guidelines for the determination and administration of compensation. In line with the policy guidelines, Wapic seeks to attract and retain the best talents. To achieve this, the Company seeks to position itself among the best performing and best employee rewarding companies in the industry. This principle will act as a general guide for the determination of compensation. The objective of the policy is to ensure that salary structure including short- and long-term incentives motivate sustained high performance and are linked to corporate performance. It is also designed to ensure that stakeholders are able to make reasonable assessment of the Company's reward practices.

Operating within the guidelines set by the principles above; staff compensation is approved by the Board of Directors through the Board Governance and Remuneration Committee.

Total compensation provided to employees will typically include guaranteed and variable portions. Guaranteed pay will include base pay and other guaranteed portions while variable pay may be both performance-based and discretionary.

Wapic has put in place a performance bonus scheme which seeks to attract and retain high-performing employees. Awards to individuals are based on the job level, business unit performance and individual performance. Other determinants of the size of individual award amount include pay level for each skill sets which may be influenced by relative dearth of skill in a particular area.

The Company Secretary

The Company Secretary has the primary duty of assisting the Board and management in developing and implementing good corporate governance standard. She ensures that there is timely and appropriate information dissemination within and to the Board. She is responsible for designing and implementing the induction programme for new Directors.

Statement of Compliance

Wapic is a public limited liability Company and therefore subject to the relevant provisions of the SEC as well as the NAICOM Codes of Corporate Governance. In the event of any conflict between the provisions of the two codes regarding any matter, Wapic will defer to the provisions of the NAICOM Code as its primary regulator.

Regarding the minimum number of independent directors, the Board of Directors appointed three (3) directors, two of whom are independent. This is in compliance with the SEC and NAICOM Codes that require a minimum of one independent director and at least two independent directors respectively. The appointments are effective 1 January 2013.

Wapic Management's Commentary and Analysis

For the year ended 31 December 2012

In order to foster deeper understanding of our strategy, operating risk and performance and also in compliance with regulatory requirements, we have outlined a Management's Commentary and Analysis ("MC&A") report as contained hereunder.

Reference in this MC&A to the "Company" or to the "Group" is with respect to, as the context may require, WAPIC Insurance Plc and all or some of its subsidiaries. Unless otherwise indicated, all financial information presented in this MC&A, including tabular amounts, is in Nigerian Naira and is prepared in accordance with International Financial Reporting Standards ("IFRS").

To facilitate a full understanding of the Company's position, it is advised that the content in this MC&A be read in conjunction with the full audited annual consolidated financial statements as well as the accompanying notes.

Nature of business

Following the merger by absorption between Access Bank Plc and former Intercontinental Bank Plc, Wapic Insurance Plc along with its subsidiaries became members of the enlarged Access Bank Group. As at 31 December 2012, Wapic Insurance Group operated three Companies namely: Wapic Insurance Plc (the parent company), Wapic Life Assurance Limited and Wapic Insurance (Ghana) Limited. Wapic Insurance Plc's major business activity is insurance. However, the Group is developing capacity for expansion into the asset management and property business.

Business objective and strategy

Wapic Insurance Plc is registered, incorporated and listed in Nigeria. The Company is principally engaged in providing insurance and investment services to cater for the needs of corporate and retail sectors of the Nigerian economy.

The Company aims to evolve into a truly diversified financial services institution that provides protection against all forms of insurable risks to all customer segments. By this, the Company's objective is to emerge as one of the top twenty financial services institutions in Nigeria by 2017.

To ensure this goal is achieved, Wapic Group's strategy is to broaden and align service delivery channels along customer segments taking cognisance of the difference between policy administration, product support and customer care to adequately cater for the peculiar needs for each segment.

Wapic is set to provide excellent service in a sustainable manner and thereby redefine the business of insurance within the West Africa region.

Performance indicators

Operating results and financial condition

	GROUP			COMPANY		
	31 Dec 2012	31 Dec 2011	Change	**31 Dec 2012**	31 Dec 2011	Change
	N'000	N'000	%	**N'000**	N'000	%
Gross premium written	**4,178,285**	5,033,358	-17%	**2,232,122**	3,160,853	-29%
Net premium income	**3,512,920**	4,162,424	-16%	**1,724,384**	2,539,018	-32%
Net claims expense	**1,519,072**	1,344,305	13%	**492,876**	589,119	-16%
Underwriting profit	**1,435,195**	**1,948,661**	**-26%**	**874,339**	**1,296,218**	**-33%**
Investment income	**1,225,527**	823,352	49%	**745,100**	529,590	41%
Operating expenses	**(2,231,663)**	(2,217,859)	1%	**(1,318,229)**	(1,456,217)	-9%
Profit before tax	**552,385**	581,644	-5%	**383,460**	415,125	-8%
Earnings per share (kobo)	**8**	7	14%	**5**	6	-17%

The business experienced some challenges resulting from the on-going business model restructuring and transformation of the service channels. These imperatives along with other initiatives targeted at strengthening our enterprise support capabilities contributed to a 17% (Company: 29%) decline in the Group's gross written premium when compared to the prior year's result.

Revenue and underwriting result: The alterations in the business model also impacted on the net premium income of N3.51 billion which represents a decrease of N649.5 million over December 2011 results.

The Group reported a net insurance claims expenses of N1.52 billion in 2012, an increase of N180 million over December 2011. The Company on the other hand, recorded a decrease of N97 million in net claim expenses between 2012 and 2011. The underwriting result at the end of the year amounted to N1.44 billion (Company: N874.3 million) compared to N1.95 billion (Company: N1.30 billion) earned during the year ended December 2011.

Investment Income: Investment income grew by 49% (Company: 41%) which reflects the Group's strategic direction to leverage on investment income as a key revenue source. The growth from N0.82 billion (Company: N0.53 billion) in 2011 to N1.2 billion (Company: N745.1 million) in 2012 is an immediate positive reflection of the efforts to restructure the Company's growing investment portfolio given the challenging investment environment.

Operating Expenses: Operating expenses for the year totalled N2.23 billion (Company: N1.32 billion), a marginal increase of N10 million compared to prior year.

Cash and cash equivalents: As at 31 December 2012, the Group had N4.07 billion in the cash and cash equivalents (Company: N2.67 billion), including money market placements of N3.7 billion (Company: N2.54 billion) with maturity of not more than three months.

Liquidity, capital resources and risk factors

The Group's cash investment is in accordance with its investments policy which is compliant with regulatory requirements. The Group's investment strategy is underpinned by a focus on highly liquid financial instruments such as term deposit, equity and debt instruments. At the end of December 2012, the Group had approximately N4.87 billion invested in fixed income and N175.68 million in equity instruments.

Forward looking statements

Some aspects of the statement above relate to the Company's future outlook. Reference to the Company's or Management's budget, estimates, expectations, forecasts, predictions or projections constitute aspects of the "forward-looking statements". Such statements may also be deduced from the use of conditional or forward-looking terminologies including but not limited to words such as "anticipates", "believes", "estimates", "expects", "may", "plans", "projects", "should", "will", or the adverse variants of such which appear within the body of this document.

Many factors and assumptions may affect the manifestation of the Company's projections, including, but not limited to, production rate, claims rate, employee turnover, relationships with brokers, agents and suppliers, economic and political conditions, non-compliance with laws or regulations by the Company's employees, brokers, agents, suppliers, and/or partners, and other factors that are beyond its control.

Without prejudice to the Company, such forward-looking statements reflect Management's current belief and are based on available information which are subject to risks and uncertainties as identified. Therefore, the eventual action and/or outcome could differ materially from those expressed or implied in such forward-looking statements, or could affect the extent to which a particular projection materialises.

The forward-looking statements in this document reflect the Company's expectations at the time the Company's Board of Directors approved this document, and are subject to change after this date. The Company does not undertake any obligation to update publicly or to revise any such forward-looking statements, unless required by applicable legislation or regulation.

Statement of Directors' Responsibilities in Relation to the Financial Statements

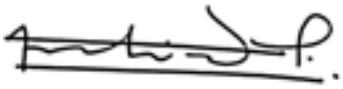
For the year ended 31 December 2012

The Directors accept responsibility for the preparation of the annual financial statements set out on pages 18 to 26, 28 to 47 and pages 67 to 130 that give a true and fair view in accordance with International Financial Reporting Standards (IFRS) and in the manner required by the Companies and Allied Matters Act of Nigeria, the Financial Reporting Council of Nigeria Act, 2011, the Insurance Act of Nigeria 2003 and National Insurance Commission (NAICOM) circulars.

The Directors further accept responsibility for maintaining adequate accounting records as required by the Companies and Allied Matters Act of Nigeria and for such internal control as the Directors determine is necessary to enable the preparation of financial statements that are free from material misstatement whether due to fraud or error.

The Directors have made assessment of the Company's ability to continue as a going concern and have no reason to believe that the Company will not remain a going concern in the year ahead.

Aigboje Aig-Imoukhuede, CON
FRC/2013/CIBN/00000001999
Chairman
27 March 2013



Richard Adewole
FRC/2013/ICAN/00000002285
Director
27 March 2013

Report of the Audit Committee

For the year ended 31 December 2012

In accordance with the provisions of Section 359 (6) of the Companies and Allied Matters Act of Nigeria, the members of the Audit Committee of Wapic Insurance Plc hereby, report on the financial statements for the year ended 31 December 2012 as follows:

- We have exercised our statutory functions under Section 359 (6) of the Companies and Allied Matters Act of Nigeria and acknowledge the co-operation of management and staff in the conduct of these responsibilities;
- We are of the opinion that the accounting and reporting policies of the Group and Company are in accordance with legal requirements and agreed ethical practices and that the scope and planning of both the external and internal audits for the year ended 31 December 2012 were satisfactory and reinforce the Group's internal control systems; and
- We have deliberated with the External Auditors, who have confirmed that necessary co-operation was received from management in the course of their statutory audit and we are satisfied with management's responses to the External Auditor's recommendations on accounting and internal control matters and the effectiveness of the Company's system of accounting and internal control.

Mr. Chinwendu Achara
FRC/2013/IODN/00000002851
Chairman, Audit Committee
27 March 2013

Members of the committee:

Mr Chinwendu Achara	– Chairman (shareholder)
Mrs Mary Joke Shofolahan	– Shareholder (member)
Mr Adeniyi Adebisi	– Shareholder (member)
Mr Taukeme Koroye	– Non-Executive Director (member)
Mr Victor Etuokwu	– Non-Executive Director (member)
Mrs Ojini Olaghere	– Non-Executive Director (member)

Independent Auditor's Report

To the members of Wapic Insurance Plc

Report on the Financial Statements

We have audited the accompanying consolidated and separate financial statements of Wapic Insurance Plc ("the Company") and its subsidiary companies (together "the Group"), which comprise the statements of financial position as at 31 December 2012, and the statements of profit or loss and other comprehensive income, statements of changes in equity, and statements of cash flows for the year then ended, and a summary of significant accounting policies and other explanatory information, as set out on pages 18 to 26, 28 to 47 and pages 67 to 130.

Directors' Responsibility for the Financial Statements

The Directors are responsible for the preparation of the consolidated and separate financial statements that give a true and fair view in accordance with International Financial Reporting Standards and in the manner required by the Companies and Allied Matters Act of Nigeria, the Financial Reporting Council of Nigeria Act, 2011, the Insurance Act of Nigeria, 2003 and relevant National Insurance Commission of Nigeria ("NAICOM") Circulars and for such internal control as Directors determine is necessary to enable the preparation of consolidated and separate financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express an opinion on these consolidated and separate financial statements based on our audit.
We conducted our audit in accordance with International Standards on Auditing. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the consolidated and separate financial statements. The procedures selected depend on the auditor's judgement, including the assessment of the risks of material misstatement of the consolidated and separate financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the consolidated and separate financial statements that give a true and fair view in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by Directors, as well as evaluating the overall presentation of the consolidated and separate financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Opinion

In our opinion, these consolidated and separate financial statements give a true and fair view of the financial position of Wapic Insurance Plc ("the Company") and its subsidiaries (together "the Group") as at 31 December 2012, and of the Group and Company's financial performance and cash flows for the year then ended in accordance with International Financial Reporting Standards and in the manner required by the Companies and Allied Matters Act of Nigeria, the Financial Reporting Council of Nigeria Act, 2011, the Insurance Act of Nigeria, 2003 and relevant National Insurance Commission of Nigeria ("NAICOM") Circulars.

Report on Other Legal and Regulatory Requirements

Compliance with the requirements of Schedule 6 of the Companies and Allied Matters Act of Nigeria

In our opinion, proper books of account have been kept by the Company, so far as appears from our examination of those books and the Company's statement of financial position and statement of profit or loss and other comprehensive income are in agreement with the books of account.

KPMG

13 June 2013
Lagos, Nigeria
FRC/2012/ICAN/00000000428

Statement of Significant Accounting Policy

1. Reporting entity

WAPIC Insurance Plc ("WAPIC" or ''the Company") together with its subsidiaries (collectively "the Group") is a public liability company domiciled in Nigeria with operations in Nigeria and Ghana. The address of the Company's corporate office is 50, Awolowo Road, Ikoyi. The Company is principally engaged in the business of providing risk underwriting and related financial services to its customers. Such services include provision of life and non-life insurance services for both corporate and individual customers.

2. Basis of preparation

(a) Statement of compliance with International Financial Reporting Standards

The financial statements have been prepared in accordance with, and comply with, International Financial Reporting Standards (IFRS) and in the manner required by Companies and Allied Matters Act of Nigeria, the Insurance Act of Nigeria and the Financial Reporting Council of Nigeria. These are the Company's first financial statements prepared in accordance with IFRS and first time adoption of International Financial Reporting Standards has been applied.

An explanation of how the transition to IFRS has affected the reported financial position and financial performance of the Group for comparative years reported under statement of Accounting Standards issued by the Financial Reporting Council of Nigeria (Previous GAAP) as well as mandatory and optional exemptions adopted in line with the provisions of IFRS 1 have been disclosed in Note 46 to the financial statements.

(b) Functional and presentation currency

The financial statements are presented in Nigerian currency (Naira) which is the Company's functional currency. Except otherwise indicated, financial information presented in Naira have been rounded to the nearest thousand.

(c) Basis of measurement

The financial statements have been prepared under the historical cost basis except for the following:

- Financial instruments at fair value through profit or loss are measured at fair value;
- Available-for-sale financial assets are measured at fair value;
- Investment properties are measured at fair value; and
- Land and buildings are carried at revalued amount.

(d) Use of estimates and judgements

The preparation of financial statements in conformity with IFRS requires management to make judgements, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets and liabilities, income and expenses. Actual results may differ from these estimates under different assumptions and conditions.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimates are revised and in any future periods affected.

Information about significant areas of estimation uncertainty and critical judgements in applying accounting policies that have the most significant effect on the amounts recognised in the consolidated financial statements is included in Note 4 of the financial statements.

(e) Regulatory Authority and Financial Reporting

The Company is regulated by the National Insurance Commission of Nigeria (NAICOM) under the National Insurance Act of Nigeria. The Act specifies certain provisions which have impact on financial reporting as follows:

(i) section 20 (1a) provides that provisions for unexpired risks shall be calculated on a time apportionment basis of the risks accepted in the year;

(ii) section 20 (1b) requires provision for outstanding claims to be credited with an amount equal to the total estimated amount of all outstanding claims with a further amount representing 10% of the estimated figure for outstanding claims in respect of claims incurred but not reported at the end of the year under review;

(iii) sections 21 (1a) and 22 (1b) require maintenance of contingency reserves for general and life businesses respectively at specified rates as set out under Note 3.14 to cover fluctuations in securities and variation in statistical estimates;

(iv) section 22 (1a) requires the maintenance of a general reserve fund which shall be credited with an amount equal to the net liabilities on policies in force at the time of the actuarial valuation and an additional 25% of net premium for every year between valuation date;

(v) section 24 requires the maintenance of a margin of solvency to be calculated in accordance with the Act.

(vi) section 10(3) requires insurance companies in Nigeria to deposit 10% of the minimum paid up share capital with the Central Bank of Nigeria; and

(vii) section 25 (1) requires an insurance company operating in Nigeria to invest and hold invested in Nigeria assets equivalent to not less than the amount of policyholders' funds in such accounts of the insurer. Note 45 sets out assets allocation that covers policyholders' funds.

Section 59 of the Financial Reporting Council Act, 2011 (FRC Act) provides that in matters of financial reporting, if there is any inconsistency between the FRC Act and other Acts which are listed in section 59(1) of the FRC Act, the FRC Act shall prevail. The Financial Reporting Council of Nigeria acting under the provisions of the FRC Act has promulgated IFRS as the national financial reporting framework of Nigeria. Consequently, the following provisions of the Insurance Act 2003 which conflict with the provisions of IFRS have not been adopted:

(i) the requirement to provide 10% for outstanding claims in respect of claims incurred but not reported at the end of the year under review under section 20 (1b). Claims incurred but not reported liabilities have been estimated in line with accounting policy 3.15; and

(ii) the requirement for additional provision of 25% of net premium to general reserve fund under section 22 (1a) as actuarial valuations on life insurance liabilities are currently carried out on a yearly basis in line with IFRS.

3. Significant accounting policies

Significant accounting policies are defined as those that are reflective of significant judgements and uncertainties, and potentially give rise to different results under different assumptions and conditions.

The accounting policies set out below have been consistently applied to all periods presented in these financial statements and in preparing an opening IFRS statement of financial position at 1 January 2011 for the purpose of the transition to IFRSs.

The accounting policies have been applied consistently by the Group's entities.

3.1 Cash and cash equivalents

Cash and cash equivalents include cash in hand and at bank, call deposits and short-term highly liquid financial assets with original maturities of three months or less from the acquisition date, which are subject to insignificant risk of changes in their fair value, and are used by the Company in the management of its short-term commitments.

Cash and cash equivalents are carried at amortised cost in the statement of financial position.

3.2 Financial instruments

(a) Classification

The Group's financial assets include cash and short-term deposits, trade receivables, other receivables and prepayments, commercial loans, quoted and unquoted equity instruments, bonds and debt notes.

The classification of financial assets depends on the purpose for which the assets were acquired or originated.

The Company classifies its financial assets into the following categories:

- Financial assets at fair value through profit or loss;
- Held-to-maturity investments;
- Loans and receivables; and
- Available-for-sale financial assets.

The Group's financial liabilities are classified as other financial liabilities. They include: insurance and investment contract liabilities, trade and other payables.

(b) Initial recognition

All financial instruments are initially recognised at fair value, which includes directly attributable transaction costs for financial instruments not classified as at fair value through profit and loss. Financial instruments are derecognised when the rights to receive cash flows from the financial instruments have expired or where the Company has transferred substantially all risks and rewards of ownership.

(c) Subsequent measurement

Subsequent to initial recognition, financial assets are measured either at fair value or amortised cost, depending on their categorisation:

Financial assets held at fair value through profit or loss

Financial assets at fair value through profit or loss include financial assets held for trading. Financial assets classified as trading are acquired principally for the purpose of selling in the short term for profit purposes.

Subsequent to initial recognition, these investments are re-measured at fair value, with gains and losses arising from changes in this value recognised in the statement of profit or loss and other comprehensive income in the period in which they arise. The fair values of quoted instruments in active markets are based on current bid prices.

Interest earned and dividends received while holding trading assets at fair value through profit or loss are reported as investment income.

Held-to-maturity

Held-to-maturity investments are non-derivative financial assets with fixed determinable payments and fixed maturities that management has both the positive intention and ability to hold to maturity other than:

- Those that the Company designates as available for sale; and
- Those that meet the definition of loans and receivables.

Such instruments include fixed deposits, placements and government bonds, trade and other receivables are carried at amortised cost using the effective interest method, less impairment allowance, if any.

Available-for-sale
Available-for-sale financial investments include equity and debt securities. The Group classifies as available-for-sale those financial assets that are generally not designated as another category of financial assets, and strategic capital investments held for an indefinite period of time, which may be sold in response to needs for liquidity or changes in interest rates, exchange rates or equity prices.

Available-for-sale financial assets are carried at fair value. Fair values for quoted instruments are determined in the same manner as those of instruments at fair value through profit or loss. The fair values of unquoted equities and other instruments for which there is no active market, are established using valuation techniques corroborated by independent third parties. These inputs may include reference to the current fair value of other instruments that are substantially similar in terms of underlying cash flows and risk characteristics.

Available-for-sale equity instruments for which fair value cannot be reliably determined are carried at cost less impairment allowance, if any.

Unrealised gains and losses arising from changes in the fair value of available-for-sale financial assets are recognised in other comprehensive income while the investment is held, and are subsequently transferred to the income statement upon sale or derecognition of the instrument. When available-for-sale instruments are impaired, the result of loss is recognised immediately in the statement of profit or loss.

Dividends received on available-for-sale instruments are recognised in the statement of profit or loss and other comprehensive income when the Group's right to receive payment has been established.

Interest income on available for sale instruments are recognised in the statement of profit or loss.

Loans and receivables
Loans and receivables include non-derivative financial assets with fixed or determinable payments that are not quoted in an active market, other than those classified by the Company as at fair value through profit or loss or available-for-sale. Loans and advances consist primarily of commercial loans, staff loans, trade debtors, due from reinsurers, other receivables. These are managed in accordance with a documented policy.

Loans and receivables are measured at amortised cost using the effective interest method, less any impairment losses. Loans granted at below market rates are fair valued by reference to expected future cash flows and current market interest rates for instruments in a comparable or similar risk class and the difference between the historical cost and fair value is accounted for as employee benefits under staff costs.

Financial liabilities
Subsequent to initial recognition, financial liabilities designated at fair value through profit or loss are measured at fair value while other financial liabilities are measured at amortised cost.

(d) Fair value measurement
The best evidence of the fair value of a financial instrument on initial recognition is the transaction price, i.e. the fair value of the consideration paid or received, unless the fair value is evidenced by comparison with other observable current market transactions in the same instrument, without modification or repackaging, or based on discounted cash flow models and option pricing valuation techniques whose variables include only data from observable markets.

Subsequent to initial recognition, the fair values of financial assets are based on quoted market prices or dealer price quotations for financial instruments traded in active markets. If the market for a financial asset is not active or the instrument is an unlisted instrument, the fair value is determined by using applicable valuation techniques. These include the use of recent arm's length transactions, discounted cash flow analyses, pricing models and valuation techniques commonly used by market participants.

Where discounted cash flow analyses are used, estimated cash flows are based on management's best estimates and the discount rate is a market-related rate at the reporting date from a financial asset with similar terms and conditions. Where pricing models are used, inputs are based on observable market indicators at the reporting date and profits or losses are only recognised to the extent that they relate to changes in factors that market participants will consider in a setting price.

(e) Impairment of financial assets
The carrying amounts of these assets are reviewed at each reporting date to determine whether there is any objective evidence of impairment. A financial asset is considered to be impaired if objective evidence indicates that one or more events that have occurred since the initial recognition of the asset have had a negative effect on the estimated future cash flows of that asset and can be reliably estimated.

Observable data or evidence that the Group uses to determine if an impairment allowance is required on a financial asset include:

- Significant financial difficulty of a counterparty;
- A breach of contract such as default of contractual terms or delinquency in interest or principal payment;
- It is probable that the counterparty will enter bankruptcy or other financial reorganisation; and
- Observable data which indicates that there is a measurable decrease in the estimated future cash flow from a group of assets since the initial recognition of those assets although the decrease cannot yet be identified with the individual financial assets.

In addition, for an available-for-sale financial asset, a significant or prolonged decline in the fair value of below its cost is also considered objective evidence of impairment. While the determination of what is significant or prolonged is a matter of judgement. In respect of equity securities that are quoted, the Group is guided by the following:

- A decline in excess of 20% is generally regarded as significant; and
- A decline in quoted price that persists for nine months is considered to be prolonged.

Loans and receivables and Held-to-Maturity Financial Instruments
For financial assets measured at amortised cost, the Company first assesses whether objective evidence of impairment exists individually for financial assets that are individually significant and individually or collectively for financial assets that are not individually significant. Individually significant financial assets are tested for impairment on an individual basis. The remaining financial assets are assessed collectively in groups that share similar credit risk characteristics. An impairment loss in respect of a financial asset measured at amortised cost is calculated as the difference between its carrying value and the present value of the estimated future cash flows discounted at the original effective interest rate.

Trade receivables
Trade receivables on insurance contracts are a significant part of financial assets categorised as loans and receivables. Trade receivables that are individually identified as impaired are assessed for specific impairment. All other trade receivables are assessed for collective impairment. The model for impairment is based on assessment of recovery rate of segments of trade receivables over time. Based on the recovery rate, the loss given default rate for each segment is also determined. The loss given default rate is the Group's assessed estimate of each naira of recognised trade receivables that will more than likely not be recovered. The collective impairment is the product of the loss given default rate and the gross value of each trade receivables.

Available-for-sale instruments
Available-for-sale financial assets are impaired if there is objective evidence of impairment, resulting from one or more loss events that occurred after initial recognition but before the reporting date, that have an impact on the future cash flows of the asset.

All impairment losses are recognised through profit or loss. If any loss on the financial asset was previously recognised directly in equity as a reduction in fair value, the cumulative net loss that had been recognised in equity is transferred to the statement of profit or loss and other comprehensive income and is recognised as part of the impairment loss. The amount of the loss recognised in the statement of profit or loss and other comprehensive income is the difference between the acquisition cost in the case of equity instruments or amortised cost in the case of debt instruments and the current fair value, less any previously recognised impairment loss in the profit or loss.

Subsequent decreases in the amount relating to an impairment loss, that can be linked objectively to an event occurring after the impairment loss was recognised in the income statement, is reversed through the statement of profit or loss and other comprehensive income. An impairment loss in respect of an equity instrument classified as available-for-sale is not reversed through the statement of profit or loss and other comprehensive income but accounted for directly in equity.

When an available-for-sale financial instrument is carried at cost because fair value is not reliably measured, an impairment loss is measured as the difference between the carrying amount and the present value of estimated future cash flows discounted at current market rate of return for similar instruments.

(f) Offsetting financial instruments
Financial assets and liabilities are set off and the net amount presented in the statement of financial position when, and only when, the Group has a legally enforceable right to set off the recognised amounts and intends either to settle on a net basis or to realise the asset and settle the liability simultaneously.

(g) Derecognition of financial instruments
A financial asset is derecognised when the contractual rights of the Group to the cash flows from the asset expire, or its rights to receive the contractual cash flows on the financial asset in a transaction that transfers substantially all the risks and rewards of ownership of the financial asset are transferred, or when it assumes an obligation to pay those cash flows to one or more recipients, subject to certain criteria.

Any interest in transferred financial assets that is created or retained by the Group is recognised as a separate asset or liability.

The Group derecognises a financial liability when its contractual obligations are discharged, cancelled or expire.

3.3 Deferred Acquisition Costs (DAC)
Acquisition costs comprise all direct and indirect costs arising from writing of both life and non-life insurance contracts. Deferred acquisition costs represent a portion of commission which are incurred during a financial year and are deferred to the extent that they are recoverable out of future revenue margins. It is calculated by applying to the acquisition expenses ratio of unearned premium to written premium.

3.4 Reinsurance assets
These are receivables that arise from reinsurance contracts. The details of recognition and measurement of reinsurance contracts have been set out under Note 3.20.

3.5 Other receivables, prepayments and deposit for shares

Other receivables and prepayments

Other receivables and prepayments are carried at cost less accumulated impairment losses.

Deposit for shares

Deposit for shares are amounts that the Company has placed with subsidiary, associate or another company for the ultimate purpose of equity investment in the relevant company for which relevant regulatory formalities have not been completed at the reporting date.

Deposit for shares are carried at cost less accumulated impairment losses, if any.

3.6 Investment in subsidiaries and basis of consolidation

(a) Subsidiaries

Subsidiaries are entities controlled by the Company. Control exists when the Company has the power, directly or indirectly to govern the financial and operating policies of an entity so as to obtain benefits from its activities. In assessing control, potential voting rights that presently are exercisable are taken into account. The consolidated financial statements include the assets, liabilities and results of the Company and subsidiary undertakings. The financial statements of subsidiaries are included in the consolidated financial statements from the date that control commences until the date that control ceases. The financial statements have been prepared using uniform accounting policies for like transactions and other events in similar circumstances. Investments in subsidiary companies are carried at cost less impairment in the Company's financial statements. Investment in subsidiary carried at cost in the Company's separate financial statements are reviewed for impairment annually. An impairment loss is recognised for the amount by which the asset's carrying amount exceeds its recoverable amount.

The recoverable amount is the higher of an asset's fair value less costs to sell and value in use. The results and financial position of all the Group entities (none of which has the currency of a hyper-inflationary economy) that have a functional currency different from the presentation currency are translated into the presentation currency as follows:

- Assets and liabilities for statement of financial position presented are translated at the closing rate at the reporting date;
- Income and expenses for each statement of comprehensive income are translated at average exchange rates (unless this average is not a reasonable approximation of the cumulative effect of the rates prevailing on the transaction dates, in which case income and expenses are translated at the rate on the dates of the transactions); and
- All resulting exchange differences are recognised in other comprehensive income.

On the disposal of a foreign operation, the Group recognises in profit or loss the cumulative amount of exchange differences relating to that foreign operation. When a subsidiary that includes a foreign operation is partially disposed of or sold, the Group re-attributes the proportionate share of the cumulative amount of the exchange differences recognised in other comprehensive income to the non-controlling interests in that foreign operation. In the case of any other partial disposal of a foreign operation, the Group reclassifies to profit or loss only the proportionate share of the cumulative amount of exchange differences recognised in other comprehensive income.

(b) Transactions eliminated on consolidation

Intra-Company balances and transactions and any unrealised gains or losses arising from intra-Company transactions are eliminated in preparing the consolidated financial statements. Unrealised losses are eliminated in the same way as unrealised gains, but only to the extent that there is no evidence of impairment.

3.7 Investment property

Investment property comprises investment in land or buildings held primarily to earn rentals or capital appreciation or both. Investment property is initially recognised at cost including transaction costs. The carrying amount includes the cost of replacing part of an existing investment property at the time that cost is incurred if the recognition criteria are met; and excludes cost of day-to-day servicing of an investment property. An investment property is subsequently measured at fair value with any change therein recognised in profit or loss. Fair values are determined individually, on a basis appropriate to the purpose for which the property is intended and with regard to recent market transactions for similar properties in the same location.

Fair values are reviewed annually by an independent valuer, registered with the Financial Reporting Council of Nigeria as well as holding a recognised and relevant professional qualification and with relevant experience in the location and category of investment property being valued.

Subsequent expenditure on investment property is capitalised only if future economic benefit will flow to the Group; otherwise they are expensed as incurred.

Investment properties are disclosed separately from the property and equipment used for the purposes of the business.

The Group separately accounts for a dual purpose property as investment property if it occupies only an insignificant portion. Otherwise, the portion occupied by the Group is treated as property and equipment.

3.8 Deferred income tax

Deferred income tax is recognised, using the liability method, on temporary differences arising between the tax bases of assets and liabilities and their carrying amounts in the consolidated financial statements. However, if the deferred income tax arises from initial recognition of the asset or liability in a transaction other than a business combination that at the time of the transaction affects neither accounting nor taxable profit or loss, it is not accounted for. Deferred income tax is determined using the tax rates (and laws) that have been enacted or substantively enacted by the end of the reporting period and are expected to apply when the related deferred income tax is realisable or the deferred income tax liability is payable.

Deferred income tax assets are recognised to the extent that it is possible that future profit will be available against which the temporary differences can be utilised.

Deferred income tax is provided on temporary differences arising on investments subsidiaries and associates, except where the Group controls the timing of the reversal of the temporary difference and it is probable that the temporary difference will not reverse in the foreseeable future.

Deferred income tax assets and liabilities are offset when there is a legally enforceable right to offset current tax assets against current tax liabilities and when deferred income tax assets and liabilities relate to income taxes levied by the same taxation authority on either the taxable entity or different entities where there is an intention to settle the balances on a net basis.

The tax effects of carry-forwards of unused losses or unused tax credits are recognised as an asset when it is probable that future taxable profits will be available against which these losses can be utilised.

Deferred tax related to fair value re-measurement of available-for-sale investments, which are charged or credited directly in other comprehensive income, is also credited or charged to other comprehensive income and subsequently recognised in the consolidated income statement together with the deferred gain or loss.

3.9 Intangible assets

Software

Recognition of software acquired is only allowed if it is probable that future economic benefits to this intangible asset are attributable and will flow to the Company.

Software acquired is initially measured at cost. The cost of acquired software comprises its purchase price, including any import duties and non-refundable purchase taxes, and any directly attributable expenditure on preparing the asset for its intended use. After initial recognition, software acquired is carried at its cost less any accumulated amortisation and any accumulated impairment losses. Maintenance costs should not be included.

Internally developed software is capitalised when the Company has the intention and demonstrates the ability to complete the development and use of the software in a manner that will generate future economic benefits, and can reliably measure the costs to complete the development. The capitalised costs include all costs directly attributable to the development of the software. Internally developed software is stated at capitalised cost less accumulated amortisation and impairment. Subsequent expenditure on software assets is capitalised only when it increases the future economic benefits embodied in the specific asset to which it relates. All other expenditure is expensed as incurred. Amortisation is recognised in profit or loss on a straight-line basis over the estimated useful life of the software, from the date that it is available for use. The estimated useful life of software is five years subject to annual reassessment.

3.10 Property, plant and equipment

Recognition and measurement

All items of property and equipment except land and buildings are initially recognised at cost and subsequently measured at cost less accumulated depreciation and impairment losses. Cost includes expenditures that are directly attributable to the acquisition of the asset.

Land and buildings are initially recognised at cost and subsequently carried at revalued amounts, being fair value at the date of revaluation less subsequent accumulated depreciation and impairment losses, if any.

When parts of an item of property or equipment have different useful lives, they are accounted for as separate items (major components) of property and equipment.

The gain or loss on disposal of an item of property and equipment is determined by comparing the proceeds from disposal with the carrying amount of property and equipment, and are recognised net within other income in profit or loss.

Subsequent costs

Subsequent costs are included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Group and the cost of the item can be measured reliably. All other repairs and maintenance costs are charged to the profit and loss account during the financial period in which they are incurred.

Subsequent costs on replacement parts on an item of property are recognised in the carrying amount of the asset and the carrying amount of the replaced or renewed component is derecognised.

Depreciation

Depreciation is calculated on property, plant and equipment on the straight-line basis to write down the cost of each asset to its residual value over its estimated useful life. Depreciation methods, useful lives and residual values are reassessed at each reporting date. No depreciation is charged on fixed assets until they are brought into use.

Depreciation reduces an asset's carrying value to its residual value at the end of its useful life, and is allocated on a straight-line basis over the estimated useful lives, as follows:

Land – 99 years
Buildings – 59 years
Office equipment – 20%
Computer hardware – 20%
Furniture and fittings – 20%
Motor vehicles – 25%

Revaluation of land and buildings
Land and buildings are valued on an open market basis by qualified property valuers at each reporting date.

When an individual property is revalued, any increase in its carrying amount (as a result of revaluation) is transferred to a revaluation reserve, except to the extent that it reverses a revaluation decrease of the same property previously recognised as an expense in the statement of profit or loss.

When the value of an individual property is decreased as a result of a revaluation, the decrease is charged against any related credit balance in the revaluation reserve in respect of that property. However, to the extent that it exceeds any surplus, it is recognised as an expense in the statement of profit and loss.

3.11 Impairment of non-financial assets
The carrying amounts of the Group's non-financial assets are considered to be impaired when there exist any indication that the asset's recoverable amount is less than the carrying amount or at a minimum assessed for impairment annually. The recovery amount is the higher of an asset's fair value less costs to sell and value in use. For the purposes of assessing impairment, assets are grouped at the lowest levels for which they are separately identifiable cash flows (cash-generating units). Impairment losses are recognised in income statement.

Impairment losses recognised in prior periods are assessed at each reporting date for any indications that the loss has decreased or no longer exists. An impairment loss is reversed if there has been a change in the estimates used to determine the recoverable amount. An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised. Reversals of impairment losses are recognised in statement of profit or loss.

3.12 Statutory deposit
These deposits represent bank balances required by the insurance regulators of the Group to be placed with relevant central banks of Group's operating jurisdictions. These deposits are stated at amortised cost.

3.13 Share capital, retained earnings and other reserves
Share capital
The Company classifies ordinary shares and share premium as equity when there is no obligation to transfer cash or other assets.

Incremental costs directly attributable to issue of shares are recognised as deductions from equity net of any tax effects.

Dividend on ordinary shares
Dividends on the Company's ordinary shares are recognised in equity in the period in which they are paid or, if earlier, approved by the Company's shareholders.

Earnings per share
The Company presents basic earnings per share for its ordinary shares. Basic earnings per share are calculated by dividing the profit attributable to ordinary shareholders of the Company by the number of shares outstanding during the year. Adjusted earnings per share is determined by dividing the profit or loss attributable to ordinary shareholders by the weighted average number of ordinary shares adjusted for the bonus shares issued. A diluted earnings per share is determined where appropriate.

Retained earnings (deficit)
This account accumulates net profits or losses from operations.

Other reserves
Other reserves warehouses translation differences on foreign operations, revaluation surplus on property, plant and equipment and unrealised gains/losses on available-for-sale financial assets.

3.14 Contingency reserve
The Company maintains contingency reserves in accordance with the provisions of the Insurance Act 2003 to cover fluctuations in securities and variations in statistical estimates. For general business, the reserve is calculated at the rate equal to the higher of 3% of total premium or 20% of net profit until the reserve reaches the greater of minimum paid up capital or 50% of net premium for general business. Contingency reserve for life business is credited with the higher of 1% of gross premiums and 10% of net profit.

3.15 Insurance contract liabilities
The recognition and measurement of insurance contracts have been set out under Note 3.20. Insurance contract liabilities arising from insurance contracts are determined as follows:

(i) Non-life insurance contracts
(a) Reserve for unearned premium and unexpired risk
The reserve for unearned premium is calculated on a time apportionment basis in respect of risk accepted during the year. A provision for additional unexpired risk reserve is recognised for an underwriting year where it is envisaged that the estimated cost of claims and expenses would exceed the unearned premium reserve.

(b) Reserve for outstanding claims
The reserve for outstanding claims is maintained at the total amount of outstanding claims incurred and reported plus claims incurred but not reported (IBNR) at the reporting date.

(c) Reserving methodology and assumptions
Data segmentation

The data used for reserving is segmented into the eight classes as per the Insurance Act 2003 of Nigeria:

- Motor vehicle insurance business;
- Fire insurance business;
- General accident insurance business;
- Marine, aviation and transport Insurance business;
- Oil and gas insurance business;
- Engineering;
- Bonds, credit and suretyship; and
- Miscellaneous.

Valuation methods and assumptions
The following valuation methods are used as appropriate in calculating the reserves:

(ii) The basic chain ladder method
This model assumes that past experience is indicative of future experience, i.e. that claims reported to date will continue to develop in a similar manner in the future. A further assumption is that it assumes consistent claim processing, a stable mix of types of claims, stable inflation and stable policy limits.

This method is used for cases where there are extremely large losses that have been reported but not paid, and therefore will not influence the development patterns. The IBNR was calculated as follows:

The reserving was determined as ultimate claim amount (extreme large losses) minus claims paid to date (extremely large losses) minus claims outstanding (extreme large losses). This method was used for the following classes of business motor vehicle, fire, general accident, engineering and miscellaneous.

(iii) Loss ratio method
This model assumes that the average delay in the payment of claims will continue into the future. Additionally, an estimate of the average ultimate loss ratio was assumed. The estimated average loss ratio was based on claims experience at the reporting date for accident years 2010, 2011 and 2012. The loss ratio method was used for four classes namely oil and gas, marine, bonds and aviation which had very limited data, therefore, the BCL method was inappropriate. The IBNR was calculated as follows: the reserving was calculated as the expected average ultimate loss ratio for the assumed average delay period multiplied by earned premium for the assumed delay period minus current experience to the reporting date relating to the accident months that the delay affects. This method was used for the following classes of business oil and gas, marine, bonds and aviation.

Discounting
No allowance has been made for discounting as these reserves are for short-term contracts, the effect of discounting is not expected to have a significant impact on the reserves.

Sensitivity analysis
Sensitivity analyses are performed to test the variability around the reserves that are calculated at the best estimate level. The sensitivity analysis is done to determine how the IBNR reserve amount would change if a 75th percentile is considered as opposed to the best estimate figures included in reserve reviews as at 31 December 2012. The 75th percentile is a generally accepted level of prudency.

(iv) Life insurance contracts
(a) Life fund
This is made up of net liabilities on policies in force as determined by qualified actuaries at the reporting date. Surplus or deficit arising from the periodic valuation of the life insurance contracts are recognised in the income statement.

This is made up of net liabilities on policies in force as determined by qualified actuaries at the reporting date. Surplus or deficit arising from the periodic valuation of the life insurance contracts are recognised in the statement of profit and loss. The reserves include Incurred But Not Reported (IBNR) and Unearned Premium Reserve (UPR).

(b) Reserving methodology and assumptions
Data segmentation
The data used for reserving is segmented into the two classes as follows:

- Individual business; and
- Group business.

Valuation and assumptions
The basic chain ladder method was used for both the individual business and Group business

- The valuation age is taken as Age Last Birthday at the valuation date;
- The period to maturity is taken as the full term of the policy less the expired term; and
- Full credit is given to premiums due between valuation date and the end of the premium paying term.

An unexpired premium reserve is included for Group Life business, after allowing for acquisition expenses at a ratio of 12% premium. The UPR is tested against an additional Unexpired Risk Reserve (AURR), using pooled industry claims data for the underlying assumptions. The resulting AURR was zero, giving comfort that the UPR is sufficient.

3.16 Liabilities and related assets under liability adequacy test

The net liability for insurance contracts is tested for adequacy by discounting current estimates of all future contractual cash flows and comparing this amount to the carrying value of the liability net of deferred acquisition costs. Where a shortfall is identified, an additional provision is made and the Group recognises the deficiency in the statement of profit or loss. Insurance contract liabilities are subject to liability adequacy testing on an annual basis. The method of valuation and assumptions used, the cash flows considered and the discounting and aggregation practices adopted have been set out as part of Note 3.15.

3.17 Investment contracts liabilities

The recognition of investment contracts have been set out under Note 3.21. Investment contract liabilities are measured at amortised cost.

3.18 Trade payables, provisions and other payables

Trade Payables

Trade and other payables are recognised initially at fair value and subsequently measured at amortised cost using the effective interest method. The fair value of a non-interest bearing liability is its discounted repayment amount. If the due date is less than one year, discounting is omitted.

Provisions

A provision is recognised if, as a result of a past event, the Group has a present legal or constructive obligation that can be estimated reliably, and it is probable that an outflow of economic benefits will be required to settle the obligation. Provisions are determined by discounting the expected future cash flows at a rate that reflects current market assessments of the time value of money and the risks specific to the obligation.

Other payables

Other payables are initially recognised at fair value and subsequently measured at amortised cost.

3.19 Income tax

Income tax comprises current and deferred tax. Income tax expense is recognised in the income statement except to the extent that it relates to items recognised directly in equity, in which case it is recognised in equity.

Current tax is the expected tax payable on taxable income for the year, using tax rates enacted or substantively enacted at the balance sheet date, and any adjustment to tax payable in respect of previous years.

3.20 Insurance contracts

The Group enters into insurance contracts as its primary business activity. Insurance contracts are those that the Group accepts significant insurance risk from another party (the policyholder) by agreeing to compensate the policyholder or other beneficiary, if a specified uncertain future event (the insured event) adversely affects the policyholder or the other beneficiary. The Group as a guide defines significant insurance risk as the possibility of having to pay benefit on the occurrence of an insured event that is at least 10% more than the benefit payable if the insured event did not occur.

Types of insurance contracts

The Group enters into both life and non-life insurance contracts.

(i) Non-life insurance contracts

These contracts involve accident and casualty and property insurance contracts.

Accident and casualty insurance contracts protect the Group's customers against the risk of causing harm to third parties as a result of their legitimate activities. Damages covered include both contractual and non-contractual events. The typical protection offered is designed for employers who become legally liable to pay compensation to injured employees (employers' liability) and for individual and business customers who become liable to pay compensation to a third party for bodily harm or property damage (public liability).

Property insurance contracts mainly compensate the Group's customers for damage suffered to their properties or for the value of property lost. Customers who undertake commercial activities on their premises could also receive compensation for the loss of earnings caused by the inability to use the insured properties to their benefit.

(ii) Life insurance contracts

These contracts insure events associated with human life (for example, death or survival) over a long duration.

In addition, the Group has short-term life insurance contracts which protect the Group's policyholders from the consequences of events (such as death or disability) that would affect the ability of the insured or his/her dependants to maintain their current level of income. Guaranteed benefits paid on occurrence of the specified insurance event are either fixed or linked to the extent of the economic loss suffered by the insured or the beneficiary. There are no maturity or surrender benefits.

Recognition and measurement

(i) Non-life insurance contracts

(a) Premium

Gross premium relates to premium written in a year to cover assumed insurance risk. Gross premiums comprise the premiums on insurance contracts entered into during the year, irrespective of whether they relate in whole or in part to a later accounting period.

The earned portion of premiums written is recognised as revenue. Premium earned is determined on a time apportionment basis from the date of assumption of insurance risk over the period of coverage of the risk.

Unearned premiums are those portions of premium written in the year that relate to periods of risks after the reporting date. It is computed separately for each insurance contract using a time apportionment basis.

(b) Claims
Claims and loss adjustment expenses are charged to statement of profit or loss and other comprehensive income as incurred based on the estimated liability for compensation owed to the contract holders or beneficiaries. They include direct and indirect claims settlement cost and arise from events that have occurred up to the reporting period, whether they have been reported or not. The Group does not discount its liabilities for unpaid claims.

The provision for outstanding claims, is estimated based on historic information on reported cases and the ultimate liability may vary as a result of subsequent information and events and may result in significant adjustments to the amounts provided. Adjustments to the amounts of claims provision for prior years are reflected in the income statement in the financial period in which adjustments are made, and disclosed separately if material.

The measurement of outstanding claims have been detailed out under Note 3.15(i) (Insurance contract liabilities).

(ii) Life assurance contracts
(a) Premium
Premiums and annuity considerations written and/or receivable under life insurance contracts are stated gross of commission and recognised when due. Premium written relates to risks assumed during the period.

(b) Claims
Claims and benefits relating to life insurance contracts are recognised as expense on notification. The measurement of life insurance contract liabilities has been set out under Note 3.15(ii).

(iii) Deferred income
Deferred income represents a portion of commission received on reinsurance contracts which are booked during the financial year and are deferred to the extent that they are recoverable out of future revenue margins. It is calculated by applying the reinsurance commission income to the ratio of prepaid reinsurance to reinsurance cost.

(iv) Reinsurance contracts held
Contracts entered into by the Group with reinsurers under which the Group is compensated for losses on one or more contracts issued by the Group and that meet the definition requirements for insurance contracts entered into are reclassified as reinsurance contracts. Insurance contracts entered into by the Group under which the contract holder is another insurer are covered as insurance contracts.

Reinsurance assets consist of short-term balances due from reinsurers, as well as longer-term receivables that are dependent on the expected claims and benefits arising under the related reinsured insurance contracts. Amounts recoverable from or due to reinsurers are measured consistently with the amounts associated with the reinsured insurance contracts and in compliance with the terms of each reinsurance contract. Reinsurance liabilities are primarily premiums payable for the reinsurance contracts and are recognised as an expense when due. The Group had the right to set-off reinsurance payables against the amount due from reinsurance and brokers in line with the agreed arrangement between both parties.

(v) Liability adequacy test
The net liability for insurance contracts is tested for adequacy by discounting current estimates of all future contractual cash flows and comparing this amount to the carrying value of the liability net of deferred acquisition costs. Where a shortfall is identified, an additional provision is made and the Company recognises the deficiency in the income statement. Insurance contract liabilities are subject to liability adequacy testing on an annual basis. The method of valuation and assumptions used, the cash flows considered and the discounting and aggregation practices adopted have been set out as part of Note 3.15.

3.21 Investment contracts
Investment contracts are those contracts that transfer financial risks with no significant insurance risk.

Financial risk is the risk of a possible future change in one or more of a specified interest rate, security price, commodity price, foreign exchange rate, index of prices or rates, credit rating or credit index or other variable, provided in the case of a non-financial variable that the variable is not specific to a party to the contract.

The Group enters into investment contracts with guaranteed returns and other businesses of a savings nature. Those contracts are recognised as liabilities and are measured at amount payable at each reporting date.

The Group does not have contracts with discretionary participating features.

3.22 Commission earned
Commissions are recognised on ceding business to the reinsurer, and are credited to income statement.

3.23 Underwriting expenses
Underwriting expenses are made up of acquisition and maintenance expenses comprising commission and policy expenses, proportion of staff cost and insurance supervision levy.

Underwriting expenses for insurance contracts are recognised as expense when incurred, with the exception of acquisition costs which are recognised on a time apportionment basis in respect of risk.

3.24 Investment and other operating income

Investment and other operating income comprise interest income earned on short-term deposits, rental income and income earned on trading of securities including all realised and unrealised fair value changes, dividends and foreign exchange differences. Investment income, other than interest income, is recognised at fair value and on an accrual basis. Interest income is recognised in the income statement as it accrues and is calculated using the effective interest rate method. Fees and commissions that form part of an integral part of the effective yield of a financial instrument are recognised as an adjustment to the effective interest rate of the instrument.

3.25 Dividend income

Dividend is recognised when the Company's right to receive the dividend has been established. The right to receive dividend is established when the dividend has been duly declared.

3.26 Employee benefits

Short-term benefits

Short-term employee benefit obligations include wages, salaries and other benefits which the Company has a present obligation to pay, as a result of employees' services provided up to the reporting sheet date. The accrual is calculated on an undiscounted basis, using current salary rates.

A provision is recognised for the amount expected to be paid under short-term cash bonus or profit-sharing plans if the Company has a present legal or constructive obligation to pay this amount as a result of past service provided by the employee and the obligation can be estimated reliably.

Post-employment benefits

The Company operates a defined contributory retirement scheme as stipulated in the Pension Reform Act 2004. Under the defined contribution scheme, the Company pays fixed contributions of 7.5% to a separate entity – Pension Fund Administrators; employees also pay the same fixed percentage to the same entity. Once the contributions have been paid, the Company retains no legal or constructive obligation to pay further contributions if the Fund does not hold enough assets to finance benefits accruing under the retirement benefit plan. The Company's obligations are recognised in the profit and loss.

Gratuity benefits

The Company has a gratuity scheme under which employees are entitled to a hundred and ten per cent (110%) of monthly total package (excluding performance pay) for each completed year of service. A hundred and fifty per cent (150%) if 15-19 years have been spent in service and two hundred per cent (200%) of monthly total package if 20 years and above have been spent in service.

The total package is made up of Basic, Housing and Transport allowance of the staff at the point of exit. The gratuity scheme is solely funded by the Company. The liability recognised is the net total of the present value of the defined benefit obligations plus any unrecognised actuarial gains (less actuarial losses) minus any unrecognised past service costs minus fair value of plan assets at the end of the reporting period.

Other long-term employee benefits

The Company recognises obligation for defined benefit plans in respect of its long-term service award based on projected unit credit method.

Termination benefits

Termination benefits are payable whenever an employee's employment is terminated before the normal retirement date or whenever an employee accepts voluntary redundancy in exchange for these benefits. The Company recognises termination benefits when it is demonstrably committed either to terminate the employment of current employees according to a detailed formal plan without possibility of withdrawal, or to provide termination benefits as a result of an offer made to encourage voluntarily redundancy if it is probable that the offer will be accepted and the number of acceptances can be estimated. Benefits falling due more than 12 months after reporting sheet date are discounted to present value.

3.27 Foreign currency transactions

The Nigerian Naira is the Company's functional and reporting currency. Foreign currency transactions are translated at the foreign exchange rate ruling at the date of the transaction. Monetary assets and liabilities denominated in foreign currencies are translated using the exchange rate ruling at the reporting sheet date; the resulting foreign exchange gain or loss is recognised in the statement of profit or loss.

Unrealised exchange differences on non-monetary financial assets (investments in equity instruments) are a component of the change in their entire fair value. For a non-monetary financial asset held for trading or designated at fair value through profit or loss, unrealised exchange differences are recognised in the income statement. For non-monetary financial investments available-for-sale, unrealised exchange differences are recorded directly in equity until the asset is sold or becomes impaired.

3.28 Management and other operating expenses

Management and other operating expenses are expenses other than claims and underwriting expenses. They include depreciation expenses and other operating expenses. They are recognised on an accrual basis.

3.29 Segment reporting

A segment is a distinguishable component of the Group that is engaged in providing products or services (business segment), or in providing products or services within a particular economic environment (geographical segment), which is subject to risks and rewards that are different from those of other segments. The Group's primary format for segment reporting is based on business segments. Significant geographical regions have been identified as the secondary basis of reporting.

3.30 Dividends

Dividend distribution to the Company's shareholders is recognised as a liability in the financial statements in the period in which the dividends are approved by the Company's shareholders. Dividends that are proposed but not yet declared are disclosed in the notes to the financial statements.

3.31 Leases

Operating leases

Leases where the lessor retains the risks and rewards of ownership of the underlying asset are classified as operating leases. Payments made under operating leases are charged against income on a straight-line basis over the period of the lease.

Finance leases

Leases of equipment where the Group has substantially all the risks and rewards of ownership are classified as finance leases. Finance leases are capitalised at the inception of the lease at the lower of the fair value of the leased asset or the present value of the minimum lease payments. Each lease payment is allocated between the liability and finance charges so as to achieve a constant interest rate on the outstanding balance of the liability.

The corresponding lease obligations, net of finance charges, are included in liabilities. The finance cost is charged to the income statement over the lease period according to the effective interest method. The equipment acquired under the finance lease is depreciated over the shorter of the useful life of the asset and the lease term, if ownership does not pass at the end of the lease term. Leased assets under finance leases are treated in the same manner as property and equipment.

3.32 New standards and interpretations not yet adopted

A number of new standards, amendments to standards and interpretations are effective for annual periods beginning after 1 January 2013, and have not been applied in preparing these consolidated financial statements. Those which may be relevant to the Group are set out below. The Group does not plan to adopt these standards early.

IFRS 9: Financial Instrument: Classification and Measurement (2010 and 2009)

IFRS 9 (2009) introduces new requirements for the classification and measurement of financial assets. IFRS 9 (2010) introduces additions relating to financial liabilities. The IASB currently has an active project to make limited amendments to the classification and measurement requirements of IFRS 9 and add new requirements to address the impairment of financial assets and hedge accounting.

The IFRS 9 (2009) requirements represent a significant change from the existing requirements in IAS 39 in respect of financial assets. The standard contains two primary measurement categories for financial assets: amortised cost and fair value. A financial asset would be measured at amortised cost if it is held within a business model whose objective is to hold assets in order to collect contractual cash flows, and the asset's contractual terms give rise on specified dates to cash flows that are solely payments of principal and interest on the principal outstanding. All other financial assets would be measured at fair value. The standard eliminates the existing IAS 39 categories of held-to-maturity, available-for-sale and loans and receivables.

For an investment in an equity instrument which is not held for trading, the standard permits an irrevocable election, on initial recognition, on an individual share-by-share basis, to present all fair value changes from the investment in other comprehensive income. No amount recognised in other comprehensive income would ever be reclassified to profit or loss at a later date. However, dividend on such investments is recognised in profit or loss, rather than other comprehensive income unless they clearly represent a partial recovery of the cost of the investment.

Investments in equity instruments in respect of which an entity does not elect to present fair value changes in other comprehensive income would be measured at fair value with changes in fair value recognised in profit or loss.

The standard requires that derivatives embedded in contracts with a host that is a financial asset within the scope of the standard are not separate; instead the hybrid financial instrument is assessed in its entirety as to whether it should be measured at amortised cost or fair value.

IFRS 9 (2010) introduces a new requirement in respect of financial liabilities designated under the fair value option to generally present fair value changes that are attributable to the liability's credit risk in other comprehensive income rather than in profit or loss. Apart from this change, IFRS 9 (2010) largely carries forward without substantive amendment the guidance on classification and measurement of financial liabilities from IAS 39.

IFRS 9 is effective for annual periods beginning on or after 1 January 2015 with early adoption permitted. The IASB decided to consider making limited amendments to IFRS 9 to address practice and other issues. The Group has commenced the process of evaluation of the potential effect of this standard but is awaiting finalisation of the limited amendments before the evaluation can be completed. Given the nature of the Group's operations, this standard is expected to have a pervasive impact on the Group's financial statements.

Amendments to IFRS 7 and IAS 32 on offsetting financial assets and financial liabilities (2011)
Disclosures – Offsetting Financial Assets and Financial Liabilities (amendments to IFRS 7) introduces disclosures about the impact of netting arrangements on an entity's financial position. The amendments are effective for annual periods beginning on or after 1 January 2013 and interim periods within those annual periods. Based on the new disclosure requirements the Group will have to provide information about what amounts have been offset in the statement of financial position and the nature and extent of rights of set-off under master netting arrangements or similar arrangements.

Offsetting Financial Assets and Financial Liabilities (amendments to IAS 32) clarify the offsetting criteria in IAS 32 by explaining when an entity currently has a legally enforceable right to set-off and when gross settlement is equivalent to net settlement. The amendments are effective for annual periods beginning on or after 1 January 2014 and interim periods with those annual periods. Earlier application is permitted.

Based on our initial assessment, the Group is not expecting a significant impact from the adoption of the amendments to IAS 32. However, the adoption of the amendments to IFRS 7 requires more extensive disclosures about right of set-off.

IFRS 10: Consolidated Financial Statements, IFRS 11 Joint Arrangement and IFRS 12 Disclosure of Interests in Other Entities (2011)
IFRS 10 introduces a single control model to determine whether an investee should be consolidated. As a result, the Group may need to change its consolidation conclusion in respect of its investees, which may lead to changes in the current accounting for these investees.

IFRS 11 is not expected to have any impact on the Group because the Group does not have interest in joint ventures. IFRS 12 brings together into a single standard all the disclosure requirements about an entity's interests in subsidiaries, joint arrangements, associates and unconsolidated structured entities. It requires the disclosure of information about the nature, risk and financial effects of these interests. The Group is currently assessing the disclosure requirements for interest in subsidiaries in comparison with the existing disclosures. These standards are effective for annual periods beginning on or after 1 January 2013 with early adoption permitted.

IFRS 13: Fair Value Measurement (2011)
IFRS 13 provides a single source of guidance on how fair value is measured, and replaces the fair value measurement guidance that is currently dispersed throughout IFRS. Subject to limited exceptions, IFRS 13 is applied when fair value measurements or disclosures are required or permitted by other IFRSs. The Group is currently reviewing its methodologies for determining fair values. Although many of the IFRS 13 disclosure requirements regarding financial assets and financial liabilities are already required, the adoption of IFRS 13 will require the Group to provide additional disclosures. These include fair value hierarchy disclosures for non-financial assets/liabilities and disclosures on fair value measurements that are categorised in level 3.

IFRS 13 is effective for annual periods beginning on or after 1 January 2013 with early adoption permitted.

IAS 19: Employee benefits (2011)
IAS 19 (2011) changes the definition of short-term and other long-term employee benefits to clarify the distinction between the two. For defined benefit plans, removal of the accounting policy choice for recognition of actuarial gains and losses is not expected to have any impact on the Group. However, the Group may need to assess the impact of the change in measurement principles of the expected return on plan assets. IAS 19 (2011) is effective for annual periods beginning on or after 1 January 2013 with early adoption permitted.

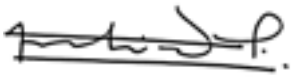
Consolidated Statement of Financial Position

		Group			Company		
	Notes	31-Dec-12	31-Dec-11	1-Jan-11	31-Dec-12	31-Dec-11	1-Jan-11
		N'000	N'000	N'000	N'000	N'000	N'000
Assets							
Cash and cash equivalents	7	**4,068,517**	3,895,663	5,292,507	**2,671,903**	1,938,389	3,553,103
Financial assets	8	**5,043,368**	3,972,134	1,915,796	**2,384,345**	3,076,543	1,132,438
Trade receivables	9(a)	**667,365**	630,000	778,438	**231,422**	276,724	566,645
Reinsurance assets	10	**474,394**	142,717	97,919	**286,791**	73,317	97,919
Deferred acquisition cost	13	**175,788**	192,239	177,679	**110,639**	130,255	136,252
Other receivables and prepayments	9(c)	**642,027**	759,098	658,768	**647,172**	507,941	636,692
Investment in subsidiaries	12	**–**	–	–	**2,705,576**	2,455,576	2,405,576
Investment property	11	**264,334**	1,067,072	1,153,846	**182,667**	446,000	528,699
Deferred tax asset	26(c)	**100,116**	26,101	10,592	**–**	–	–
Intangible assets	14	**65,695**	56,819	68,378	**53,316**	37,687	41,364
Property, plant and equipment	15	**659,532**	597,573	581,577	**361,731**	333,590	306,148
Statutory deposit	16	**517,619**	605,207	590,170	**300,000**	300,000	300,000
Total Assets		**12,678,755**	11,944,623	11,325,670	**9,935,562**	9,576,022	9,704,836
Equity and Liabilities							
Equity attributable to owners							
Share capital	17	**2,530,902**	2,530,902	2,530,902	**2,530,902**	2,530,902	2,530,902
Share premium	18	**5,240,627**	5,240,627	5,240,627	**5,240,627**	5,240,627	5,240,627
Contingency reserves	19	**1,189,986**	1,076,848	944,664	**1,040,912**	964,220	869,394
Other reserves	20	**85,127**	120,805	106,406	**97,315**	106,406	106,406
Retained earnings	21	**(1,423,165)**	(1,693,059)	(1,906,626)	**(1,179,973)**	(1,344,114)	(1,536,975)
Total Equity		**7,623,477**	7,276,123	6,915,973	**7,729,783**	7,498,041	7,210,354
Total equity attributable to the owners of the parent		**7,623,477**	7,276,123	6,915,973	**7,729,783**	7,498,041	7,210,354
Total Equity		**7,623,477**	7,276,123	6,915,973	**7,729,783**	7,498,041	7,210,354
Liabilities							
Insurance contract liabilities	22	**3,545,872**	3,439,325	3,138,664	**1,373,644**	1,403,456	1,558,656
Investment contract liabilities	23	**65,591**	63,432	79,136	**–**	–	–
Trade payables	24	**492,509**	164,014	325,693	**231,036**	117,770	320,851
Provisions and other payables	25	**360,710**	527,295	457,698	**256,967**	262,270	290,879
Deferred income tax liabilities	26	**175,787**	87,365	86,587	**124,175**	63,554	59,036
Current income tax liabilities	27	**414,809**	387,069	321,919	**219,957**	230,931	265,060
Total Liabilities		**5,055,278**	4,668,500	4,409,697	**2,205,779**	2,077,981	2,494,482
Total Liabilities and Equity		**12,678,755**	11,944,623	11,325,670	**9,935,562**	9,576,022	9,704,836

The financial statements were authorised for issue by the Board of Directors on the 27 March 2013 and were signed on its behalf by:

Aigboje Aig-Imoukhuede, CON
FRC/2013/CIBN/00000001999
Chairman

Segun Balogun
FRC/2013/CIIN/00000002288
Chief Executive Officer



Richard Abiodun Adewole
FRC/2013/ICAN/00000002285
Executive Director – Finance

The significant accounting policy on pages 18 to 26, 28 to 47 and the notes on pages 85 to 130 form an integral part of the financial statements.

Consolidated Statement of Profit or Loss and Other Comprehensive Income

		Group		Company	
	Notes	31-Dec-12	31-Dec-11	31-Dec-12	31-Dec-11
		N'000	N'000	N'000	N'000
Gross premium written		4,178,285	5,033,358	2,232,122	3,160,853
Gross premium income		4,246,325	4,965,853	2,326,428	3,221,172
Reinsurance expenses		(733,405)	(803,429)	(602,044)	(682,154)
Net premium income	28	3,512,920	4,162,424	1,724,384	2,539,018
Fee and commission income	29	127,200	123,231	121,062	85,839
Net underwriting income		3,640,120	4,285,655	1,845,446	2,624,857
Claims expenses	34	1,985,449	1,644,384	884,731	769,620
Claims expenses recoverable		(466,377)	(300,079)	(391,855)	(180,501)
Net claims expenses		1,519,072	1,344,305	492,876	589,119
Underwriting expenses	35	685,853	992,689	478,231	739,520
Total underwriting expenses		2,204,925	2,336,994	971,107	1,328,639
Total underwriting profit		1,435,195	1,948,661	874,339	1,296,218
Investment income		1,225,527	823,352	745,100	529,590
Net realised gain/(loss) on financial assets	31	59,545	(26,155)	41,535	4,454
Net fair value loss on assets at fair value through profit or loss	32	(7,169)	(98,645)	(1,667)	(71,901)
Other operating income	33	70,950	152,290	42,382	112,981
Total investment income		1,348,853	850,842	827,350	575,124
Net income		2,784,048	2,799,503	1,701,689	1,871,342
Employee benefit expense	36	560,490	763,746	396,160	538,084
Other operating expenses	37	1,671,173	1,454,113	922,069	918,133
Expenses		2,231,663	2,217,859	1,318,229	1,456,217
Profit before tax		552,385	581,644	383,460	415,125
Income tax expense	27(b)	(169,353)	(235,893)	(142,627)	(127,438)
Profit after tax for the year		383,032	345,751	240,833	287,687
Other comprehensive income, net of tax					
Revaluation gain on property and equipment		87,738	–	87,738	–
Foreign currency translation difference of foreign operations		(54,048)	14,399	–	–
Other comprehensive income for the year, net of tax		33,690	14,399	87,738	–
Total comprehensive income for the year		416,722	360,150	328,571	287,687
Profit attributable to the owners of the parent		383,032	345,751	240,833	287,687
		383,032	345,751	240,833	287,687
Total comprehensive income attributable to the owners of the parent		416,722	360,150	328,571	287,687
		416,722	360,150	328,571	287,687
– Basic and diluted earnings per share (kobo)	38	8	7	5	6

The significant accounting policy on pages 18 to 26, 28 to 47 and the notes on pages 85 to 130 form an integral part of the financial statements.

Consolidated Statement of Changes in Equity – Group
For the year ended 31 December 2012

(All amounts in Naira thousands unless otherwise stated)

	Share capital	Share premium	Contingency reserves	Other reserves	Retained earnings	Total equity
Balance at 1 January 2012	**2,530,902**	**5,240,627**	**1,076,848**	**120,805**	**(1,693,059)**	**7,276,123**
Total comprehensive income for the year						
Profit for the year	–	–	–	–	383,032	383,032
Transfer to contingency reserves	–	–	113,138	–	(113,138)	–
	–	–	113,138	–	269,894	383,032
Other comprehensive income						
Foreign currency translation difference	–	–	–	(54,048)	–	(54,048)
Revaluation gain on property and equipment, net of tax	–	–	–	115,199	–	115,199
Reversal of revaluation gain on demolished property and equipment	–	–	–	(96,829)	–	(96,829)
Total other comprehensive income for the year	–	–	–	(35,678)	–	(35,678)
Total comprehensive income for year	–	–	113,138	(35,678)	269,894	347,354
Total transactions with owners	–	–	–	–	–	–
Balance at 31 December 2012	**2,530,902**	**5,240,627**	**1,189,986**	**85,127**	**(1,423,165)**	**7,623,477**

Consolidated Statement of Changes in Equity – Company
For the year ended 31 December 2012

(All amounts in Naira thousands unless otherwise stated)

	Share capital	Share premium	Contingency reserves	Other reserves	Retained earnings	Total equity
Balance at 1 January 2012	**2,530,902**	**5,240,627**	**964,220**	**106,406**	**(1,344,114)**	**7,498,041**
Total comprehensive income for the year						
Profit for the year	–	–	–	–	240,833	240,833
Transfer to contingency reserves	–	–	76,692	–	(76,692)	–
	–	–	76,692	–	164,141	240,833
Other comprehensive income						
Revaluation gain on property and equipment, net of tax	–	–	–	87,738	–	87,738
Reversal of revaluation gain on demolished property and equipment	–	–	–	(96,829)	–	(96,829)
Total other comprehensive income for the year	–	–	–	(9,091)	–	(9,091)
Total comprehensive income for year	–	–	76,692	(9,091)	164,141	231,742
	–	–	–	–	–	–
Total transactions with owners	–	–	–	–	–	–
Balance at 31 December 2012	**2,530,902**	**5,240,627**	**1,040,912**	**97,315**	**(1,179,973)**	**7,729,783**

Consolidated Statement of Changes in Equity – Group
For the year ended 31 December 2011

(All amounts in Naira thousands unless otherwise stated)

	Share capital	Share premium	Contingency reserves	Other reserves	Retained earnings	Total equity
Balance at 1 January 2011	2,530,902	5,240,627	944,664	106,406	(1,906,626)	6,915,973
Total comprehensive income for the year						
Profit for the year	–	–	–	–	345,751	345,751
Transfer to contingency reserves	–	–	132,184	–	(132,184)	–
	–	–	132,184	–	213,567	345,751
Other comprehensive income						
Foreign currency translation difference	–	–	–	14,399	–	14,399
Total other comprehensive income for the year	–	–	–	14,399	–	14,399
Total comprehensive income for year	–	–	132,184	14,399	213,567	360,150
Total transactions with owners	–	–	–	–	–	–
Balance at 31 December 2011	2,530,902	5,240,627	1,076,848	120,805	(1,693,059)	7,276,123

Consolidated Statement of Changes in Equity – Company
For the year ended 31 December 2011

(All amounts in Naira thousands unless otherwise stated)

	Share capital	Share premium	Contingency reserves	Other reserves	Retained earnings	Total equity
Balance at 1 January 2011	2,530,902	5,240,627	869,394	106,406	(1,536,975)	7,210,354
Total comprehensive income for the year						
Profit for the year	–	–	–	–	287,687	287,687
Transfer to contingency reserves	–	–	94,826	–	(94,826)	–
	–	–	94,826	–	192,861	287,687
Other comprehensive income	–	–	–	–	–	–
Total other comprehensive income for the year	–	–	–	–	–	–
Total comprehensive income for year	–	–	94,826	–	192,861	287,687
Total transactions with owners	–	–	–	–	–	–
Balance at 31 December 2011	2,530,902	5,240,627	964,220	106,406	(1,344,114)	7,498,041

Consolidated Statement of Cash Flows

	Notes	Group		Company	
		31-Dec-12	31-Dec-11	**31-Dec-12**	31-Dec-11
		N'000	N'000	**N'000**	N'000
Cash flows from operating activities					
Net cash flow from operating activities before changes	40	**1,394,019**	1,320,503	**818,586**	859,387
Changes in working capital:					
Trade receivables		**(649,560)**	(267,959)	**(156,324)**	33,280
Reinsurance assets		**(331,677)**	(44,798)	**(213,474)**	24,602
Deferred acquisition cost		**16,451**	(14,560)	**19,616**	5,997
Other receivables and prepayments		**5,080**	(125,847)	**(120,675)**	–
Statutory deposit		**87,588**	(15,037)	**19,616**	5,997
Insurance contract liabilities		**201,486**	300,661	**(94,204)**	(155,200)
Investment contract liabilities		**2,159**	(15,704)	**–**	–
Trade payables		**328,495**	(161,679)	**113,266**	(203,081)
Provisions and other payables		**(141,846)**	69,597	**(5,303)**	(28,609)
		912,195	1,045,177	**381,104**	542,373
Income tax paid		**(166,188)**	(185,431)	**(130,582)**	(157,049)
Net cash from operating activities		**746,007**	859,746	**250,522**	385,324
Cash flows from investing activities					
Purchases of property, plant and equipment		**(196,993)**	(134,670)	**(152,459)**	(100,833)
Purchases of intangible assets		**(29,684)**	(7,722)	**(29,684)**	(7,722)
Proceed from sale of property, plant and equipment		**–**	12,894	**–**	9,009
(Purchase)/redemption of financial assets		**(1,219,994)**	(2,737,949)	**413,962**	(2,064,850)
Rental income from investment property		**55,747**	52,190	**5,507**	7,858
Proceeds from disposal of investment property		**817,771**	558,667	**245,666**	156,500
Net cash used in investing activities		**(573,153)**	(2,256,590)	**482,992**	(2,000,038)
Changes in cash and cash equivalents		**172,854**	(1,396,844)	**733,514**	(1,614,714)
Cash and cash equivalent at beginning of year		**3,895,663**	5,292,507	**1,938,389**	3,553,103
Net increase/(decrease) in cash and cash equivalent		**172,854**	(1,396,844)	**733,514**	(1,614,714)
Cash and cash equivalent at end of year		**4,068,517**	3,895,663	**2,671,903**	1,938,389

The significant accounting policy on pages18 to 26, 28 to 47 and the notes on pages 85 to 130 form an integral part of the financial statements.

4. Critical accounting estimates and judgements

The Group makes estimates and assumptions that affect the reported amounts of assets and liabilities within the next financial year. Estimates and judgements are continually evaluated and based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances.

(a) Fair value of financial assets

(i) Fair value of unquoted equity financial instruments

The fair value of financial instruments where no active market exists or where quoted prices are not otherwise available are determined by using valuation techniques. In these cases the fair values are estimated from observable data using valuation models. The models used to determine fair values are validated and periodically reviewed by qualified personnel independent of those that sourced them. All models are certified before they are used, and models are calibrated to ensure that outputs reflect actual data and comparative market prices. Changes in assumptions about these factors could affect the reported fair value of the relevant securities.

(ii) Fair value of HTM financial assets

Financial instruments designated as held-to-maturity are carried by the Group at amortised cost. The quoted prices for the determination of the fair value of such instruments are readily available for quoted instruments. Valuation techniques are used for unquoted instruments by using discount cash flow valuation techniques. In the latter cases, the fair values are estimated from observable data in respect of similar financial instruments.

(b) Liabilities arising from insurance contracts

(i) Claims arising from non-life insurance contracts

Liabilities for unpaid claims are estimated on a case by-case basis. The liabilities recognised for claims fluctuate based on the nature and severity of the claim reported. Claims incurred but not reported are determined using statistical analyses and the Group deems liabilities reported as adequate.

(ii) Liabilities arising from life insurance contracts

The liabilities for life insurance contracts are estimated using appropriate and acceptable base tables of standard mortality according to the type of contract being written. Management make various assumptions such as expenses inflation, valuation interest rate and mortality in estimating the required liabilities for life contracts.

(c) Impairment of trade receivables

In accordance with the accounting policy on financial assets, the Group tests annually whether trade receivables has suffered any impairment. The recoverable amounts of the trade receivables have been determined based on the incurred loss model. These calculations require the use of estimates of future collections.

5. Financial assets and liabilities

Accounting classification measurement basis and fair values.

The table below sets out the Group's classification of each class of financial assets and liabilities, and their fair values.

	Notes	Held for trading	Held-to-maturity	Loans and receivables	Available-for-sale	Other financial liabilities at amortised cost	Total carrying amount	Fair value
Group								
In thousands of Naira								
31 December 2012								
Cash and cash equivalents	7	–	–	**4,068,517**	–	–	**4,068,517**	**4,068,517**
Financial assets	8	**158,942**	**4,867,690**	–	**16,736**	–	**5,043,368**	**5,008,353**
Trade receivables	9(a)	–	–	**667,365**	–	–	**667,365**	**667,365**
Other receivables excluding prepayments	9(c)	–	–	**488,681**	–	–	**488,681**	**488,681**
		158,942	**4,867,690**	**5,224,563**	**16,736**	–	**10,267,931**	**10,232,916**
Insurance contract liabilities	22	–	–	–	–	**3,545,872**	**3,545,872**	**3,545,872**
Trade and other payables	24	–	–	–	–	**853,219**	**853,219**	**853,219**
Investment contract liabilities	23	–	–	–	–	**65,591**	**65,591**	**65,591**
		–	–	–	–	**4,464,682**	**4,464,682**	**4,464,682**

	Notes	Held for trading	Held-to-maturity	Loans and receivables	Available-for-sale	Other financial liabilities at amortised cost	Total carrying amount	Fair value
Group								
In thousands of Naira								
31 December 2011								
Cash and cash equivalents	7	–	–	3,895,663	–	–	3,895,663	3,895,663
Financial assets	8	831,902	3,123,496	–	16,736	–	3,972,134	3,935,001
Trade receivables	9(a)	–	–	630,000	–	–	630,000	630,000
Other receivables excluding prepayments	9(c)	–	–	625,204	–	–	625,204	625,204
		831,902	3,123,496	5,150,867	16,736	–	9,123,001	9,085,868
Insurance contract liabilities	22	–	–	–	–	3,439,325	3,439,325	3,439,325
Trade and other payables	24	–	–	–	–	691,309	691,309	691,309
Investment contract liabilities	23	–	–	–	–	63,432	63,432	63,432
		–	–	–	–	4,194,066	4,194,066	4,194,066

	Notes	Held for trading	Held-to-maturity	Loans and receivables	Available-for-sale	Other financial liabilities at amortised cost	Total carrying amount	Fair value
Group								
In thousands of Naira								
1 January 2011								
Cash and cash equivalents	7	–	–	5,292,507	–	–	5,292,507	5,292,507
Financial assets	8	1,433,950	478,309	–	3,537	–	1,915,796	1,915,796
Trade receivables	9(a)	–	–	778,438	–	–	778,438	778,438
Other receivables excluding prepayments	9(c)	–	–	518,544	–	–	518,544	518,544
		1,433,950	478,309	6,589,489	3,537	–	8,505,285	8,505,285
Insurance contract liabilities	22	–	–	–	–	3,138,664	3,138,664	3,138,664
Trade and other payables	24	–	–	–	–	783,391	783,391	783,391
Investment contract liabilities	23	–	–	–	–	79,136	79,136	79,136
		–	–	–	–	4,001,191	4,001,191	4,001,191

The expected cash flows for each contract are determined either directly by reference to actual cash flows implicit in observable market prices or through modelling cash flows using appropriate financial markets pricing models. Wherever possible, these models use as their basis observable market prices and rates including, for example, interest rate yield curves, equities and prices.

Financial assets and liabilities

Accounting classification, measurement basis and fair values.

The table below sets out the Company's classification of each class of financial assets and liabilities, and their fair values.

	Notes	Held for trading	Held-to-maturity	Loans and receivables	Available-for-sale	Other financial liabilities at amortised cost	Total carrying amount	Fair value
Company								
In thousands of Naira								
31 December 2012								
Cash and cash equivalents	7	–	–	**2,671,903**	–	–	**2,671,903**	**2,671,903**
Financial assets	8	**126,351**	**2,241,258**	–	**16,736**	–	**2,384,345**	**2,348,928**
Trade receivables	9(a)	–	–	**231,422**	–	–	**231,422**	**231,422**
Other receivables excluding prepayments	9(c)	–	–	**507,520**	–	–	**507,520**	**507,520**
		126,351	**2,241,258**	**3,410,845**	**16,736**	–	**5,795,190**	**5,759,773**
Insurance contract liabilities	22	–	–	–	–	**1,373,644**	**1,373,644**	**1,373,644**
Trade and other payables	24 & 25	–	–	–	–	**488,003**	**488,003**	**488,003**
		–	–	–	–	**1,861,647**	**1,861,647**	**1,861,647**

	Notes	Held for trading	Held-to-maturity	Loans and receivables	Available-for-sale	Other financial liabilities at amortised cost	Total carrying amount	Fair value
Company								
In thousands of Naira								
31 December 2011								
Cash and cash equivalents	7	–	–	1,938,389	–	–	1,938,389	1,938,389
Financial assets	8	571,818	2,487,989	–	16,736	–	3,076,543	3,039,410
Trade receivables	9(a)	–	–	276,724	–	–	276,724	276,724
Other receivables excluding prepayments	9(c)	–	–	400,664	–	–	400,664	400,664
		571,818	2,487,989	2,615,777	16,736	–	5,692,320	5,655,187
Insurance contract liabilities	22	–	–	–	–	1,403,456	1,403,456	1,403,456
Trade and other payables	24 & 25	–	–	–	–	380,040	380,040	380,040
		–	–	–	–	1,783,496	1,783,496	1,783,496

	Notes	Held for trading	Held-to-maturity	Loans and receivables	Available-for-sale	Other financial liabilities at amortised cost	Total carrying amount	Fair value
Company								
In thousands of Naira								
1 January 2011								
Cash and cash equivalents	7	–	–	3,553,103	–	–	3,553,103	3,553,103
Financial assets	8	859,493	269,408	–	3,537	–	1,132,438	1,132,438
Trade receivables	9(a)	–	–	566,645	–	–	566,645	566,645
Other receivables excluding prepayments	9(c)	–	–	519,168	–	–	519,168	519,168
		859,493	269,408	4,638,916	3,537	–	5,771,354	5,771,354
Insurance contract liabilities	22	–	–	–	–	1,558,656	1,558,656	1,558,656
Trade and other payables	24 & 25	–	–	–	–	611,730	611,730	611,730
		–	–	–	–	2,170,386	2,170,386	2,170,386

6. Operating segments

The Group is organised into two operating segments as described below, which are the Group's strategic business units. These segments distribute their products through various forms of brokers, agencies and direct marketing programmes. Management identifies its reportable operating segments by product line consistent with the reports used by the management. These segments and their respective operations are as follows:

Non-Life: This segment covers the protection of customers' assets (particularly their properties, both for personal and commercial business) and indemnification of other parties that have suffered damage as a result of customers' accidents. All contracts in this segment are short term in nature. Revenue in this segment is derived primarily from insurance premium, investment income, net realised gains on financial assets, and net fair value gains on financial assets at fair value through profit or loss.

Life: This segment covers the protection of the Group's customers against the risk of premature death, disability, critical illness and other accidents. Revenue from this segment is derived primarily from insurance premium, investment income and net fair value gains on financial assets at fair value through profit and loss.

Expenses for corporate units that render services for all business segments are initially paid by the general business segment and transferred to other business units at cost price. The expenses are allocated based on service man hours rendered by the corporate units to the various business segments.

The corporate expenses for the following centrally shared services are being apportioned to all business segments in the Group:

- Internal controls and audits
- Financial control
- Human resources
- Information technology

Business Segments

The Group operates the following main business segments:

Wapic Insurance Plc – Includes non-life insurance transactions with individual and corporate customers

Wapic Insurance Ghana Ltd – Includes non-life insurance transactions with individual and corporate customers

Wapic Life Assurance Ltd – Includes life insurance policies with individual and corporate customers.

	General Business		Life Business		General Business					
	Wapic Insurance Plc		*Wapic Life Assurance Ltd*		*Wapic Insurance Ghana Ltd*		Elimination Adjustments		Group	
	31-Dec-12	31-Dec-11	**31-Dec-12**	31-Dec-11	**31-Dec-12**	31-Dec-11	**31-Dec-12**	31-Dec-11	**31-Dec-12**	31-Dec-11
Revenue:										
Derived from external customers:										
– Gross premium earned	**2,326,428**	3,221,172	**1,110,362**	1,028,304	**809,535**	716,377	**–**	–	**4,246,325**	4,965,853
– Insurance premium ceded to reinsurers	**(602,044)**	(682,154)	**(30,505)**	(29,934)	**(100,856)**	(91,341)	**–**	–	**(733,405)**	(803,429)
Net insurance premium revenue	**1,724,384**	2,539,018	**1,079,857**	998,370	**708,679**	625,036	**–**	–	**3,512,920**	4,162,424
– Commission received	**121,062**	85,839	**6,138**	6,677	**–**	30,715	**–**	–	**127,200**	123,231
– Investment income	**745,100**	529,590	**421,302**	249,227	**59,125**	44,535	**–**	–	**1,225,527**	823,352
– Net realised gain/(loss) on financial assets	**41,535**	4,454	**18,010**	(30,609)	**–**	–	**–**	–	**59,545**	(26,155)
– Net fair value loss on financial assets at fair value through profit or loss	**(1,667)**	(71,901)	**(5,502)**	(26,744)	**–**	–	**–**	–	**(7,169)**	(98,645)
– Other operating income	**42,382**	112,981	**13,958**	32,289	**14,610**	7,020	**–**	–	**70,950**	152,290
	2,672,796	3,199,981	**1,533,763**	1,229,210	**782,414**	707,306	**–**	–	**4,988,973**	5,136,497
Expenses:										
Underwriting expenses	**(478,231)**	(739,520)	**(90,420)**	(159,185)	**(117,202)**	(93,984)	**–**	–	**(685,853)**	(992,689)
Employee benefit expense	**(396,160)**	(538,084)	**(80,202)**	(109,762)	**(84,128)**	(115,900)	**–**	–	**(560,490)**	(763,746)
Other operating expense	**(922,069)**	(918,133)	**(433,454)**	(276,053)	**(315,650)**	(259,927)	**–**	–	**(1,671,173)**	(1,454,113)
Claims incurred	**(492,876)**	(589,119)	**(800,860)**	(563,869)	**(225,336)**	(191,317)	**–**	–	**(1,519,072)**	(1,344,305)
	(2,289,336)	(2,784,856)	**(1,404,936)**	(1,108,869)	**(742,316)**	(661,128)	**–**	–	**(4,436,588)**	(4,554,853)
Profit before tax	**383,460**	415,125	**128,827**	120,341	**40,098**	46,178	**–**	–	**552,385**	581,644
Income tax expense	**(142,627)**	(127,438)	**(42,760)**	(61,560)	**16,034**	(46,895)	**–**	–	**(169,353)**	(235,893)
Profit after tax	**240,833**	287,687	**86,067**	58,781	**56,132**	(717)	**–**	–	**383,032**	345,751
Assets and Liabilities:										
Total assets	**9,935,562**	9,576,022	**4,346,184**	3,902,712	**1,159,992**	1,024,147	**(2,762,983)**	(2,558,258)	**12,678,755**	11,944,623
Total liabilities	**2,205,779**	2,077,981	**1,913,312**	1,773,908	**950,374**	696,933	**(14,187)**	119,678	**5,055,278**	4,668,500
Net assets/(liabilities)	**7,729,783**	7,498,041	**2,432,871**	2,128,804	**209,618**	327,214	**(2,748,795)**	(2,677,936)	**7,623,477**	7,276,123

7. Cash and cash equivalents

Cash and cash equivalent includes cash in hand, balances at bank and short-term instruments with less than three months maturity from the date of acquisition.

	Group			Company		
	2012 31 Dec	2011 31 Dec	2011 1 Jan	**2012 31 Dec**	2011 31 Dec	2011 1 Jan
	N'000	N'000	N'000	**N'000**	N'000	N'000
Cash at bank and in hand	**371,914**	499,821	431,834	**131,196**	302,440	270,222
Money market placements	**3,696,603**	3,395,842	4,860,673	**2,540,707**	1,635,949	3,282,881
	4,068,517	3,895,663	5,292,507	**2,671,903**	1,938,389	3,553,103

8. Financial assets

These financial assets represent the Group and the Company's holdings in financial assets and are summarised by measurement category below:

	Group			Company		
	2012 31 Dec	2011 31 Dec	2011 1 Jan	**2012 31 Dec**	2011 31 Dec	2011 1 Jan
	N'000	N'000	N'000	**N'000**	N'000	N'000
Available-for-sale (see note 8(a) below)	**16,736**	16,736	3,537	**16,736**	16,736	3,537
Held for trading (see note 8(b) below)	**158,942**	831,902	1,433,950	**126,351**	571,818	859,493
Held-to-maturity (see note 8(c) below)	**4,867,690**	3,123,496	478,309	**2,241,258**	2,487,989	269,408
	5,043,368	3,972,134	1,915,796	**2,384,345**	3,076,543	1,132,438

(a) Available-for-sale financial assets

These securities represent the Group and the Company's interest in unlisted entities.

	Group			Company		
	2012 31 Dec	2011 31 Dec	2011 1 Jan	**2012 31 Dec**	2011 31 Dec	2011 1 Jan
	N'000	N'000	N'000	**N'000**	N'000	N'000
Equity securities:						
– Unlisted (see note (i) below)	**16,736**	16,736	3,537	**16,736**	16,736	3,537
	16,736	16,736	3,537	**16,736**	16,736	3,537

i. Unlisted equity securities are carried at cost.

The breakdown of available-for-sale securities are shown below;

	Group			Company		
	2012 31 Dec	2011 31 Dec	2011 1 Jan	**2012 31 Dec**	2011 31 Dec	2011 1 Jan
	N'000	N'000	N'000	**N'000**	N'000	N'000
African Reinsurance Corporation	**6,495**	6,495	2,537	**6,495**	6,495	2,537
Nigerian Liability Insurance Pool	**10,241**	10,241	1,000	**10,241**	10,241	1,000
Impairment allowance						
Carrying amount at cost	**16,736**	16,736	3,537	**16,736**	16,736	3,537

These securities are carried at cost less impairment, if any, as there were no reliable observable market data to determine their fair values at the reporting dates.

(b) Held for trading

	Group			Company		
	2012 31 Dec	2011 31 Dec	2011 1 Jan	**2012 31 Dec**	2011 31 Dec	2011 1 Jan
	N'000	N'000	N'000	**N'000**	N'000	N'000
Equity securities:						
– Listed	**203,366**	1,948,743	2,385,950	**138,746**	1,271,283	1,449,026
Fair value loss	**(44,424)**	(1,116,841)	(952,000)	**(12,395)**	(699,465)	(589,533)
Carrying amount at fair value	**158,942**	831,902	1,433,950	**126,351**	571,818	859,493

At the reporting date, there were no financial assets measured at fair value through profit or loss that were either past due or impaired.

(c) Held-to-maturity financial assets

	Group			Company		
	2012 31 Dec	2011 31 Dec	2011 1 Jan	**2012 31 Dec**	2011 31 Dec	2011 1 Jan
	N'000	N'000	N'000	**N'000**	N'000	N'000
Debt securities – fixed interest rate:						
– Government Bonds	**948,384**	1,003,503	147	**642,470**	697,764	147
– Treasury bills	**3,919,306**	2,089,920	208,901	**1,598,788**	1,760,152	–
– Fixed deposits with banks	**–**	30,073	269,261	**–**	30,073	269,261
Carrying amount at amortised cost	**4,867,690**	3,123,496	478,309	**2,241,258**	2,487,989	269,408

Fair values for held to maturity financial assets are based on market prices or broker/dealer price quotations. Where this information is not available, fair value has been estimated using quoted market prices for securities with similar credit, maturity and yield characteristics.

At the reporting date, no held to maturity financial asset was either past due or impaired.

9. Receivables and prepayments

(a) Trade receivables

	Group			Company		
	2012 31 Dec	2011 31 Dec	2011 1 Jan	**2012 31 Dec**	2011 31 Dec	2011 1 Jan
	N'000	N'000	N'000	**N'000**	N'000	N'000
– Due from agents	**1,496,288**	998,837	1,250,194	**261,085**	591,115	821,424
– Due from policyholders/brokers	**304,100**	928,700	695,451	**304,100**	687,064	695,451
– Due from insurance companies	**57,036**	145,553	285,150	**57,036**	138,402	285,150
– Less: impairment allowance (see note (b) below)	**(1,190,059)**	(1,443,090)	(1,452,357)	**(390,799)**	(1,139,857)	(1,235,380)
	667,365	630,000	778,438	**231,422**	276,724	566,645

(b) The movements in impairment allowance on trade receivables is analysed below:

	Group		Company	
	2012 31 Dec	2011 31 Dec	**2012 31 Dec**	2011 31 Dec
	N'000	N'000	**N'000**	N'000
Balance, beginning of year	**1,443,090**	1,452,357	**1,139,857**	1,235,380
Exchange difference	**85,458**	1,644	**–**	–
Allowance made during the year	**612,195**	416,398	**201,626**	256,641
Recoveries during the year	**–**	–	**–**	–
Bad debt written off	**(950,684)**	(427,309)	**(950,684)**	(352,164)
Balance, end of year	**1,190,059**	1,443,090	**390,799**	1,139,857

Subsequent to year end, the Company and its subsidiary Wapic Life Assurance Limited have received N231 million and N249 million respectively (Group: N480 million) from agents, brokers and insurance companies. Also included in the carrying amount of the Group's receivables is amount of N187 million relating to the subsidiary in Ghana.

(c) Other receivables and prepayments

	Group			Company		
	2012 31 Dec	2011 31 Dec	2011 1 Jan	**2012 31 Dec**	2011 31 Dec	2011 1 Jan
	N'000	N'000	N'000	**N'000**	N'000	N'000
– Staff loans	**95,852**	188,301	207,649	**75,164**	161,202	186,179
– Loan to policyholders	**–**	25,186	26,803	**–**	–	–
– Prepayments	**153,346**	133,894	140,224	**139,652**	107,277	117,524
– Due from related parties	**1,470,740**	1,524,062	1,474,554	**1,145,623**	1,042,384	1,205,715
– Deferred share issue cost	**305,601**	–	–	**283,433**	–	–
– Intercompany receivables	**–**	–	–	**46,496**	–	–
– Deposit for shares	**–**	–	50,000	**–**	–	50,000
– Sundry receivables	**–**	159,176	21,313	**–**	128,283	18,210
– Less: Impairment allowance (see note (d) below)	**(1,383,512)**	(1,271,521)	(1,261,775)	**(1,043,196)**	(931,205)	(940,936)
	642,027	759,098	658,768	**647,172**	507,941	636,692
Total net trade and other receivables	**1,309,392**	1,389,098	1,437,206	**878,594**	784,665	1,203,337

(d) The movements in impairment allowance for other receivables and prepayments is analysed below:

	Group			Company		
	2012 31 Dec	2011 31 Dec	2011 1 Jan	**2012 31 Dec**	2011 31 Dec	2011 1 Jan
	N'000	N'000	N'000	**N'000**	N'000	N'000
Balance, beginning of year	**1,271,521**	1,261,775	1,220,246	**931,205**	940,936	875,365
Allowance made during the year	**176,859**	173,394	132,065	**121,138**	91,652	89,328
Recoveries during the year	**(64,868)**	(147,877)	(66,779)	**(9,147)**	(101,383)	–
Bad debt written off	**–**	(15,771)	(23,757)	**–**	–	(23,757)
Balance, end of year	**1,383,512**	1,271,521	1,261,775	**1,043,196**	931,205	940,936

10. Reinsurance assets

	Group			Company		
	2012 31 Dec	2011 31 Dec	2011 1 Jan	**2012 31 Dec**	2011 31 Dec	2011 1 Jan
	N'000	N'000	N'000	**N'000**	N'000	N'000
Claim recoverables	**474,394**	142,717	97,919	**286,791**	73,317	97,919
	474,394	142,717	97,919	**286,791**	73,317	97,919

11. Investment properties

	Group			Company		
	2012 31 Dec	2011 31 Dec	2011 1 Jan	**2012 31 Dec**	2011 31 Dec	2011 1 Jan
	N'000	N'000	N'000	**N'000**	N'000	N'000
Investment property (see note (a) below)	**264,334**	1,032,338	952,179	**182,667**	446,000	528,699
Investment property under construction (see note (b) below)	**–**	34,734	201,667	**–**	–	–
	264,334	1,067,072	1,153,846	**182,667**	446,000	528,699

(a) Investment properties

	Group			Company		
	2012 31 Dec	2011 31 Dec	2011 1 Jan	**2012 31 Dec**	2011 31 Dec	2011 1 Jan
	N'000	N'000	N'000	**N'000**	N'000	N'000
Investment properties – Oil View Estate (see (i) below)	**–**	224,999	635,952	**–**	224,999	212,472
Investment properties – Hexagon Court (see (ii) below)	**148,334**	220,001	201,667	**66,667**	110,001	201,667
Investment properties – Crown Estate (see (iii) below)	**26,000**	25,000	24,560	**26,000**	25,000	24,560
Investment properties – Ocean Garden – Lekki (see (iii) below)	**90,000**	86,000	90,000	**90,000**	86,000	90,000
Investment properties – County City Estate	**–**	–	–	**–**	–	–
Other landed properties	**–**	476,338	–		–	–
	264,334	1,032,338	952,179	**182,667**	446,000	528,699

i. As at 31 December 2012, investment in Oil View Estate had been disposed for N209 million and two apartments of Hexagon Court had been disposed for N37 million. The Company recognised a loss of N16 million (2011: Nil) on the sale of its investment properties during the year in the statement of profit or loss.

The determination of fair value of the investment properties was supported by market evidence. The modalities and process of valuation utilised extensive analysis of market data and other sector specific peculiarities corroborated with available database derived from previous experiences.

ii. The fair value of Hexagon Court was determined by the Directors using the best information of the current disposal value of similar property and location as at 31 December 2012.

iii. Crown Estate and Ocean Garden were valued by Jide Taiwo & Co, a Chartered Estate Surveyors & Valuers, on 30 December 2012.

(b) Investment properties under construction

	Group			Company		
	2012 31 Dec	2011 31 Dec	2011 1 Jan	**2012 31 Dec**	2011 31 Dec	2011 1 Jan
	N'000	N'000	N'000	**N'000**	N'000	N'000
Balance, beginning of year	**34,734**	201,667	160,000	**–**	–	–
Additions and capital improvements	**–**	34,734	41,667	**–**	–	–
Transfer out to investment properties	**(34,734)**	(201,667)	–	**–**	–	–
Balance, end of year	**–**	34,734	201,667	**–**	–	–

Investment property under development comprised investments made by Wapic Life Assurance Limited; a subsidiary of the Company in landed properties which were being developed for rental income or capital appreciation, or both, and are not occupied substantially for use in the operations of the Group.

(c) The movement in investment properties during the year was as follows:

	Group			Company		
	2012 31 Dec	2011 31 Dec	2011 1 Jan	**2012 31 Dec**	2011 31 Dec	2011 1 Jan
	N'000	N'000	N'000	**N'000**	N'000	N'000
At start of year	**1,067,072**	1,153,846	634,560	**446,000**	528,699	474,560
Acquisition during the year		127,192	506,904	**–**	–	41,757
Disposal during the year	**(832,084)**	(481,829)	–	**(261,666)**	(120,730)	–
Transfer from investment property under construction	**34,734**	201,667	–	**–**	–	–
Fair value (loss)/gain	**(5,388)**	66,196	12,382	**(1,667)**	38,031	12,382
At end of year	**264,334**	1,067,072	1,153,846	**182,667**	446,000	528,699

(d) Investment properties disposed during the year was as follows:

	Group			Company		
	2012 31 Dec	2011 31 Dec	2011 1 Jan	**2012 31 Dec**	2011 31 Dec	2011 1 Jan
	N'000	N'000	N'000	**N'000**	N'000	N'000
Sales proceeds	**817,771**	558,667	–	**245,666**	156,500	–
Transfer from investment property account	**(832,084)**	(481,829)	–	**(261,666)**	(120,730)	–
(Loss)/Gain on disposal of investment property	**(14,313)**	76,838	–	**(16,000)**	35,770	–

12. Investment in subsidiaries

	Group			Company		
	2012 31 Dec	2011 31 Dec	2011 1 Jan	**2012 31 Dec**	2011 31 Dec	2011 1 Jan
	N'000	N'000	N'000	**N'000**	N'000	N'000
Wapic Life Assurance Limited (see note (a) below)	**–**	–	–	**2,500,000**	2,250,000	2,200,000
Wapic Insurance Ghana Limited (see note (b) below)	**–**	–	–	**205,576**	205,576	205,576
	–	–	–	**2,705,576**	2,455,576	2,405,576

(a) This represents 100% holding in the ordinary share capital of Wapic Life Assurance Limited, a wholly owned subsidiary incorporated and operating in Nigeria. During the year, additional investment of N250 million was made in Wapic Life Assurance Limited.

(b) This represents 100% holding in the ordinary share capital of Wapic Insurance Ghana Limited; a wholly owned subsidiary incorporated and conducting business operations in Ghana.

The movement in investment in subsidiaries during the year was as follows:

	Group			Company		
	2012 31 Dec	2011 31 Dec	2011 1 Jan	**2012 31 Dec**	2011 31 Dec	2011 1 Jan
	N'000	N'000	N'000	**N'000**	N'000	N'000
Balance, beginning of the year	**–**	–	–	**2,455,576**	2,405,576	2,405,576
Additions during the year (see note (a) above)	**–**	–	–	**250,000**	50,000	–
Balance, end of the year	**–**	–	–	**2,705,576**	2,455,576	2,405,576

13. Deferred acquisition cost

This represents commission on unearned premium relating to the unexpired tenure of risk.

	Group			Company		
	2012 31 Dec	2011 31 Dec	2011 1 Jan	**2012 31 Dec**	2011 31 Dec	2011 1 Jan
	N'000	N'000	N'000	**N'000**	N'000	N'000
Balance, beginning of year	**192,239**	199,639	187,061	**130,255**	158,212	187,061
Exchange difference	**1,055**	1,471	–	**–**	–	–
Addition during the year	**413,666**	616,960	822,719	**411,556**	597,874	781,292
Amortised during the year	**(431,172)**	(625,831)	(832,101)	**(431,172)**	(625,831)	(832,101)
Balance, end of year	**175,788**	192,239	177,679	**110,639**	130,255	136,252

14. Intangible assets – Computer software

31 December 2011	Group N'000	Company N'000
Cost		
At 1 January 2011	88,505	54,738
Additions	7,722	7,722
Disposal	(1,881)	–
At 31 December 2011	94,346	62,460
31 December 2012		
At 1 January 2012	94,346	62,460
Additions	29,684	29,684
At 31 December 2012	**124,030**	**92,144**
Amortisation		
At 1 January 2011	20,127	13,374
Amortisation charge	17,400	11,399
Disposal	–	–
Accumulated amortisation, at 31 December 2011	37,527	24,773
At 1 January 2012	37,527	24,773
Amortisation charge	20,808	14,055
Disposal	–	–
Accumulated amortisation, at 31 December 2012	**58,335**	**38,828**
Net book value		
At 31 December 2012	**65,695**	**53,316**
At 31 December 2011	56,819	37,687
At 1 January 2011	68,378	41,364

15. (a) Property, plant and equipment – Group

As at 31 December 2012

	Leasehold land	Building	Motor vehicles	Computer equipment	Office equipment	Work in progress	Total
Cost	**N'000**	**N'000**	**N'000**	**N'000**	**N'000**	**N'000**	**N'000**
Balance, beginning of year	70,751	320,327	392,211	11,428	271,041	–	1,065,758
Exchange difference	–	–	(11,172)	(2,262)	(3,655)	–	(17,088)
Revaluation surplus (see note (i) below)	135,140	29,431	–	–	–	–	164,571
Transfers	–	–	–	43,414	(43,414)	–	–
Additions	–	–	95,842	7,761	32,952	60,438	196,993
Disposals	–	–	(108,778)	(20,393)	(66,823)	–	(195,994)
Write off (see note (ii) below)	–	(194,111)	–	–	–	–	(194,111)
Balance, end of year	205,891	155,647	368,103	39,948	190,102	60,438	1,020,129
Accumulated depreciation							
Balance, beginning of year	1,190	33,092	268,261	4,124	161,519	–	468,185
Exchange difference	–	–	(6,520)	(917)	(5,718)	–	(13,155)
Charge for the year	931	3,897	59,719	12,672	45,690	–	122,909
Transfers	–	–	–	26,052	(26,052)	–	–
Disposals	–	–	(105,712)	(19,420)	(60,869)	–	(186,001)
Released on write off	–	(31,342)	–	–	–	–	(31,342)
Balance, end of year	2,121	5,647	215,748	22,510	114,570	–	360,597
Net book value							
At 31 December 2012	**203,770**	**150,000**	**152,355**	**17,439**	**75,532**	**60,438**	**659,532**
At 1 January 2012	69,561	287,235	123,950	7,305	109,522	–	597,573

i. Interest in leasehold land was independently valued by Jide Taiwo & Co, professional estate valuers, as at 31 December 2012 to ascertain the open market value of the leasehold land. The open market value of land as at 31 December 2012 was N143,770,000 and a revaluation gain was recognised as the excess of the revalued amount over the carrying value of leasehold land.

ii. During the year, the Company demolished its corporate head office located at 119, Awolowo Road, Ikoyi, Lagos. The Company plans to rebuild a world class corporate head office. The carrying amount of the demolished building was written off during the year. The revaluation reserve of N96,829,000 in the books in respect of the building was reversed (see Note (20a)) and a net impairment loss of N65,940,000 was recognised in statement of profit and loss (see Note 37). The construction of the new head office has commenced and the cost incurred has been capitalised as work in progress within property, plant and equipment.

iii. There are no other leased assets included in the Group's property, plant and equipment apart from leasehold land (31 December 2011: Nil).

iv. The Group had no capital commitments as at the balance sheet date (31 December 2011: Nil).

15. (b) Property, plant and equipment – Company
As at 31 December 2012

	Leasehold land	Building	Motor vehicles	Computer equipment	Office equipment	Work in progress	Total
Cost	**N'000**	**N' 000**	**N'000**	**N'000**	**N'000**	**N'000**	**N'000**
Balance, beginning of year	19,198	194,111	281,659	–	204,302	–	699,270
Additions	–	–	64,350	–	27,671	60,438	152,459
Revaluation surplus	125,340	–	–	–	–	–	125,340
Transfers				43,414	(43,414)		–
Disposals	–	–	(84,030)	(20,393)	(66,823)	–	(171,246)
Write off	–	(194,111)	–	–	–	–	(194,111)
Balance, end of year	144,538	–	261,979	23,021	121,736	60,438	611,712
Accumulated depreciation							
Balance, beginning of year	384	29,971	196,687	–	138,638	–	365,680
Charge for the year	384	1,371	39,490	10,275	32,675	–	84,195
Transfers				26,052	(26,052)		–
Disposals	–	–	(84,030)	(19,420)	(65,102)	–	(168,552)
Released on write off	–	(31,342)	–	–	–	–	(31,342)
Balance, end of year	768	–	152,147	16,907	80,159	–	249,981
Net book value							
At 31 December 2012	**143,770**	**–**	**109,832**	**6,114**	**41,577**	**60,438**	**361,731**
At 1 January 2012	18,814	164,140	84,972	–	65,664	–	333,590

i. Interest in leasehold land was independently valued by Jide Taiwo & Co, professional estate valuers, as at 31 December 2012 to ascertain the open market value of the leasehold land. The open market value of land as at 31 December 2012 was N143,770,000 and a revaluation gain was recognised as the excess of the revalued amount over the carrying value of leasehold land.

ii. During the year, the Company demolished its corporate head office located at 119, Awolowo Road, Ikoyi, Lagos. The Company plans to rebuild a world class corporate head office. The carrying amount of the demolished building was written off during the year. The revaluation reserve of N96,829,000 in the books in respect of the building was reversed (see Note (20a)) and an impairment loss of N65,940,000 was recognised in income statement (see Note 37). The construction of the new head office has commenced and the cost incurred has been capitalised as work in progress within property and equipment.

iii. There are no other leased assets included in the Company's property, plant and equipment apart from leasehold land (31 December 2011: Nil).

iv. The Company had no capital commitments as at the balance sheet date (31 December 2011: Nil).

15. (a) Property, plant and equipment – Group

As at 31 December 2011

	Leasehold land	Building	Motor vehicles	Computer equipment	Office equipment	Total
Cost	N'000	N'000	N'000	N'000	N'000	N'000
Balance, beginning of year	70,751	320,327	366,354	8,349	235,605	1,001,386
Exchange difference	–	–	1,460	292	468	2,220
Additions	–	–	89,501	2,787	42,382	134,670
Disposals	–	–	(65,104)	–	(7,414)	(72,518)
Balance, end of year	**70,751**	**320,327**	**392,211**	**11,428**	**271,041**	**1,065,758**
Accumulated depreciation						
Charge for the year	258	27,311	264,682	2,020	125,538	419,809
Transfers	–	–	588	70	121	779
Disposals	932	5,781	63,654	2,034	40,200	112,601
Released on write off	–	–	(60,664)	–	(4,340)	(65,004)
Balance, end of year	**1,190**	**33,092**	**268,260**	**4,124**	**161,519**	**468,185**
Net book value						
At 31 December 2011	**69,561**	**287,235**	**123,951**	**7,304**	**109,522**	**597,573**
At 1 January 2011	**70,493**	**293,016**	**101,672**	**6,329**	**110,067**	**581,577**

i. There are no other leased assets included in the Group's property, plant and equipment apart from leasehold land (1 January 2011: Nil).

ii. The Group had no capital commitments as at the balance sheet date (1 January 2011: Nil).

15. (b) Property, plant and equipment – Company

As at 31 December 2011

	Leasehold land	Building	Motor vehicles	Office equipment	Total
Cost	N'000	N'000	N'000	N'000	N'000
Balance, beginning of year	19,198	194,111	265,496	181,225	660,030
Additions	–		70,342	30,491	100,833
Disposals	–		(54,179)	(7,414)	(61,593)
Balance, end of year	**19,198**	**194,111**	**281,659**	**204,302**	**699,270**
Accumulated depreciation					
Charge for the year	–	26,681	212,307	114,894	353,882
Disposals	384	3,290	37,984	28,084	69,742
Released on write off	–	–	(53,604)	(4,340)	(57,944)
Balance, end of year	**384**	**29,971**	**196,687**	**138,638**	**365,680**
Net book value					
At 31 December 2011	**18,814**	**164,140**	**84,972**	**65,664**	**333,590**
At 1 January 2011	**19,198**	**167,430**	**53,189**	**66,331**	**306,148**

i. There are no other leased assets included in the Company's property, plant and equipment apart from leasehold land (1 January 2011: Nil).

ii. The Company had no capital commitments as at the balance sheet date (1 January 2011: Nil).

16. Statutory deposit

This represents amounts deposited with the Central Bank of Nigeria (CBN) pursuant to Section 10(3) of the Insurance Act, 2003. The deposits are not available for use by the Company on a normal course of day-to-day business.

	Group			Company		
	2012 31 Dec	2011 31 Dec	2011 1 Jan	**2012 31 Dec**	2011 31 Dec	2011 1 Jan
	N'000	N'000	N'000	**N'000**	N'000	N'000
Balance, beginning of year	**605,107**	590,171	562,782	**300,000**	300,000	300,000
Exchange difference	**(20,801)**	3,202	13,763	**–**	–	–
Additions	**–**	11,834	13,625	**–**	–	–
Refund (see (i) below)	**(66,687)**	–	–	**–**	–	–
Balance, end of year	**517,619**	605,207	590,170	**300,000**	300,000	300,000

i. During the year, Central Bank of Ghana refunded part of the statutory deposit made by Wapic Insurance (Ghana) Limited, the Company's wholly owned subsidiary. The refund represents special statutory deposit made by Wapic Insurance (Ghana) Limited to the Bank at the inception of its business in line with regulatory requirements in Ghana.

17. Share capital

	Group			Company		
	2012 31 Dec	2011 31 Dec	2011 1 Jan	**2012 31 Dec**	2011 31 Dec	2011 1 Jan
	N'000	N'000	N'000	**N'000**	N'000	N'000
Authorised:						
17,000,000,000 units ordinary shares of 50k each	**8,500,000**	3,500,000	3,500,000	**8,500,000**	3,500,000	3,500,000
Issued and fully paid:						
5,061,804,000 units of ordinary shares of 50k each	**2,530,902**	2,530,902	2,530,902	**2,530,902**	2,530,902	2,530,902

18. Share premium

Share premium comprises additional paid-in capital in excess of the par value. This reserve is not ordinarily available for distribution.

19. (a) Contingency reserves

In accordance with Section 21 (1) of Insurance Act 2003, the contingency reserve is credited with the greater of 3% of total premiums, or 20% of the profits. This shall accumulate until the reserve reaches the amount of greater of minimum paid-up capital or 50% of net premium.

(b) The movement in this account during the year is as follows:

	Group			Company		
	2012 31 Dec	2011 31 Dec	2011 1 Jan	**2012 31 Dec**	2011 31 Dec	2011 1 Jan
	N'000	N'000	N'000	**N'000**	N'000	N'000
Balance, beginning of year	**1,076,848**	944,664	811,579	**964,220**	869,394	762,030
Transfer from profit and loss	**113,138**	132,184	133,085	**76,692**	94,826	107,364
Balance, end of year	**1,189,986**	1,076,848	944,664	**1,040,912**	964,220	869,394

20. Other reserves

(a) Revaluation reserve

	Group			Company		
	2012 31 Dec	2011 31 Dec	2011 1 Jan	**2012 31 Dec**	2011 31 Dec	2011 1 Jan
	N'000	N'000	N'000	**N'000**	N'000	N'000
Balance, beginning of year	**106,406**	106,406	106,406	**106,406**	106,406	106,406
Addition during the year	**164,570**	–	–	**125,340**	–	–
Reversal of revaluation surplus on demolished property and equipment	**(96,829)**	–	–	**(96,829)**	–	–
Deferred tax on revaluation	**(49,371)**	–	–	**(37,602)**	–	–
Balance, end of year	**124,776**	106,406	106,406	**97,315**	106,406	106,406

(b) Translation reserve

	Group			Company		
	2012 31 Dec	2011 31 Dec	2011 1 Jan	**2012 31 Dec**	2011 31 Dec	2011 1 Jan
	N'000	N'000	N'000	**N'000**	N'000	N'000
Balance, beginning of year	**14,399**	–	–	**–**	–	–
Changes during the year	**(54,048)**	14,399	(9,838)	**–**	–	–
Reclassification to retained earnings (See note (i) below)	**–**	–	9,838	**–**	–	–
Balance, end of year	**(39,649)**	14,399	–	**–**	–	–
Total (a&b)	**85,127**	120,805	106,406	**97,315**	106,406	106,406

(i) The Company elected to zeroise the cumulative translation difference from its foreign operation (Wapic Insurance Ghana Limited) at the date of transition to IFRS in line with the optional exemption requirement in IFRS 1 (First time adoption of IFRS). This is also in compliance with section 13(b)(iii) of the National Insurance Commission's IFRS Harmonisation Carve-Outs and Regulatory Requirement for Nigerian Insurance Industry.

21. Retained earnings

The movement in this account during the year was as follows:

	Group		Company	
	2012 31 Dec	2011 31 Dec	**2012 31 Dec**	2011 31 Dec
	N'000	N'000	**N'000**	N'000
At beginning of year	**(1,693,059)**	(1,906,626)	**(1,344,114)**	(1,536,975)
Transfer from profit and loss account	**269,894**	213,567	**164,141**	192,861
Transfer from translation reserve (see note 18(b) above)	**–**	–	**–**	–
Balance, end of the year	**(1,423,165)**	(1,693,059)	**(1,179,973)**	(1,344,114)

22. Insurance contract liabilities

	Group			Company		
	2012 31 Dec	2011 31 Dec	2011 1 Jan	**2012 31 Dec**	2011 31 Dec	2011 1 Jan
	N'000	N'000	N'000	**N'000**	N'000	N'000
Outstanding claims (See note (a) below):						
– Claims reported and loss adjustment expenses	**550,959**	642,935	285,463	**406,487**	551,516	245,473
Claims payable	**542,941**	72,988	106,518	**171,334**	72,988	106,518
– Claims incurred but not reported	**236,709**	124,169	390,003	**129,340**	18,163	385,557
	1,330,609	840,092	781,984	**707,161**	642,667	737,548
Unearned premiums (See note (b) below)	**666,483**	1,097,785	1,030,214	**666,483**	760,789	821,108
Life insurance contract liabilities	**1,548,780**	1,501,448	1,326,466	**–**	–	–
Total insurance contract liabilities	**3,545,872**	3,439,325	3,138,664	**1,373,644**	1,403,456	1,558,656

(a) Outstanding claims

	Group			Company		
	2012 31 Dec	2011 31 Dec	2011 1 Jan	**2012 31 Dec**	2011 31 Dec	2011 1 Jan
	N'000	N'000	N'000	**N'000**	N'000	N'000
Life	**–**	–	–	**–**	–	–
Fire	**109,716**	138,578	52,017	**103,908**	112,533	48,872
General accident	**773,111**	218,909	305,536	**356,504**	217,368	303,982
Motor	**90,111**	149,066	123,344	**35,111**	86,715	121,757
Marine	**22,355**	37,492	106,999	**12,355**	38,229	101,329
Oil and Energy	**120,856**	159,544	134,959	**52,876**	159,544	131,929
Engineering	**214,460**	136,219	58,634	**146,169**	27,994	29,184
Bond	**–**	284	495	**238**	284	495
	1,330,609	840,092	781,984	**707,161**	642,667	737,548

(b) Unearned premium

	Group			Company		
	2012 31 Dec	2011 31 Dec	2011 1 Jan	**2012 31 Dec**	2011 31 Dec	2011 1 Jan
	N'000	N'000	N'000	**N'000**	N'000	N'000
Fire	**67,294**	122,857	94,708	**67,294**	83,571	94,708
General accident	**108,416**	149,914	101,645	**108,416**	117,718	101,645
Motor	**200,511**	431,063	343,939	**200,511**	280,698	343,939
Marine	**49,129**	62,852	92,470	**49,129**	56,935	92,470
Engineering	**19,759**	140,663	239,305	**19,759**	31,431	30,199
Oil and Energy	**199,538**	136,123	109,795	**199,538**	136,123	109,795
Aviation	**20,266**	46,915	40,496	**20,266**	46,915	40,496
Bond	**1,570**	7,398	7,856	**1,570**	7,398	7,856
	666,483	1,097,785	1,030,214	**666,483**	760,789	821,108

(c) The movement in unexpired premium account during the year was as follows:

	Group			Company		
	2012 31 Dec	2011 31 Dec	2011 1 Jan	**2012 31 Dec**	2011 31 Dec	2011 1 Jan
	N'000	N'000	N'000	**N'000**	N'000	N'000
Balance, beginning of year	**1,097,785**	1,030,214	1,174,993	**760,789**	821,108	1,097,691
Exchange difference	**(85,482)**	66	(95,086)	**–**	–	–
Increase/(decrease) in expired risk	**(345,820)**	67,505	(49,693)	**(94,306)**	(60,319)	(276,583)
Balance, end of year	**666,483**	1,097,785	1,030,214	**666,483**	760,789	821,108

(d) Life insurance contract liabilities

	Group			Company		
	2012 31 Dec	2011 31 Dec	2011 1 Jan	**2012 31 Dec**	2011 31 Dec	2011 1 Jan
	N'000	N'000	N'000	**N'000**	N'000	N'000
Balance, beginning of year	**1,501,448**	1,326,466	1,074,200	**–**	–	–
Addition during the year	**47,332**	174,982	252,266	**–**	–	–
Balance, end of year	**1,548,780**	1,501,448	1,326,466	**–**	–	–

23. Investment contract liabilities:

(a) At amortised cost

	Group			Company		
	2012 31 Dec	2011 31 Dec	2011 1 Jan	**2012 31 Dec**	2011 31 Dec	2011 1 Jan
	N'000	N'000	N'000	**N'000**	N'000	N'000
Deposit administration – Interest linked	**65,591**	63,432	79,136	**–**	–	–
	65,591	63,432	79,136	**–**	–	–

(b) The movement in deposit administration funds during the year was as follows:

	Group			Company		
	2012 31 Dec	2011 31 Dec	2011 1 Jan	**2012 31 Dec**	2011 31 Dec	2011 1 Jan
	N'000	N'000	N'000	**N'000**	N'000	N'000
Balance, beginning of year	**63,432**	79,136	109,909	**–**	–	–
Withdrawals	**–**	(18,479)	(33,248)	**–**	–	–
Guaranteed interest on deposit admin	**2,159**	2,775	2,475	**–**	–	–
Balance, end of year	**65,591**	63,432	79,136	**–**	–	–

24. Trade payables

	Group			Company		
	2012 31 Dec	2011 31 Dec	2011 1 Jan	**2012 31 Dec**	2011 31 Dec	2011 1 Jan
	N'000	N'000	N'000	**N'000**	N'000	N'000
Reinsurance brokers	**309,225**	49,690	38,336	**47,752**	3,446	33,494
Other reinsurance companies	**183,284**	114,324	287,357	**183,284**	114,324	287,357
	492,509	164,014	325,693	**231,036**	117,770	320,851

25. Provisions and other payables

	Group			Company		
	2012 31 Dec	2011 31 Dec	2011 1 Jan	**2012 31 Dec**	2011 31 Dec	2011 1 Jan
	N'000	N'000	N'000	**N'000**	N'000	N'000
Accrued expenses	**174,790**	169,067	253,565	**78,479**	98,131	138,947
Other payables	**177,122**	358,228	154,133	**178,488**	164,139	151,932
Other taxes	**8,798**	–	–	**–**	–	–
Deposit for shares	**–**	–	50,000	**–**	–	–
	360,710	527,295	457,698	**256,967**	262,270	290,879

26. Deferred income tax

Deferred income tax assets and liabilities are offset when there is a legally enforceable right to offset current tax assets against current tax liabilities and when the deferred income taxes assets and liabilities relate to income taxes levied by the same taxation authority on either the taxable entity or different taxable entities where there is an intention to settle the balances on a net basis.

	Group			Company		
	2012 31 Dec	2011 31 Dec	2011 1 Jan	**2012 31 Dec**	2011 31 Dec	2011 1 Jan
	N'000	N'000	N'000	**N'000**	N'000	N'000
Deferred tax assets						
– Deferred tax asset to be recovered after more than 12 months	**(100,116)**	(26,101)	(10,592)	**–**	–	–
	(100,116)	(26,101)	(10,592)	**–**	–	–
Deferred tax liabilities						
– Deferred tax liability to be recovered after more than 12 months	**175,787**	87,365	86,587	**124,175**	63,554	59,036
	175,787	87,365	86,587	**124,175**	63,554	59,036
Total	**75,671**	61,264	75,995	**124,175**	63,554	59,036

(a) Deferred tax is attributable to the following:

	Group			Company		
	2012 31 Dec	2011 31 Dec	2011 1 Jan	**2012 31 Dec**	2011 31 Dec	2011 1 Jan
	N'000	N'000	N'000	**N'000**	N'000	N'000
Property and equipment	**177,577**	87,365	86,752	**124,175**	59,751	57,798
Investment properties	**(101,906)**	(26,101)	(10,757)	**–**	3,803	1,238
	75,671	61,264	75,995	**124,175**	63,554	59,036

(b) Deferred tax liabilities

The movement in deferred tax liabilities account during the year was as follows:

	Group			Company		
	2012 31 Dec	2011 31 Dec	2011 1 Jan	**2012 31 Dec**	2011 31 Dec	2011 1 Jan
	N'000	N'000	N'000	**N'000**	N'000	N'000
Balance, beginning of year	**87,365**	86,587	–	**63,554**	59,036	–
Charge for the year	**39,051**	778	86,587	**23,019**	4,518	59,036
Revaluation of property and equipment	**49,371**	–	–	37,602	–	–
Balance, end of year	**175,787**	87,365	86,587	**124,175**	63,554	59,036

(c) Deferred tax assets

The movement in deferred tax asset account during the year was as follows:

	Group			Company		
	2012 31 Dec	2011 31 Dec	2011 1 Jan	**2012 31 Dec**	2011 31 Dec	2011 1 Jan
	N'000	N'000	N'000	**N'000**	N'000	N'000
Balance, beginning of year	**(26,101)**	(10,592)	(1,333,265)	**–**	–	(1,333,265)
Exchange difference	**9,387**	(376)	–	**–**	–	–
Debit/(Credit) for the year	**(83,402)**	(15,133)	1,322,673	**–**	–	1,333,265
Balance, end of year	**(100,116)**	(26,101)	(10,592)	**–**	–	–

27. Current income tax liabilities

(a) The movement in this account during the year was as follows:

	Group			Company		
	2012 31 Dec	2011 31 Dec	2011 1 Jan	**2012 31 Dec**	2011 31 Dec	2011 1 Jan
	N'000	N'000	N'000	**N'000**	N'000	N'000
Balance, beginning of year	**387,069**	321,919	1,133,551	**230,931**	265,060	1,090,739
Exchange difference	**(19,776)**	333	–	**–**	–	–
Charge for the year (see note (b) below):	**213,704**	250,248	140,695	**119,608**	122,920	112,816
Prior year overprovisions	**–**	–	(691,770)	**–**	–	(691,770)
Payments during the year	**(166,188)**	(185,431)	(260,557)	**(130,582)**	(157,049)	(246,725)
Balance, end of year	**414,809**	387,069	321,919	**219,957**	230,931	265,060

(b) The tax charge for the year comprises:

	Group		Company	
	2012 31 Dec	2011 31 Dec	**2012 31 Dec**	2011 31 Dec
	N'000	N'000	**N'000**	N'000
Corporate income tax charge	**198,658**	235,594	**106,612**	114,344
Education levy	**10,499**	7,545	**9,186**	2,751
Capital gains tax	**–**	3,577	**–**	3,577
Information technology development levy	**4,547**	3,532	**3,810**	2,248
	213,704	250,248	**119,608**	122,920
Prior year overprovision	**–**	–	**–**	–
Deferred tax asset charge/(credit)	**(83,402)**	(15,133)	**–**	–
Deferred tax liability charge/(credit)	**39,051**	778	**23,019**	4,518
Total tax charge for the year	**169,353**	235,893	**142,627**	127,438

	Group				Company			
Reconciliation of effective tax rate	**2012**		2011		**2012**		2011	
	Tax rate		Tax rate		**Tax rate**		Tax rate	
Profit/(loss) before Tax		**552,385**		581,644		**383,460**		415,125
Income tax using the domestic corporation tax rate	**30%**	**165,716**	30%	174,493	**30%**	**115,038**	30%	124,538
Effect of tax rate in foreign jurisdictions	**-3%**	**(16,034)**	0%	(2,862)	**0%**	**–**	0%	–
Non-deductible expenses	**30%**	**163,299**	16%	95,908	**43%**	**163,299**	9%	36,885
Tax exempt income	**-30%**	**(166,544)**	-8%	(47,090)	**-37%**	**(140,545)**	-11%	(47,090)
Capital allowance utilised	**-6%**	**(32,266)**	0%	–	**-8%**	**(32,266)**	0%	
Capital gains tax	**0%**	**–**	1%	3,577	**0%**	**–**	1%	3,577
Temporary difference	**7%**	**39,051**	0%	778	**6%**	**23,019**	1%	4,518
Balancing charge	**0%**	**1,087**	0%	11	**0%**	**1,087**	0%	11
Information technology tax levy	**1%**	**4,547**	1%	3,532	**1%**	**3,810**	1%	2,248
Tertiary education tax	**2%**	**10,499**	1%	7,545	**2%**	**9,186**	1%	2,751
	31%	**169,353**	41%	235,893	**37%**	**142,627**	31%	127,438

28. Net premium income

	Group		Company	
	2012 31 Dec	2011 31 Dec	**2012 31 Dec**	2011 31 Dec
	N'000	N'000	**N'000**	N'000
Short-term insurance contracts:				
– Gross premium	**4,178,285**	5,033,358	**2,232,122**	3,160,853
– Provision for unexpired risk	**68,040**	(67,505)	**94,306**	60,319
Premium revenue arising from insurance contracts issued	**4,246,325**	4,965,853	**2,326,428**	3,221,172
Short-term reinsurance contract:				
– Reinsurance cost	**(733,405)**	(803,429)	**(602,044)**	(682,154)
Reinsurance expenses	**(733,405)**	(803,429)	**(602,044)**	(682,154)
Net premium income	**3,512,920**	4,162,424	**1,724,384**	2,539,018

29. Fee and commission income

	Group		Company	
	2012 31 Dec	2011 31 Dec	2012 31 Dec	2011 31 Dec
	N'000	N'000	N'000	N'000
Policy administration				
– Insurance contracts	127,200	123,231	121,062	85,839
Total	127,200	123,231	121,062	85,839

30. Investment income

	Group		Company	
	2012 31 Dec	2011 31 Dec	2012 31 Dec	2011 31 Dec
	N'000	N'000	N'000	N'000
Dividend income on trading stock	41,498	84,772	24,454	81,802
Interest income on held-to-maturity financial assets	764,607	377,585	354,027	175,292
Cash and cash equivalents' interest income	332,035	213,208	331,159	212,109
Interest income on statutory deposits	45,953	16,759	45,953	16,759
Income from sale of investment property – Hexagon Court	1,687	76,838	–	35,770
Rental income – Oil View Estate	55,747	52,190	5,507	7,858
Loss on sale of investment property – Oil View Estate	(16,000)	–	(16,000)	–
Interest income on investment contracts	–	2,000	–	–
	1,225,527	823,352	745,100	529,590

(a) Investment income is attributable to:

	Group		Company	
	2012 31 Dec	2011 31 Dec	2012 31 Dec	2011 31 Dec
	N'000	N'000	N'000	N'000
– Policyholders funds	564,161	328,101	119,216	68,847
– Shareholders funds	661,366	495,251	625,884	460,743
	1,225,527	823,352	745,100	529,590

31. Net realised gain/(loss) on financial assets

	Group		Company	
	2012 31 Dec	2011 31 Dec	2012 31 Dec	2011 31 Dec
	N'000	N'000	N'000	N'000
Realised gain on sale of financial assets – trading assets:				
– Equity securities	105,567	4,783	87,557	4,783
Realised loss on sale of financial assets – trading assets:				
– Equity securities	(46,022)	(30,938)	(46,022)	(329)
	59,545	(26,155)	41,535	4,454

32. Net fair value loss on assets at fair value through profit or loss

	Group		Company	
	2012 31 Dec	2011 31 Dec	2012 31 Dec	2011 31 Dec
	N'000	N'000	N'000	N'000
Fair value loss on equity securities	(1,781)	(164,842)	–	(109,932)
Fair value gain/(loss) on investment property	(5,388)	66,197	(1,667)	38,031
	(7,169)	(98,645)	(1,667)	(71,901)

Net fair value gains on non-derivative financial assets at fair value through profit or loss relate entirely to assets designated to be in this category upon initial recognition.

33. Other operating income

	Group		Company	
	2012 31 Dec	2011 31 Dec	2012 31 Dec	2011 31 Dec
	N'000	N'000	N'000	N'000
Loss from sale of property and equipment	(1,601)	5,380	(2,694)	5,360
Interest income on staff loans	31,969	16,146	19,750	11,163
Interest income on policy loan	–	4,284	–	–
Other income received	29,881	109,395	18,286	85,421
Net foreign exchange gain	10,701	17,085	7,040	11,037
	70,950	152,290	42,382	112,981

34. Claims expenses

	Group		Company	
	2012 31 Dec	2011 31 Dec	2012 31 Dec	2011 31 Dec
	N'000	N'000	N'000	N'000
Insurance claims and loss adjustment expenses				
– Current year claims and loss adjustment expenses	2,332,657	1,630,868	1,357,332	830,968
– Outstanding claims	(347,208)	13,516	(472,601)	(61,348)
Total claims and loss adjustment expense	1,985,449	1,644,384	884,731	769,620
Recoverable from reinsurance	(466,377)	(300,079)	(391,855)	(180,501)
Net claims and loss adjustment expense	1,519,072	1,344,305	492,876	589,119

35. Underwriting expenses

	Group		Company	
	2012 31 Dec	2011 31 Dec	2012 31 Dec	2011 31 Dec
	N'000	N'000	N'000	N'000
Commission paid	633,889	834,088	431,911	609,221
Business maintenance cost	51,964	158,601	46,320	130,299
	685,853	992,689	478,231	739,520

36. Employee benefit expense

	Group		Company	
	2012 31 Dec	2011 31 Dec	2012 31 Dec	2011 31 Dec
	N'000	N'000	N'000	N'000
Wages and salaries	526,911	723,715	365,408	504,496
Employee benefit – below market staff loans	17,166	20,364	15,502	18,694
Pension costs – defined contribution plans	16,413	19,667	15,250	14,894
	560,490	763,746	396,160	538,084

37. Other operating expenses

	Group		Company	
	2012 31 Dec	2011 31 Dec	2012 31 Dec	2011 31 Dec
	N'000	N'000	N'000	N'000
Depreciation (see Note 13)	122,909	112,601	84,195	69,742
Amortisation of intangible assets (see Note 12)	20,808	17,400	14,055	11,399
Impairment on trade receivables	612,195	416,397	201,626	256,641
Impairment/(Reversal) on other loans and receivables	111,991	25,517	111,991	(9,731)
Directors' emoluments	67,579	64,252	37,491	32,762
Auditor's remuneration	38,180	34,087	26,000	24,000
Professional fees	38,404	–	38,404	–
Corporate strategy	15,996	–	15,996	–
Corporate branding	75,170	–	9,245	–
Enterprise risk management	10,289	–	10,289	–
Office expense	93,693	–	93,693	–
Write off of financial assets	–	97,752	–	97,752
Impairment of property and equipment	65,940	78,800	65,940	–
Merger and acquisition	138	–	138	–
Interest expense on deposit administration fund	1,903	1,604	–	–
Other expenses	395,978	605,703	213,006	435,568
	1,671,173	1,454,113	922,069	918,133

38. Earnings per share

Basic earnings per share is calculated by dividing the profit attributable to equity holders of the Company by the weighted average number of ordinary shares in issue during the year, excluding own ordinary shares purchased by the Company. Diluted earnings per share is computed by dividing the profit attributable to equity holders of the Company by the weighted average number of ordinary shares outstanding after adjusting the effects of all dilutive ordinary shares.

	Group		Company	
	2012 31 Dec	2011 31 Dec	**2012 31 Dec**	2011 31 Dec
Profit/(Loss) attributable to the Company's equity holders	**383,032**	345,751	**240,833**	287,687
Weighted average number of ordinary shares in issue (thousands)	**5,061,804**	5,061,804	**5,061,804**	5,061,804
Basic and diluted earnings per share (Kobo per share)	**8**	7	**5**	6

39. Staff information:

(a) Staff and Directors' analysis:

i. Employees earning more than N100,000 per annum, other than the Executive Directors, whose duties were wholly or mainly discharged in Nigeria, received emoluments (excluding pension contribution and other allowances) in the following ranges:

	Group		Company	
	2012 31 Dec	2011 31 Dec	**2012 31 Dec**	2011 31 Dec
	Numbers	Numbers	**Numbers**	Numbers
N600,001 – N700,000	**2**	3	**1**	2
N700,001 – N800,000	**1**	1	**1**	1
N800,001 – N900,000	**3**	1	**1**	1
N900,001 – N1,000,000	**–**	–	**–**	–
N1,000,001 – N2,000,000	**60**	38	**45**	26
N2,000,001 – N3,000,000	**50**	28	**29**	23
N3,000,000 – N4,000,000	**17**	20	**8**	16
N4,000,001 – N5,000,000	**9**	23	**3**	16
N5,000,001 – N10,000,000	**24**	16	**14**	16
Above N10,000,000	**5**	3	**2**	2
	171	133	**104**	103

ii. The average number of full time persons employed by the Company during the year was as follows:

	Group		Company	
	2012 31 Dec	2011 31 Dec	**2012 31 Dec**	2011 31 Dec
Management staff	**38**	42	**19**	32
Non-management staff	**133**	91	**85**	71
	171	133	**104**	103

(b) Directors' remuneration:

i. Remuneration paid to the Directors of the Company (excluding pension contribution and certain benefits) was as follows:

	Group		Company	
	2012 31 Dec	2011 31 Dec	**2012 31 Dec**	2011 31 Dec
	N'000	N'000	**N'000**	N'000
Directors' fees	**2,450**	24,694	**900**	7,303
Other emoluments	**87,139**	49,683	**56,251**	25,459
	89,589	74,377	**57,151**	32,762

ii. The Directors' remuneration shown above (excluding pension contributions and other allowances) includes:

	Group		Company	
	2012 31 Dec	2011 31 Dec	**2012 31 Dec**	2011 31 Dec
	N'000	N'000	**N'000**	N'000
Chairman	**–**	985	**–**	985
Highest paid Director	**19,000**	19,000	**19,000**	19,000

iii. The emoluments of all other Directors fell within the following range:

	Group		Company	
	2012 31 Dec	2011 31 Dec	**2012 31 Dec**	2011 31 Dec
	Numbers	Numbers	**Numbers**	Numbers
N200,001 – N500,000	**–**	1	**–**	–
N500,001 – N5,000,000	**3**	10	**–**	7
N5,000,001– N10,000,000	**2**	–	**3**	–
N10,000,001 – N20,000,000	**4**	3	**2**	2
	9	14	**5**	9

40. Net cash flow from operating activities before changes in operating assets:

		Group		Company	
		2012 31 Dec	2011 31 Dec	**2012 31 Dec**	2011 31 Dec
	Note	**N'000**	N'000	**N'000**	N'000
Profit after taxation		**383,032**	345,751	**240,833**	287,687
Taxation		**(169,353)**	(235,893)	**(142,627)**	(127,438)
Profit before tax		**552,385**	581,644	**383,460**	415,125
Adjustment to reconcile profit before taxation to net cash flow from operations:					
Impairment on trade receivables	37	**612,195**	416,397	**201,626**	256,641
Impairment on other loans and receivables	37	**111,991**	25,517	**111,991**	(9,731)
Fair value loss on equity instruments	32	**1,781**	164,842	**–**	109,932
Write off of investments	37	**–**	97,752	**–**	97,752
Impairment of property and equipment	37	**65,940**	78,800	**65,940**	–
Depreciation of property and equipment	37	**122,909**	112,601	**84,195**	69,742
Amortisation of intangible assets	37	**20,808**	17,400	**14,055**	11,399
Loss/(profit) on disposal of property and equipment	33	**1,601**	(5,380)	**2,694**	(5,360)
Fair value loss/(gain) on investment property	32	**5,388**	(66,197)	**1,667**	(38,031)
Loss/(profit) on disposal of investments property	30	**14,313**	(76,838)	**–**	(35,770)
Net realised (gain)/loss on financial assets	31	**(59,545)**	26,155	**(41,535)**	(4,454)
Rental income from investment property	30	**(55,747)**	(52,190)	**(5,507)**	(7,858)
Net cash flow from operating activities		**1,394,019**	1,320,503	**818,586**	859,387

41. Contravention of laws and regulations

The Company contravened certain laws and regulations during the year and paid a total penalty of N500,850 (31 December 2011: Nil). This is analysed below:

	N'000
Penalties	**Amount paid**
Revaluation of investment property without obtaining NAICOM's approval	500
Violation of registration process for share capital increase	0.85
	500.85

42. Litigations and claims

The Company, in its ordinary course of business, was involved in a number of litigation cases. The total amount claimed against the Company is estimated at N2.33 billion (31 December 2011: Nil)

Based on the advice of the solicitors, the Directors of the Company are of the opinion that none of the aforementioned cases is likely to have material adverse effect on the Company and they are not aware of any other pending and or threatened claims or litigation which may be material to the financial statements.

43. Events after the end of the reporting period

Subsequent to year end, the Company completed its merger with Intercontinental Properties Limited.

The Company held a Court Ordered Meeting on 30 December 2012, where the holders of ordinary shares of the Company voted in favour of special resolutions to merge the business of the Company with that of Intercontinental Properties Limited. The Company obtained Securities and Exchange Commission (SEC's) approval on 22 January 2013, the Federal High Court's sanction of the merger on 30 January 2013, and approval of the National Insurance Commission (NAICOM) on 21 March 2013 which transfer all assets, liabilities and undertakings of the Intercontinental Properties Limited, including real property rights, to Wapic Insurance Plc without Intercontinental Properties Limited being wound up.

If the merger of Intercontinental Properties Limited with Wapic Insurance Plc was completed as at 31 December 2012, the Group's financial position and performance will have improved by the following:

	N'000
Total assets	5,740,421
Total liabilities	1,948,309
Net assets	3,792,112
Total revenue	647,118
Cost of sales	(562,003)
Gross profit	85,115
Other income	451,725
	536,840
Operating expenses	(244,321)
Profit before tax	292,519

There were no other post balance sheet events requiring adjustment of, or disclosure in, these financial statements.

44. Related parties

(a) Parent

The parent company of Wapic Insurance Plc is Access Bank Plc. The Company maintained some of its bank accounts with Access Bank Plc during the year.

(b) Subsidiaries

The Company has two wholly owned subsidiaries as at 31 December 2012. These are Wapic Life Assurance Limited, domiciled in Nigeria and Wapic Insurance (Ghana) Limited. Transactions between Wapic Insurance Plc and the subsidiaries also meet the definition of related party transactions. Where these are eliminated on consolidation, they are not disclosed in the consolidated financial statements.

(c) Transactions with key management personnel

The Group's key management personnel, and persons connected with them, are also considered to be related parties for disclosure purposes. The definition of key management includes close members of family of key management personnel and any entity over which key management personnel exercise control. The key management personnel have been identified as the Executive and Non-Executive Directors of the Group. Close members of family are those family members who may be expected to influence, or be influenced by that individual in their dealings with Wapic Insurance Plc.

(d) Key management personnel compensation

The compensation of key management personnel comprised the following:

	Group		Company	
	2012 31 Dec	2011 31 Dec	2012 31 Dec	2011 31 Dec
	N'000	N'000	N'000	N'000
Short-term employees benefits	89,589	74,377	57,151	32,762
Post-employment benefits	4,854	4,854	3,191	3,191
	94,443	79,231	60,342	35,953

(e) Key management personnel and director transactions

During the year, the Company earned premium income from insurance services rendered to its directors. Claims amounting N23,000 were paid to one of the Directors during the year.

		Transaction values for the year ended 31 December		Balance outstanding as at December	
Directors	Transactions	2012	2011	2012	2011
		N'000	N'000	N'000	N'000
Richard Adewole	Insurance premium income	460	220	–	–
Richard Adewole	Claims expense	23	–	–	–
Segun Balogun	Insurance premium income	1,806	931	–	–
Alhaji (Dr) Isyaku Umar	Insurance premium income	55	293	–	–
Olaghere Ojini	Insurance premium income	51	–	–	–
Barnabas Olise	Insurance premium income	50	–	–	–
Obinna Nwosu	Insurance premium income	–	55	–	–
Taukeme Koroye	Insurance premium income	87	–	–	–
		2,532	1,499	–	–

(f) Other related party transactions

During the year, the Company provided insurance services to entities related to key management personnel of the Company as follows:

			Transaction values for the year ended 31 December		Balance outstanding as at December	
Entities	**Relationships**	**Transactions**	**2012**	2011	**2012**	2011
			N'000	N'000	**N'000**	N'000
Access Bank Plc	Parent company	Insurance premium income	**104,296**	426,685	**–**	–
Access Bank Plc	Parent company	Claims expense	**161,811**	155,897	**–**	–
Intercontinental Capital Markets Limited	Common control	Insurance premium income	**711**	5,179	**–**	–
Intercontinental Capital Markets Limited	Common control	Claims expense	**495**	–	**–**	–
Intercontinental Finance and Investment Limited	Common control	Insurance premium income	**318**	2,081	**–**	–
Intercontinental Finance and Investment Limited	Common control	Claims expense	**228**	2,081	**–**	–
Intercontinental Homes Savings and Loans Plc	Common control	Insurance premium income	**2,211**	2,453	**–**	–
Intercontinental Homes Savings and Loans Plc	Common control	Claims expense	**186**	451	**–**	–
Intercontinental Properties Limited	Common control	Insurance premium income	**3,214**	6,870	**–**	–
Intercontinental Properties Limited	Common control	Claims expense	**321**	448	**–**	–
Intercontinental Securities Limited	Common control	Insurance premium income	**350**	2,144	**–**	–
Intercontinental Securities Limited	Common control	Claims expense	**147**	50	**–**	–
Intercontinental Registrars Limited	Common control	Insurance premium income	**–**	3,345	**–**	–
Intercontinental Trustees Limited	Common control	Insurance premium income	**–**	434	**–**	–
Tofa Textile Limited	Common director	Insurance premium income	**853**	1,464	**–**	–
Marina Securities Limited	Common director	Insurance premium income	**5,972**	–	**–**	–
			281,113	609,582	**–**	–

45. Hypothecation

The Group is exposed to a range of financial risks through its financial assets, financial liabilities, reinsurance assets and insurance liabilities. In particular, the key financial risk is that in the long term its investment proceeds will not be sufficient to fund the obligations arising from its insurance and investment contracts. In response to the risk, the Group's assets and liabilities are allocated as follows:

Group – 31 December 2012

	Insurance contract		Investment contract		Shareholders' funds		Total
	Non life	Life	Non life	Life	Non life	Life	
	N'000	N'000	N'000	N'000	N'000	N'000	N'000
Assets							
Cash and cash equivalents	1,375,391	–	–	–	1,357,166	1,335,960	4,068,517
Financial assets	621,701	1,726,587	–	65,591	1,997,717	631,772	5,043,368
Trade receivables	–	–	–	–	418,594	248,771	667,365
Reinsurance assets	–	–	–	–	405,280	69,114	474,394
Deferred acquisition cost	–	–	–	–	175,788	–	175,788
Other receivables and prepayments	–	–	–	–	617,501	24,526	642,027
Investment in subsidiaries	–	–	–	–	–	–	–
Investment property	–	–	–	–	182,667	81,667	264,334
Deferred tax asset	–	–	–	–	100,116	–	100,116
Intangible assets	–	–	–	–	53,316	12,379	65,695
Property and equipment	–	–	–	–	402,278	257,254	659,532
Statutory deposit	–	–	–	–	317,619	200,000	517,619
Total Assets	**1,997,092**	**1,726,587**	**–**	**65,591**	**6,028,042**	**2,861,443**	**12,678,755**
Liabilities							
Insurance contract liabilities	1,997,092	1,548,780	–	–	–	–	3,545,872
Investment contract liabilities	–	–	–	65,591	–	–	65,591
Trade payables	–	–	–	–	482,224	10,285	492,509
Provisions and other payables	–	–	–	–	259,461	101,249	360,710
Deferred income tax liabilities	–	–	–	–	124,175	51,612	175,787
Current income tax liabilities	–	–	–	–	325,197	89,612	414,809
Total Liabilities	**1,997,092**	**1,548,780**	**–**	**65,591**	**1,191,057**	**252,758**	**5,055,278**
GAP	**–**	**177,807**	**–**	**–**	**4,836,985**	**2,608,685**	**7,623,477**

The Company is exposed to a range of financial risks through its financial assets, financial liabilities, reinsurance assets and insurance liabilities. In particular, the key financial risk is that in the long term its investment proceeds will not be sufficient to fund the obligations arising from its insurance and investment contracts. In response to the risk, the Group's assets and liabilities are allocated as follows:

Company – 31 December 2012

	Insurance contract		Investment contract		Shareholders' funds		Total
	Non life	Life	Non life	Life	Non life	Life	
	N'000	N'000	N'000	N'000	N'000	N'000	N'000
Assets							
Cash and cash equivalents	1,375,391	–	–	–	1,296,512	–	2,671,903
Financial assets	–	–	–	–	2,384,345	–	2,384,345
Trade receivables	–	–	–	–	231,422	–	231,422
Reinsurance assets	–	–	–	–	286,791	–	286,791
Deferred acquisition cost	–	–	–	–	110,639	–	110,639
Other receivables and prepayments	–	–	–	–	647,172	–	647,172
Investment in subsidiaries	–	–	–	–	2,705,576	–	2,705,576
Investment property	–	–	–	–	182,667	–	182,667
Deferred tax asset	–	–	–	–	–	–	–
Intangible assets	–	–	–	–	53,316	–	53,316
Property and equipment	–	–	–	–	361,731	–	361,731
Statutory deposit	–	–	–	–	300,000	–	300,000
Total Assets	**1,375,391**	**–**	**–**	**–**	**8,560,171**	**–**	**9,935,562**
Liabilities							
Insurance contract liabilities	1,373,644	–	–	–	–	–	1,373,644
Investment contract liabilities	–	–	–	–	–	–	–
Trade payables	–	–	–	–	231,036	–	231,036
Provisions and other payables	–	–	–	–	256,967	–	256,967
Deferred income tax liabilities	–	–	–	–	124,175	–	124,175
Current income tax liabilities	–	–	–	–	219,957	–	219,957
Total Liabilities	**1,373,644**	**–**	**–**	**–**	**832,135**	**–**	**2,205,779**
GAP	**1,747**	**–**	**–**	**–**	**7,728,036**	**–**	**7,729,783**

46. Explanation of transition to IFRSs – Group

(a) Implementation of IFRSs

(i) Overview

As stated in Note 2 on the statement of compliance with IFRS, these are the Group's first consolidated financial statements prepared in accordance with IFRSs. The accounting policies set out in Note 3 have been applied in preparing the financial statements for the year ended 31 December 2012 and in the preparation of the opening IFRS statement of financial position as at 1 January 2011 (the Group's date of transition). In preparing its opening IFRS statement of financial position, the Group has adjusted amounts reported previously in the financial statements prepared in accordance with Statements of Accounting Standards as issued by the Financial Reporting Council of Nigeria (NGAAP).

(ii) Mandatory exemptions

The Group adopted mandatory exception on estimate as required by IFRS 1. All other mandatory exemptions were not applicable to the Group.

An explanation of how the transition from NGAAP to IFRSs has affected the Group's financial position, financial performance and cash flows is set out in the following tables and the notes that accompany the tables.

(iii) Optional exemptions

The Group adopted the following optional exemptions requirements of IFRS 1 during the year:

- The latest revaluation of land and buildings carried out under Nigerian GAAP prior to the date of transition was used as deemed cost at the date of transition;
- The cumulative translation differences on foreign operations were deemed to be zero at the date of transition, and amounts recognised in accordance with Nigerian GAAP as at that date were reclassified to retained earnings; and
- The Group measured subsidiaries' assets and liabilities in accordance with IFRS 1 based on subsidiaries' own date of transition.

(iv) New captions and terminologies

The following terminologies, account names or captions have been used in the IFRS Financial Statements:

- Cash and cash equivalents: This includes cash on hand, bank balances and short-term liquid instruments with maturities not exceeding 90 days at the date of origination of the instrument;
- Financial assets: These represent short investments other than those classified under cash and cash equivalents and long-term investments in bills, bonds and equities;
- Trade receivables: These are receivables due on insurance contracts that were presented as premium debtors under NGAAP;
- Insurance Contract Liabilities: This account warehouses all liabilities relating to insurance contracts which were previously individually or collectively presented as insurance funds; claims payable or outstanding claims provisions; and
- Investment contract liabilities: This account contains items that under NGAAP were presented as deposit administration fund.

Reconciliation of equity – Group

		31 December 2011					1 January 2011				
		Previous GAAP	Effect of transition to IFRS			IFRS	Previous GAAP	Effect of transition to IFRS			IFRS
			Reclassification	Measurement	Total			Reclassification	Measurement	Total	
	Notes	N'000	N'000	N'000	N'000	N'000	N'000	N'000	N'000	N'000	N'000
Assets											
Cash and bank balances	(a)	499,821	(499,821)	–	(499,821)	–	431,835	(431,835)	–	(431,835)	–
Cash and cash equivalents	(a), (b)	–	3,891,892	3,771	3,895,663	3,895,663	–	5,290,165	2,342	5,292,507	5,292,507
Short-term investments	(b)	6,079,001	(6,079,001)	–	(6,079,001)	–	6,195,985	(6,195,985)	–	(6,195,985)	–
Long-term investments	(c)	1,253,389	(1,253,389)	–	(1,253,389)	–	578,141	(578,141)	–	(578,141)	–
Financial assets	(b), (c)	–	3,973,460	(1,326)	3,972,134	3,972,134	–	1,915,796	–	1,915,796	1,915,796
Premium debtors	(d)	766,385	(766,385)	–	(766,385)	–	1,051,382	(1,051,382)	–	(1,051,382)	–
Trade receivables	(d)	–	766,385	(136,385)	630,000	630,000	–	1,051,382	(272,944)	778,438	778,438
Other receivables and prepayments	(e), (f)	836,462	(91,141)	13,776	(77,365)	759,098	580,733	54,500	23,535	78,035	658,768
Loans to policyholders	(f)	20,325	(20,325)	–	(20,325)	–	25,286	(25,286)	–	(25,286)	–
Reinsurance assets	(e)	–	78,325	64,392	142,717	142,717	–	–	97,919	97,919	97,919
Investment property	(g)	1,067,072	–	–	–	1,067,072	1,153,846	–	–	–	1,153,846
Deferred acquisition cost	(h)	200,473	–	(8,234)	(8,234)	192,239	199,639	–	(21,960)	(21,960)	177,679
Deferred tax asset		26,101	–	–	–	26,101	10,592	–	–	–	10,592
Intangible assets		56,819	–	–	–	56,819	68,378	–	–	–	68,378
Property and equipment	(i)	597,161	–	412	412	597,573	581,577	–	–	–	581,577
Statutory deposit		605,207	–	–	–	605,207	590,170	–	–	–	590,170
		12,008,216	–	(63,594)	(63,594)	11,944,623	11,467,564	29,214	(171,108)	(141,894)	11,325,670

Reconciliation of equity – Group

		31 December 2011					1 January 2011				
		Previous GAAP	Effect of transition to IFRS			IFRS	Previous GAAP	Effect of transition to IFRS			IFRS
			Reclassification	Measurement	Total			Reclassification	Measurement	Total	
	Notes	N'000	N'000	N'000	N'000	N'000	N'000	N'000	N'000	N'000	N'000
Liabilities											
Insurance fund	(j)	2,882,357	(2,882,357)	–	(2,882,357)	–	2,638,108	(2,638,108)	–	(2,638,108)	–
Insurance contract liabilities	(j)	–	2,955,345	483,980	3,439,325	3,439,325	–	2,744,627	394,037	3,138,664	3,138,664
Deposit administration fund	(k)	63,432	(63,432)	–	(63,432)	–	79,136	(79,136)	–	(79,136)	–
Investment contracts liabilities	(k)	–	63,432	–	63,432	63,432	–	79,136	–	79,136	79,136
Due from reinsurers and brokers	(l)	158,673	(158,673)	–	(158,673)	–	320,851	(320,851)	–	(320,851)	–
Trade payables	(l)	–	164,014	–	164,014	164,014	–	325,693	–	325,693	325,693
Other payables	(m)	580,883	(580,883)	–	(580,883)	–	539,845	(539,845)	–	(539,845)	–
Provisions and other payables	(m)(i)	–	502,554	24,741	527,295	527,295	–	457,698	–	457,698	457,698
Deferred income tax	(n)	90,182	–	(2,817)	(2,817)	87,365	86,587	–	–	–	86,587
Current income tax liabilities		387,069	–	–	–	387,069	321,919	–	–	–	321,919
Total Liabilities		**4,162,596**	**–**	**505,904**	**505,904**	**4,668,500**	**3,986,446**	**29,214**	**394,037**	**423,251**	**4,409,697**
Net Assets		**7,845,620**	**–**	**(569,498)**	**(569,498)**	**7,276,123**	**7,481,118**	**–**	**(565,145)**	**(565,145)**	**6,915,973**
Equity											
Share capital		2,530,902	–	–	–	2,530,902	2,530,902	–	–	–	2,530,902
Share premium		5,240,627	–	–	–	5,240,627	5,240,627	–	–	–	5,240,627
Statutory regulatory reserve		1,076,849	–	–	(1)	1,076,848	944,664	–	–	–	944,664
Other reserve	(o)	181,688	–	(60,883)	(60,883)	120,805	107,712	–	(1,306)	(1,306)	106,406
Retained earnings	(p)	(1,184,446)	–	(508,613)	(508,613)	(1,693,059)	(1,342,787)	–	(563,839)	(563,839)	(1,906,626)
Total equity		**7,845,620**	**–**	**(569,496)**	**(569,497)**	**7,276,123**	**7,481,118**	**–**	**(565,145)**	**(565,145)**	**6,915,973**

Adjustments to the statement of cash flows

There were no significant differences on the overall cash flow effects between items on the statement of cash flows presented under IFRS and those presented in the statement of cash flows under NGAAP.

46. Explanation of transition to IFRSs – Company

(b) Implementation of IFRSs

The transitional arrangements applied for the Group under Note 45(a) for the Group were applied similarly for the Company.

Reconciliation of equity – Company

		31 December 2011					1 January 2011				
		Previous GAAP	Effect of transition to IFRS			IFRS	Previous GAAP	Effect of transition to IFRS			IFRS
			Reclassification	Measurement	Total			Reclassification	Measurement	Total	
	Notes	N'000	N'000	N'000	N'000	N'000	N'000	N'000	N'000	N'000	N'000
Assets											
Cash and bank balances	(a)	302,440	(302,440)	–	(302,440)	–	270,222	(270,222)	–	(270,222)	–
Cash and cash equivalents	(a), (b)	–	1,935,528	2,861	1,938,389	1,938,389	–	3,550,738	2,365	3,553,103	3,553,103
Short-term investments	(b)	3,990,250	(3,990,250)	–	(3,990,250)	–	4,409,270	(4,409,270)	–	(4,409,270)	–
Long-term investments	(c)	687,480	(687,480)	–	(687,480)	–	3,684	(3,684)	–	(3,684)	–
Financial assets	(b), (c)	–	3,077,782	(1,239)	3,076,543	3,076,543	–	1,132,438	–	1,132,438	1,132,438
Premium debtors	(d)	310,428	(310,428)	–	(310,428)	–	773,510	(773,510)	–	(773,510)	–
Trade receivables	(d)	–	310,428	(33,704)	276,724	276,724	–	773,510	(206,865)	566,645	566,645
Other receivables and prepayments	(e), (f)	542,959	(42,065)	7,047	(35,018)	507,941	622,115	–	14,577	14,577	636,692
Reinsurance assets	(e)	–	8,925	64,392	73,317	73,317	–	–	97,919	97,919	97,919
Investment property	(g)	446,000	–	–	–	446,000	528,699	–	–	–	528,699
Investment in subsidiaries	(h)	2,455,576	–	–	–	2,455,576	2,405,576	–	–	–	2,405,576
Deferred acquisition cost		138,489	–	(8,234)	(8,234)	130,255	158,212	–	(21,960)	(21,960)	136,252
Intangible assets		37,687	–	–	–	37,687	41,364	–	–	–	41,364
Property and equipment	(i)	333,649	–	(59)	(59)	333,590	306,148	–	–	–	306,148
Statutory deposit		300,000	–	–	–	300,000	300,000	–	–	–	300,000
		9,544,958	**–**	**31,064**	**31,064**	**9,576,022**	**9,818,800**	**–**	**(113,964)**	**(113,964)**	**9,704,836**

Reconciliation of equity – Company

		31 December 2011					1 January 2011				
		Previous GAAP	Effect of transition to IFRS			IFRS	Previous GAAP	Effect of transition to IFRS			IFRS
			Reclassification	Measurement	Total			Reclassification	Measurement	Total	
	Notes	N'000	N'000	N'000	N'000	N'000	N'000	N'000	N'000	N'000	N'000
Liabilities											
Insurance fund	(j)	941,427	(941,427)	–	(941,427)	–	1,058,101	(1,058,101)	–	(1,058,101)	–
Insurance contract liabilities	(j)	–	1,014,415	389,041	1,403,456	1,403,456	–	1,164,619	394,037	1,558,656	1,558,656
Due from reinsurers and brokers	(l)	117,770	(117,770)	–	(117,770)	–	320,851	(320,851)	–	(320,851)	–
Trade payables	(l)	–	117,770	–	117,770	117,770	–	320,851	–	320,851	320,851
Other payables	(m)	335,258	(335,258)	–	(335,258)	–	397,397	(397,397)	–	(397,397)	–
Provisions and other payables	(m)	–	262,270	–	262,270	262,270	–	290,879	–	290,879	290,879
Deferred income tax	(n)	63,554	–	–	–	63,554	59,036	–	–	–	59,036
Current income tax liabilities		230,931	–	–	–	230,931	265,060	–	–	–	265,060
Total Liabilities		**1,688,940**	**–**	**389,041**	**389,041**	**2,077,981**	**2,100,445**	**–**	**394,037**	**394,037**	**2,494,482**
Net Assets		**7,856,018**	**–**	**(357,977)**	**(357,977)**	**7,498,041**	**7,718,355**	**–**	**(508,001)**	**(508,001)**	**7,210,354**
Equity											
Share capital		2,530,902	–	–	–	2,530,902	2,530,902	–	–	–	2,530,902
Share premium		5,240,627	–	–	–	5,240,627	5,240,627	–	–	–	5,240,627
Statutory regulatory reserve		964,220	–	–	–	964,220	869,394	–	–	–	869,394
Other reserve	(o)	151,778	(45,372)	–	(45,372)	106,406	117,550	(11,144)	–	(11,144)	106,406
Retained earnings	(p)	(1,031,509)	–	(312,605)	(312,605)	(1,344,114)	(1,040,118)	–	(496,857)	(496,857)	(1,536,975)
Total equity		**7,856,018**	**(45,372)**	**(312,605)**	**(357,977)**	**7,498,041**	**7,718,355**	**(11,144)**	**(496,857)**	**(508,001)**	**7,210,354**

Adjustments to the statement of cash flows

There were no significant differences on the overall cash flow effects between items on the statement of cash flows presented under IFRS and those presented in the statement of cash flows under NGAAP.

Explanation of transition to IFRSs

The Group adopted IFRSs effective 1 January 2011. The key principle of IFRS 1 – First-time Adoption of International Financial Reporting Standards for reporting entities with adoption date subsequent to 1 January 2006 is a full retrospective application of IFRSs. However, this statement provides exemption from retrospective application of IFRSs.

However, this statement provides exemption from retrospective application in certain instances due to costs and practical considerations. The key impacts of IFRS are set out below:

1 Key impact analysis of IFRS on the financial position as at date of transition– 1 January 2011 and 31 December 2011

(a) Cash and bank balances

	Group		Company	
	31-Dec-11	1-Jan-11	31-Dec-11	1-Jan-11
	N'000	N'000	N'000	N'000
Bal per N-GAAP	499,821	431,835	302,440	270,222
Reclassification to cash and cash equivalents	(499,821)	(431,835)	(302,440)	(270,222)
Bal per IFRS	–	–	–	–
Impact on equity	–	–	–	–

(b) Short-term investments

Under NGAAP, short-term investments were made up of money market placements, treasury bills and quoted equities. Under IFRS, investments are not classified as short-term investments but as AFS, HFT or HTM.

The following changes affected the Group and Company's short-term investments:

	Group		Company	
	31-Dec-11	1-Jan-11	31-Dec-11	1-Jan-11
	N'000	N'000	N'000	N'000
Bal per N-GAAP	6,079,001	6,195,985	3,990,250	4,409,270
Reclassification to cash and cash equivalents	(3,392,071)	(4,858,330)	(1,633,088)	(3,280,516)
Reclassification to HTM debt securities – Short-term deposits	(30,073)	(269,261)	(30,073)	(269,261)
Reclassification to HTM debt securities – Treasury bills	(2,085,039)	(208,901)	(1,755,271)	–
Reclassification to equity securities – held for trading	(571,818)	(859,493)	(571,818)	(859,493)
Bal per IFRS	–	–	–	–
Impact on equity	–	–	–	–

(a), (b) Cash and cash equivalents

Under IFRS, cash and cash equivalents represents cash on hand, balances at bank and highly liquid instruments which are subject to an insignificant risk of changes in value and with maturities of not more than 90 days from date of origination. For instance, money market placements with maturity not more than three months at origination date are classified as cash and cash equivalents. The net impact of IFRS on cash and cash equivalents of the Group was an increase of N3.9 billion and N5.3 billion as at 31 December 2011 and 1 January 2011 respectively while the Company's figures witnessed increase of N1.9 billion and N3.6 billion as at 31 December 2011 and 1 January 2011 respectively.

The following items reported under NGAAP were reclassified to cash and cash equivalents under IFRS:

- Cash and bank balances; and
- Short-term money market placements with tenor not exceeding 90 days which were previously reported as short-term investments under NGAAP.

In addition, interest receivables which also form part of the expected cash flows on those money market placements were recognised as cash and cash equivalents and measured at amortised cost. See analysis in the table below:

		Group		Company	
		31-Dec-11	1-Jan-11	31-Dec-11	1-Jan-11
	Note	N'000	N'000	N'000	N'000
Bal per N-GAAP		–	–	–	–
Reclassification from cash and bank balances	(a)	499,821	431,835	302,440	270,222
Reclassification from short-term investments – placements	(b)	3,392,071	4,858,330	1,633,088	3,280,516
Interest receivable recognised using effective interest rate	(p)	3,771	2,342	2,861	2,365
Bal per IFRS		**3,895,663**	**5,292,507**	**1,938,389**	**3,553,103**
Impact on equity		3,771	2,342	2,861	2,365

(c) Long-term investments

The Group's long-term investments were principally made up of quoted and unquoted equities. Under IFRS, these investments are not classified as long-term investments but as available-for-sale, held for trading or held to maturity. The changes that impacted on long-term investments based on management's designation were as follows:

		Group		Company	
		31-Dec-11	1-Jan-11	31-Dec-11	1-Jan-11
	Note	N'000	N'000	N'000	N'000
Bal per N-GAAP		1,253,389	578,141	687,480	3,684
Reclassification to HTM debt securities – Government bonds	(b), (c)(ii)	(976,570)	(147)	(670,744)	(147)
Reclassification to equity securities – held for trading	(b), (c)(i)	(260,083)	(574,457)	–	–
Reclassification to AFS equity securities – unquoted equities	(b), (c)(iii)	(16,736)	(3,537)	(16,736)	(3,537)
Bal per IFRS		–	–	–	–
Impact on equity		–	–	–	–

(b), (c) Financial assets

(1) Under NGAAP, investment instruments were either presented as short-term or long-term investments. Short-term investments were carried at the lower of cost and market value. Long-term investments were carried at cost less impairments.

(2) Under IFRS, the Group presents investment instruments other than placements reported as part of cash and cash equivalents such as bills, bonds, placements and equities as financial assets.

(3) Financial assets are categorised as held for trading, available-for-sale (fair value through equity), held to maturity and they are measured as follows:

Category	Measurement basis
Held for trading	Fair value through profit or loss
Available-for sale	Fair value through equity
Held to maturity	Amortised cost with changes recognised in profit or loss.

The summary of the financial assets presented in the Group comparative financial statements at 31 December 2011 and the opening statements of financial position is shown in the table below:

		Group		Company	
		31-Dec-11	1-Jan-11	31-Dec-11	1-Jan-11
	Note	N'000	N'000	N'000	N'000
Bal per N-GAAP		–	–	–	–
Equity securities – Held for trading	(i)	831,901	1,433,950	571,818	859,493
Debt securities – Held to maturity	(ii)	3,123,496	478,309	2,487,989	269,408
Equity securities – Available-for-sale	(iii)	16,736	3,537	16,736	3,537
Bal per IFRS		**3,972,134**	**1,915,796**	**3,076,543**	**1,132,438**
Impact on equity		–	–	–	–

The breakdown of the various categories of financial assets and the related reclassifications from short- and long-term investments reported under NGAAP and IFRS based measurement changes are shown in the explanatory notes (i) to (iii) below:

(i) Equities securities – Held for trading

The impact of IFRS on the Group's held for trading equity securities was an increase of N832 million and N1.4 billion as at 31 December 2011 and 1 January 2011 respectively and an increase in the Company's balances of N571 million and N859 million as at 31 December 2011 and 1 January 2011 respectively.

Under NGAAP, the Company recognised its quoted equities as part of short-term investments portfolio and the Company's subsidiary (Wapic Life Assurance Ltd) recognised its quoted equities as part of long-term investment portfolio. Quoted equities were appropriately reclassified from the Company's short-term investments portfolio and the Group's long-term investment portfolio respectively.

Apart from the reclassification of quoted equities from long-term investments and short-term investments, there were no other material adjustments to the cash flow statements in respect of cash utilised by operating activities before tax, cash flows from investing activities and cash flows from financing activities as a result of the adoption of IFRSs.

A breakdown of held for trading equity securities are shown below:

		Group		Company	
		31-Dec-11	1-Jan-11	31-Dec-11	1-Jan-11
	Note	N'000	N'000	N'000	N'000
Bal per N-GAAP		–	–	–	–
Reclassification from short-term investments – quoted equities	(b)	571,818	859,493	571,818	859,493
Reclassification from long-term investments – quoted equities	(c)	260,083	574,457	–	–
Bal per IFRS		**831,901**	**1,433,950**	**571,818**	**859,493**
Impact on equity		–	–	–	–

(ii) Debt securities held to maturity

The Group classified its government bonds and treasury bills as HTM debt securities. Government bonds and treasury bills were reclassified from long-term investments and short-term investments respectively to held to maturity debt securities. In addition, interest receivable on the government bonds was reclassified to the principal amount and result of balance measured at amortised cost using the effective interest rate method.

Furthermore, short-term deposits that had tenures longer than three months, at origination were reclassified to HTM financial assets.

The effect of the above reclassifications and measurements of held to maturity financial assets at amortised cost is as follows:

		Group		Company	
		31-Dec-11	1-Jan-11	31-Dec-11	1-Jan-11
	Notes	N'000	N'000	N'000	N'000
Bal per N-GAAP		–	–	–	–
Reclassification from long-term investments – bonds	(c)	976,570	147	670,744	147
Reclassification from short-term investments – Treasury bills	(b)	2,085,039	208,901	1,755,271	–
Reclassifications from short-term investments – placements	(b)	30,073	269,261	30,073	269,261
Interest receivables on bonds	(e), (f)	33,140	–	33,140	–
Reversal of interest receivable arising from measurement of debt securities at amortised cost		(1,326)	–	(1,239)	–
Bal per IFRS		**3,123,496**	**478,309**	**2,487,989**	**269,408**
Impact on equity		(1,326)	–	(1,239)	–

(iii) Equity securities – Available-for-sale

Under IFRS, management has designated its unquoted equities as available-for-sale.

Apart from the reclassification of unquoted equities from long-term investments, there were no material adjustments to the cash flow statements in respect of cash utilised by operating activities before tax, cash flows from investing activities and cash flows from financing activities as a result of the adoption of IFRSs. Unquoted equities reported as long-term investments under NGAAP were reclassified to available-for-sale securities under IFRS.

		Group		Company	
		31-Dec-11	1-Jan-11	31-Dec-11	1-Jan-11
	Note	N'000	N'000	N'000	N'000
Bal per N-GAAP		–	–	–	–
Reclassification from long-term investments – unquoted equities	(c)	16,736	3,537	16,736	3,537
Bal per IFRS		**16,736**	**3,537**	**16,736**	**3,537**
Impact on equity		–	–	–	–

(d) Trade receivables

Under NGAAP, receivables due from policyholders or insurance entities with respect of insurance contracts were reported as premium debtors. Premium debtors were carried at cost less impairment allowance determined in line with NAICOM guidelines. Under IFRS, those receivables are presented as trade receivables. They are measured at cost less impairment allowance determined using incurred loss model under IAS 39.

The reclassification to trade receivables and related measurement adjustments are shown below:

		Group		Company	
		31-Dec-11	1-Jan-11	31-Dec-11	1-Jan-11
	Note	N'000	N'000	N'000	N'000
Bal per N-GAAP		–	–	–	–
Reclassifications from premium debtors		766,385	1,051,382	310,428	773,510
Additional impairment loss on trade receivables	(p)	(136,385)	(272,944)	(33,704)	(206,865)
Bal per IFRS		**630,000**	**778,438**	**276,724**	**566,645**
Impact on equity		(136,385)	(272,944)	(33,704)	(206,865)

(e), (f) Other receivables and prepayments

The following reclassifications and measurement changes impacted on other receivables and prepayments from the adoption of IFRS:

(i) Reclassifications:

– Interest receivable on government bonds were transferred to financial assets-HTM debt securities.

– Balances due from reinsurers were transferred to reinsurance assets.

– Loans due from policyholders were transferred to other receivables and prepayments.

(ii) Recognition of employee loans:

The Group grants loans to employees at below market rates. Under NGAAP, loans to employees were recognised at cost and subsequently measured at cost less impairment allowance. IFRS requires that below market rate loans are initially recognised at fair value and subsequently measured at amortised cost. The Group treats fair value loss on initial recognition of employee loans as prepaid employee benefit which is amortised over the life of the loan. In order to restate employee loans in line with IFRS requirements, adjustments were made to recognise the fair value changes at origination and amortised cost changes at subsequent measurement. The resultant adjustment involved fair value changes in employee loans at initial recognition, recognition of prepaid benefit, amortisation of prepaid benefit, recognition of interest income on employee loans using effective interest rate method and recognition of impairment loss on employee loans using incurred loss model.

(iii) Recognition of interest income on loans to policyholders

Under NGAAP, interest income on loans to policyholders was recognised using contractual rates on time apportionment basis. Under IFRS, interest income is recognised using the effective interest rate method.

		Group		Company	
		31-Dec-11	1-Jan-11	31-Dec-11	1-Jan-11
	Note	N'000	N'000	N'000	N'000
Bal per N-GAAP		836,462	580,733	542,959	622,115
Reclassification to financial assets to debt securities (HTM)-bonds	(b), (c)(ii)	(33,140)	–	(33,140)	–
Reclassification to reinsurance assets	(e)	(78,325)	–	(8,925)	–
Reclassification from loans to policyholders	(f)	20,325	25,286	–	–
Reclassification from other payables	(m)	–	29,214	–	–
Fair value changes on initial recognition of staff loans	(e), (f)	(94,786)	(218,326)	(1,163)	(201,624)
Reclassification to prepayment – employee benefit	(e), (f)	94,786	218,326	1,163	201,624
Retained earnings – amortisation of prepayment employee benefit	(p)	(18,694)	(67,366)	(18,694)	(64,026)
Retained earnings – interest income on staff loans	(p)	25,741	85,853	25,741	78,603
Impairment loss on staff loans	(p)	–	3,530	–	–
Retained earnings – interest income on loan to policyholders	(p)	6,729	1,518	–	–
Bal per IFRS		**759,098**	**658,768**	**507,941**	**636,692**
Impact on equity		13,776	23,535	7,047	14,577

(f) Loans to policyholders

		Group		Company	
		31-Dec-11	1-Jan-11	31-Dec-11	1-Jan-11
	Note	N'000	N'000	N'000	N'000
Bal per N-GAAP		20,325	25,286	–	–
Reclassification to other receivables and prepayments	(e), (f)	(20,325)	(25,286)	–	–
Bal per IFRS		–	–	–	–
Impact on equity		–	–	–	–

(e) Reinsurance assets

This is principally made up of amounts due from reinsurers. Under NGAAP, the amounts were reported as part of other receivables and prepayments. Under IFRS, the amounts due from reinsurers are separately reported on the face of the statement of financial position as reinsurance assets.

		Group		Company	
		31-Dec-11	1-Jan-11	31-Dec-11	1-Jan-11
	Note	N'000	N'000	N'000	N'000
Bal per N-GAAP		–	–	–	–
Reclassification from other receivables and prepayments	(e), (f)	78,325	–	8,925	–
Reinsurance recoverables on insurance contract liabilities	(p)	64,392	97,919	64,392	97,919
Bal per IFRS		**142,717**	**97,919**	**73,317**	**97,919**
Impact on equity		64,392	97,919	64,392	97,919

(g) Investment property

Under NGAAP, investment properties were carried at market value with revaluation gain recognised in reserves while revaluation losses were recognised in profit or loss. Revaluations were required to be carried out at least once in every three years. Under IFRS, the Group elected to measure its investment properties using the fair value model. Investment properties are measured at the fair value with fair value changes recognised in profit or loss. The Group believes that the carrying amount of investment properties is an approximation of fair value as at the transition date and comparative period end was a fair approximation of fair values at those dates. Relevant adjustments were however, made to reclassify the fair value changes from the revaluation reserve to the profit or loss account. See note (m) for adjustments on revaluation reserve.

(h) Deferred acquisition cost

The effect of IFRS measurement on deferred acquisition cost is as follows;

		Group		Company	
		31-Dec-11	1-Jan-11	31-Dec-11	1-Jan-11
	Note	N'000	N'000	N'000	N'000
Bal per N-GAAP		200,473	199,639	138,489	158,212
Recognition of deferred acquisition expenses not previously recognised under NGAAP	(p)	(8,234)	(21,960)	(8,234)	(21,960)
Bal per IFRS		**192,239**	**177,679**	**130,255**	**136,252**
Impact on equity		(8,234)	(21,960)	(8,234)	(21,960)

(i) Property, plant and equipment

		Group		Company	
		31-Dec-11	1-Jan-11	31-Dec-11	1-Jan-11
	Notes	N'000	N'000	N'000	N'000
Bal per N-GAAP		597,161	581,577	333,649	306,148
Additional/(Reversal) of excess depreciation expense on land and buildings	(p)	412	–	(59)	–
Bal per IFRS		**597,573**	**581,577**	**333,590**	**306,148**
Impact on equity		412	–	(59)	–

(j) Insurance contract liabilities

This warehouses the liabilities arising from insurance contracts which comprises outstanding claims provision, unearned premiums and life insurance contract liabilities. The principal change is necessitated by the requirement to carry out a liability adequacy on insurance contracts under IFRS. For this purpose the Group has measured its non-life outstanding claims provision using the basic chain ladder method based on the historical pattern of claims development.

		Group		Company	
		31-Dec-11	1-Jan-11	31-Dec-11	1-Jan-11
	Note	N'000	N'000	N'000	N'000
Bal per N-GAAP		–	–	–	–
Reclassification from insurance fund		2,882,357	2,638,108	941,427	1,058,101
Reclassification of claims payable from other payables	(m)	72,988	106,519	72,988	106,518
Recognition of actuarial valuation position on insurance contracts liabilities – IBNR	(p)	448,989	361,010	354,050	361,010
Recognition of actuarial valuation position on insurance contracts liabilities – unearned premium reserve	(p)	34,991	33,027	34,991	33,027
Bal per IFRS		**3,439,325**	**3,138,664**	**1,403,456**	**1,558,656**
Impact on equity		483,980	394,037	389,041	394,037

(k) Investment contract liabilities

This warehouses the receipts for deposit administration and other business of a savings nature which are recognised as liabilities. The liability recognised under NGAAP was considered to be adequate.

Apart from the reclassification of deposit administration to investment contract liabilities, there were no material adjustments to the cash flow statements in respect of cash utilised by operating activities before tax, cash flows from investing activities and cash flows from financing activities as a result of the adoption of IFRSs.

	Group		Company	
	31-Dec-11	1-Jan-11	31-Dec-11	1-Jan-11
	N'000	N'000	N'000	N'000
Bal per N-GAAP	–	–	–	–
Reclassification from deposit administration fund	63,432	79,136	–	–
Bal per IFRS	**63,432**	**79,136**	–	–
Impact on equity	–	–	–	–

(l) Trade payables

Major changes to trade payables comprise reclassification of due to reinsurers and brokers from creditors and accruals for better presentation under IFRS. See analysis below:

		Group		Company	
		31-Dec-11	1-Jan-11	31-Dec-11	1-Jan-11
	Note	N'000	N'000	N'000	N'000
Bal per N-GAAP		–	–	–	–
Reclassification from due to reinsurers and brokers		158,673	320,851	117,770	320,851
Reclassification from provisions and other payables	(m)(i)	5,341	4,842	–	–
Bal per IFRS		**164,014**	**325,693**	**117,770**	**320,851**
Impact on equity		–	–	–	–

(m) Other payables

		Group		Company	
		31-Dec-11	1-Jan-11	31-Dec-11	1-Jan-11
	Note	N'000	N'000	N'000	N'000
Balance per NGAAP		580,883	539,845	335,258	397,397
Reclassification to trade payable	(l)	(5,341)	(4,842)	–	–
Reclassification to provisions and other payables	(m)(i)	(502,554)	(428,484)	(262,270)	(290,879)
Reclassification to insurance contract liabilities	(j)	(72,988)	(106,519)	(72,988)	(106,518)
Bal per IFRS		–	–	–	–
Impact on equity		–	–	–	–

(i) Provisions and other payables

Major changes to creditors and accruals comprise reclassification of claims payable to insurance contract liabilities, due to reinsurers to trade payables and other adjustments which did not arise from the change in accounting policy from adoption of IFRS. See analysis below:

		Group		Company	
		31-Dec-11	1-Jan-11	31-Dec-11	1-Jan-11
	Note	N'000	N'000	N'000	N'000
Bal per NGAAP		–	–	–	–
Reclassification from other payables	(m)	502,554	428,484	(262,270)	(290,879)
Amounts due to creditors reclassified to other receivables and prepayments	(e), (f)	–	29,214	–	–
Other adjustments	(p)	24,741	–	–	–
Bal per IFRS		**527,295**	**457,698**	**(262,270)**	**(290,879)**
Impact on equity		24,741	–	–	–

(n) Deferred income tax

The change in deferred income tax is analysed below:

		Group		Company	
		31-Dec-11	1-Jan-11	31-Dec-11	1-Jan-11
	Note	N'000	N'000	N'000	N'000
Bal per N-GAAP		90,182	86,587	63,554	59,036
Deferred tax impact of IFRS adjustments	(p)	(2,817)	–	–	–
Bal per IFRS		**87,365**	**86,587**	**63,554**	**59,036**
Impact on equity		(2,817)	–	–	–

(o) Other reserves

Other reserves is made up of revaluation reserve on property, plant and equipment and foreign currency translation reserve. The effect of IFRS transition adjustments on other reserves is shown below:

		Group		Company	
		31-Dec-11	1-Jan-11	31-Dec-11	1-Jan-11
	Note	N'000	N'000	N'000	N'000
Bal per N-GAAP		181,688	107,712	151,778	117,550
Release of revaluation surplus on investment properties to profit or loss in line with the fair value model under IFRS		(78,579)	(12,382)	(49,175)	(12,382)
Reversal of deferred tax impact on fair value changes of investment properties to income statements	(p)	7,858	1,238	3,803	1,238
Reclassification of translation deficit to retained earnings at transition date	(p)	9,838	9,838	–	–
Bal per IFRS		**120,805**	**106,406**	**106,406**	**106,406**
Impact on equity		(60,883)	(1,306)	(45,372)	(11,144)

(p) Retained earnings

The effect of IFRS measurement on retained earnings is as follows:

		Group		Company	
		31-Dec-11	1-Jan-11	31-Dec-11	1-Jan-11
	Notes	N'000	N'000	N'000	N'000
Bal per N-GAAP		(1,184,446)	(1,342,787)	(1,031,509)	(1,040,118)
Interest income on cash and cash equivalents	(a), (b)	3,771	2,342	2,861	2,365
Interest income on debt securities (HTM)	(b), (c)(ii)	(1,325)	–	(1,239)	–
Interest income on policy loan	(e), (f)	4,861	1,518	–	–
Impairment loss on staff loans	(e), (f)	(4,058)	(3,530)	–	–
Depreciation of leasehold land	(i)	529	–	59	–
Amortisation of prepayment – employee benefits	(e), (f)	(87,130)	(67,366)	(82,120)	(64,026)
Interest income on staff loan	(e), (f)	22,346	85,763	11,411	78,604
Fair value gain on investment properties	(g)	78,579	12,382	50,413	12,382
Deferred tax charge on unrealised gain on investment properties	(o)	(5,041)	(1,238)	(5,041)	(1,238)
Reversal of excess provision on trade receivables	(d)	77,638	7,150	77,638	–
Impairment loss on trade receivables	(d)	(136,384)	(272,944)	(33,704)	(206,866)
Recognition of actuarial valuation position on insurance contracts liabilities – IBNR	(j)	(448,989)	(361,010)	(354,050)	(361,010)
Recognition of actuarial valuation position on insurance contracts liabilities – unearned premium reserve	(j)	(34,991)	(33,027)	(34,991)	(33,027)
Reinsurance recoverables on insurance contracts	(e)	64,392	97,919	64,392	97,919
Recognition of deferred acquisition expenses not previously recognised under NGAAP	(h)	(8,234)	(21,960)	(8,234)	(21,960)
Other adjustments	(m)(i)	(24,739)	–	–	–
Reclassification of translation deficit to retained earnings at transition date	(o)	(9,838)	(9,838)	–	–
Total IFRS impacts		**(508,613)**	**(563,839)**	**(312,605)**	**(496,857)**
Bal per IFRS		**(1,693,059)**	**(1,906,626)**	**(1,344,114)**	**(1,536,975)**

Reconciliation of statement of profit or loss and other comprehensive income

		Group					
		Previous GAAP		Effect of transition to IFRS			IFRS
	Notes		Reclassification	Life revenue	Adjustments	Net movement	
Gross premium written		3,939,513	–	–	–	–	3,939,513
Gross premium income		3,939,513	–	1,028,304	(1,964)	1,026,250	4,965,853
Reinsurance expenses		(773,495)	–	(29,934)	–	(29,934)	(803,429)
Accretion to life fund		112,694	–	(112,694)	–	(112,694)	–
Net premium income	(a), (b)	3,278,712	–	885,676	(1,964)	883,712	4,162,424
Fee and commission income	(a)	116,553	–	6,678	–	6,678	123,231
Profit on deposit administration fund	(c)	839	–	–	(839)	(839)	–
Net underwriting income		**3,396,104**	**–**	**892,354**	**(2,803)**	**889,551**	**4,285,655**
Claims expenses		964,670	–	591,735	87,979	679,714	1,644,384
Claims expenses recoverable		(305,739)	–	(27,867)	33,527	5,660	(300,079)
Net claims expenses	(a),(d)	658,931	–	563,868	121,506	685,374	1,344,305
Underwriting expenses	(a), (e)	847,229	–	159,186	(13,726)	145,460	992,689
Total underwriting expenses		**1,506,160**	**–**	**723,054**	**107,780**	**830,834**	**2,336,994**
Total underwriting profit		1,889,944	–	169,300	(110,583)	58,717	1,948,661
Net realised losses on financial assets	(g)(i)	–	–	–	(26,155)	(26,155)	(26,155)
Net fair value loss on assets at fair value through profit or loss	(h)(ii)	–	–	–	(98,645)	(98,645)	(98,645)
Other operating income	(f)	263,033	(110,743)	–	–	(110,743)	152,290
Investment income	(g)	619,300	110,743	46,768	46,541	204,052	823,352
Total investment income		**882,333**	**–**	**46,768**	**(78,259)**	**(31,491)**	**850,842**
Net income		2,772,277	–	216,068	(188,842)	27,226	2,799,503

		Group					
		Previous GAAP		Effect of transition to IFRS			IFRS
	Note		Reclassification	Life revenue	Adjustments	Net movement	
Management expenses	(h)	1,251,332	(1,251,332)	–	–	(1,251,332)	–
Provision for receivables and investments	(i)	998,329	(998,329)	–	–	(998,329)	–
Employee benefit expense	(h)(i)	–	743,378	–	20,368	763,746	763,746
Other operating expenses	(h)(i)	–	1,506,283	216,068	(317,716)	1,454,113	1,454,113
Expenses		**2,249,661**	**–**	**216,068**	**(297,348)**	**(31,802)**	**2,217,859**
Profit before tax		522,616	–	–	108,506	59,028	581,644
Income tax expense	(j)	(232,090)	–	–	(3,803)	(3,803)	(235,893)
Profit for the year		290,526	–	–	104,703	55,225	345,751
Consolidated statement of other comprehensive income							
Profit for the year		–	–	–	–	345,751	345,751
Other comprehensive income:							
Foreign currency translation difference of foreign operations		–	–	–	14,399	14,399	14,399
Other comprehensive income for the year, net of tax		–	–	–	14,399	14,399	14,399
Other comprehensive income for the year, net of tax		290,526	–	–	119,102	69,624	360,150
Earnings per share							
Basic earnings per share (kobo)		6	–	–	2	1	7
Diluted earnings per share (kobo)		6	–	–	2	1	7

Reconciliation of statement of profit or loss and other comprehensive income

		Company				
		Previous GAAP	Effect of transition to IFRS			IFRS
	Notes		Reclassification	Measurement	Total	
Gross premium written		3,160,853	–	–	–	3,160,853
Gross premium income		3,223,136	–	(1,964)	(1,964)	3,221,172
Reinsurance expenses		(682,154)	–	–	–	(682,154)
Net premium income		2,540,982	–	(1,964)	(1,964)	2,539,018
Fee and commission income		85,839	–	–	–	85,839
Net underwriting income		**2,626,821**	**–**	**(1,964)**	**(1,964)**	**2,624,857**
Claims expenses		776,580	–	(6,960)	(6,960)	769,620
Claims expenses recoverable		(214,028)	–	33,527	33,527	(180,501)
Net claims expenses		562,552	–	26,567	26,567	589,119
Underwriting expenses		753,246	–	(13,726)	(13,726)	739,520
Total underwriting expenses		**1,315,798**	**–**	**12,841**	**12,841**	**1,328,639**
Total underwriting profit		1,311,023	–	–	(14,805)	1,296,218
Net realised losses on financial assets	(d)(i)	–	–	4,454	4,454	4,454
Net fair value loss on assets at fair value through profit or loss	(e)(ii)	–	–	(71,901)	(71,901)	(71,901)
Other operating income	(c)	145,446	(32,465)	–	(32,465)	112,981
Investment income	(d)	491,159	32,465	5,966	38,431	529,590
Total investment income		**636,605**	**–**	**(61,481)**	**(61,481)**	**575,124**
Net income		1,947,628	–	(61,481)	(76,286)	1,871,342
Management expenses	(e)	991,420	(991,420)	–	(991,420)	–
Provision for receivables and investments	(f)	729,138	(729,138)	–	(729,138)	–
Employee benefit expense	(e)(i)	–	519,390	18,694	538,084	538,084
Other operating expenses	(e), (f)	–	1,201,168	(283,035)	918,133	918,133
Expenses		**1,720,558**	**–**	**(264,341)**	**(264,341)**	**1,456,217**
Profit before tax		227,070	–	–	188,055	415,125
Income tax expense	(g)	(123,635)	–	(3,803)	(3,803)	(127,438)
Profit for the year		103,435	–	(3,803)	184,252	287,687
Consolidated statement of other comprehensive income						
Profit for the year		103,435	–	(3,803)	184,252	287,687
Other comprehensive income:						
Other comprehensive income for the year, net of tax		–	–	–	–	–
Total comprehensive income for the year		103,435	–	(3,803)	184,252	287,687
Earnings per share						
Basic earnings per share (kobo)		2	–	(0)	4	6
Diluted earnings per share (kobo)		2	–	(0)	4	6

Adjustments to the statement of cash flows

There are no material differences between the statement of cash flows presented under IFRS and the statement of cash flows presented under the previous GAAP.

Explanation of transition to IFRSs

The Group adopted IFRSs effective 1 January 2011. The key principle of IFRS 1 – First-time Adoption of International Financial Reporting Standards for reporting entities with adoption date subsequent to 1 January 2006 is a full retrospective application of IFRSs. However, IFRS 1 provides exemption from retrospective application of IFRSs.

The key impacts of IFRS adoption are set out below:

1 Key impact analysis of IFRS on the income statement as at date of transition– 31 December 2011

(a) Accounting for life insurance contracts

Under NGAAP, life contracts are accounted for using the fund accounting method. Under IFRS, life insurance contracts are accounted for on an accrual basis with premium recognised as revenue when they become due. The performance reported for life insurance business under previous Nigerian GAAP has been consolidated, on a line by line basis, with non-life business. The change in accounting policies for life contracts resulted in reclassification of all balances previously recognised in the revenue account under NGAAP to the statement of profit or loss and other comprehensive income. This led to significant changes in the following income statement captions listed below:

– Gross premium income

– Insurance premium ceded to reinsurers

– Fee and commission income

– Net claims expenses

– Underwriting expense

– Investment income

– Other operating expense

(a), (b) Net premium income

	Group	Company
	31-Dec-11	31-Dec-11
	N'000	N'000
Bal per N-GAAP	3,939,513	2,540,982
Gross premium revenue recognised in life revenue account under SAS	1,203,286	–
Reversal of transfer to life fund recognised under NGAAP	(174,982)	–
Recognition of actuarial position on unearned premium reserve	(1,964)	(1,964)
Bal per IFRS	**4,965,853**	**2,539,018**

(c) Profit on deposit administration fund

Under NGAAP, investment contracts of savings nature were accounted for using fund accounting as deposit administration fund. Under IFRS, such contracts are accounted for on an accrual basis. The effect of the revised accounting policy is to consolidate balances relating to investment contracts line by line in the statement of profit or loss and other comprehensive income. The net IFRS impact on profit on deposit administration fund is as a result of IFRS adjustments impacting the life investments contracts is shown below:

	Group	Company
	31-Dec-11	31-Dec-11
	N'000	N'000
Bal per N-GAAP	839	–
Reclassification of interest income on deposit administration fund to investment income	(4,775)	–
Reclassification of guaranteed interest on deposit administration fund to investment income	2,775	–
Reclassification to other operating expense	1,161	–
Bal per IFRS	–	–

(a), (d) Net claims expenses

	Group	Company
	31-Dec-11	31-Dec-11
	N'000	N'000
Bal per N-GAAP	658,931	562,552
Reclassification of claims incurred recognised in revenue account under SAS	563,868	–
Recognition of additional IBNR on insurance contracts per actuarial valuation	87,979	(6,960)
Recognition of reinsurance recoverables on insurance contract liabilities	33,527	33,527
Bal per IFRS	**1,344,305**	**589,119**

(a),(e) Underwriting expenses

	Group	Company
	31-Dec-11	31-Dec-11
	N'000	N'000
Bal per N-GAAP	847,229	753,246
Reclassification of maintenance previously recognised in revenue account as underwriting expenses	159,186	–
Recognition of actuarial position on deferred acquisition expenses	(13,726)	(13,726)
Bal per IFRS	**992,689**	**739,520**

(f) Other operating income

Adjustments were made to reclassify rental income and profit on disposal of investment property from other operating income to investment income. Adjustments were also made to reclassify interest income on staff loans from investment income to other operating income. This is analysed as follows:

	Group	Company
	31-Dec-11	31-Dec-11
	N'000	N'000
Bal per N-GAAP	263,033	145,446
Reclassification to investment income – rental income	(52,190)	(7,858)
Reclassification to investment income – profit on disposal of investment property	(76,838)	(35,770)
Reclassification from investment income – interest income on staff loans	14,939	11,163
Additional interest income on policy loans	3,346	–
Bal per IFRS	**152,290**	**112,981**

(g) Investment income

Under Nigerian GAAP, interest income is recognised in accordance with the terms of the related investment security on an accrual basis. Under IFRSs, interest income is recognised in the statement of profit or loss and other comprehensive income using the effective interest rate. The effective interest rate is the rate that exactly discounts the estimated future cash payments and receipts through the expected life of the financial asset (or, where appropriate, a shorter period) to the carrying amount of the financial asset. The effective interest rate is established on initial recognition of the financial asset. The calculation of the effective interest rate includes all fees and points paid or received, transaction costs, and discounts or premiums that are an integral part of the effective interest rate.

The material change witnessed in this regard is attributable to interest income on debt securities held to maturity (treasury bills and bonds) and interest income on staff loans. Also adjustments were made to reclassify rental income and profit on disposal of investment property from investment income to other operating income.

The impact arising from the adoption of IFRS is summarised as follows:

	Group	Company
	31-Dec-11	31-Dec-11
	N'000	N'000
Bal per N-GAAP	619,300	491,159
Adjustment to state HTM treasury bills at amortised cost	4,881	4,881
Adjustment to state cash and cash equivalents at amortised cost	1,406	496
Adjustment to state HTM government bonds at amortised cost	(6,206)	(6,120)
Reclassification to net realised gains/(loss) on financial assets (see (i) below)	26,155	(4,454)
Reclassification of interest income from profit on deposit administration fund	4,775	–
Reclassification of guaranteed interest on deposit administration fund – investment income	(2,775)	–
Reclassification from other operating income – rental income	52,210	7,858
Reclassification from other operating income disposal of investment property	76,838	35,770
Transfer from revenue account	46,768	–
Bal per IFRS	**823,352**	**529,590**

(i) Net realised gains/(losses) on financial assets

Under NGAAP, profit on disposal of unquoted and quoted securities is recognised as part of investment income. IFRS requires the realised gain or loss on trading equity securities to be disclosed in the financial statements. Adjustments were made to reclassify realised gains or losses on trading equities from investment income to net realised gains/(losses) on equity securities for IFRS presentation purposes. See analysis below:

	Group	Company
	31-Dec-11	31-Dec-11
	N'000	N'000
Bal per N-GAAP	–	–
Realised gain on sale of equity securities	4,783	4,783
Realised loss on sale of equity securities	(30,938)	(329)
Bal per IFRS	**(26,155)**	**4,454**

(h) Management expenses

	Group	Company
	31-Dec-11	31-Dec-11
	N'000	N'000
Bal per N-GAAP	1,251,332	991,420
Reclassification to employee benefit expenses (see (i) below)	(743,378)	(409,458)
Reclassification to other operating expenses	(507,954)	(581,962)
Bal per IFRS	–	–

(i) Employee benefit expenses

Employee benefits expenses presented as part management expenses under NGAAP were reclassified to employee benefit expense under IFRS. In addition, under NGAAP, staff loans are carried at cost plus the accrued interest using the contractual rate. Under IFRS, loans granted to employees at a rate below the market interest rate are fair valued at initial recognition and interest income is subsequently recognised at relevant market rate. The difference between the fair value of the loan at initial recognition and loan amount granted is recognised as prepaid employee benefit and amortised over the tenor of the loan using effective interest method. The annual amortisation of such prepaid employee benefit is presented as part of employee benefit expense. See details below:

	Group	Company
	31-Dec-11	31-Dec-11
	N'000	N'000
Bal per N-GAAP	–	–
Reclassification from management expenses	743,378	519,390
Amortisation of prepayment – employee benefit	20,368	18,694
Bal per IFRS	**763,746**	**538,084**

(ii) Net fair value loss on assets at fair value through profit or loss

Under NGAAP, the Group's quoted equities are measured at the lower of cost and net realisable value. The excess of cost over the net realisable value is recognised in management expenses under the Nigerian GAAP. Under IFRS, the excess has been recognised as net fair value loss in the statement of profit or loss and other comprehensive income for assets held at fair value through profit or loss. In addition, revaluation gain on investment property was recognised in the revaluation reserve under Nigerian GAAP. Under IFRS, the fair value changes in the investment property are recognised in the statement of profit or loss and other comprehensive income. See the table below for analysis:

	Group	Company
	31-Dec-11	31-Dec-11
	N'000	N'000
Bal per N-GAAP	–	–
Net fair value loss on financial assets at fair value through profit or loss recognised as other operating expenses in NGAAP	(164,842)	(109,932)
Fair value gains/(loss) on investment property	66,197	38,031
Bal per IFRS	**(98,645)**	**(71,901)**

(i) Provision for receivables and investments

	Group	Company
	31-Dec-11	31-Dec-11
	N'000	N'000
Bal per N-GAAP	998,329	729,138
Reclassification to other operating expenses	(998,329)	(729,138)
Bal per IFRS	–	–

(h), (i) Other operating expenses

This comprises of operating expense, impairment loss on trade receivables and impairment loss on other receivables. Under IFRS, the fair value change on financial assets were reclassified from other operating expense to net fair value gains/(loss) on financial assets at fair value through profit or loss. The reclassifications and adjustments are analysed below:

	Group	Company
	31-Dec-11	31-Dec-11
	N'000	N'000
Bal per N-GAAP	–	–
Reclassification from management expenses	507,954	472,030
Reclassification from provision for receivables and investments	998,329	729,138
Net impairment loss on trade receivables	(129,410)	(173,162)
Reclassification to net fair value loss on financial assets at fair value through profit or loss	(164,842)	(109,932)
Reclassification from profit on deposit administration fund	1,161	–
Transfer from revenue account	216,068	–
Depreciation expense on leasehold land	384	384
Reversal of excess depreciation expense on building	(325)	(325)
Reversal of excess depreciation expense on leasehold land	(471)	–
Impairment loss on staff loans – mortgage loans	526	–
Other adjustments not arising from IFRS adoption	24,739	–
Bal per IFRS	1,454,113	918,133

(j) Income tax expense

Under NGAAP, deferred tax impact of revaluation surplus on investment property is recognised in equity. Under IFRS, the fair value changes and deferred tax impact are recognised directly in the statement of profit or loss and other comprehensive income.

	Group	Company
	31-Dec-11	31-Dec-11
	N'000	N'000
Bal per N-GAAP	(232,090)	(123,635)
Recognition of deferred tax expense on investment property	(3,803)	(3,803)
Bal per IFRS	(235,893)	(127,438)

Value Added Statement
For the year ended 31 December 2012

Group		2012		2011	
		N'000	%	N'000	%
Net premium written	– Nigeria	2,804,241		3,537,388	
	– Foreign	708,679		625,036	
Investment income	– Nigeria	1,166,402		778,817	
	– Foreign	59,125		44,535	
Other income	– Nigeria	108,716		20,470	
	– Foreign	14,610		7,020	
Claims incurred, net commissions and operating expenses	– Nigeria	(2,964,749)		(3,041,450)	
	– Foreign	(640,432)		(496,425)	
Value added		1,256,592	100	1,475,391	100
Applied to pay					
Employee benefit expense		560,490	45	763,746	52
Government taxes		169,353	13	235,893	16
Retained in the business:					
Depreciation of property and equipment		122,909	10	112,601	8
Amortisation of intangible assets		20,808	2	17,400	1
To augment contingency reserve		113,138	9	132,184	9
(Deplete)/augment reserves		269,894	21	213,567	14
Value added		1,256,592	100	1,475,391	100

Company	2012		2011	
	N'000	%	N'000	%
Net premium written	1,724,384		2,539,018	
Investment income	745,100		529,590	
Other income	82,250		45,534	
Claims incurred, net commissions and operating	(1,673,864)		(2,079,792)	
Value added	877,870	100	1,034,350	100
Applied to pay				
Employee benefit expense	396,160	45	538,084	52
Government taxes	142,627	16	127,438	12
Retained in the business:				
Depreciation of property and equipment	84,195	10	69,742	7
Depreciation of intangible assets	14,055	2	11,399	1
Contingency reserve	76,692	9	94,826	9
(Deplete)/augment reserves	164,141	19	192,861	19
Value added	877,870	100	1,034,350	100

Financial summary
Group
Statement of Financial Position

	IFRS		
	Dec 2012	Dec 2011	Jan 1 2011
	N'000	N'000	N'000
Assets			
Cash and cash equivalents	**4,068,517**	3,895,663	5,292,507
Financial assets	**5,043,368**	3,972,134	1,915,796
Trade receivables	**667,365**	630,000	778,438
Reinsurance assets	**474,394**	142,717	97,919
Deferred acquisition cost	**175,788**	192,239	177,679
Other receivables and prepayments	**642,027**	759,098	658,768
Investment in subsidiaries	**–**	–	–
Investment property	**264,334**	1,067,072	1,153,846
Deferred tax asset	**100,116**	26,101	10,592
Intangible assets	**65,695**	56,819	68,378
Property and equipment	**659,532**	597,573	581,577
Statutory deposit	**517,619**	605,207	590,170
Total Assets	**12,678,755**	11,944,623	11,325,670
Equity and Liabilities			
Equity attributable to owners of the parent			
Share capital	**2,530,902**	2,530,902	2,530,902
Share premium	**5,240,627**	5,240,627	5,240,627
Contingency reserves	**1,189,986**	1,076,848	944,664
Other reserves	**85,127**	120,805	106,406
Retained earnings	**(1,423,165)**	(1,693,059)	(1,906,626)
Total Equity	**7,623,477**	7,276,123	6,915,973
Liabilities			
Insurance contract liabilities	**3,545,872**	3,439,325	3,138,664
Investment contract liabilities	**65,591**	63,432	79,136
Trade payables	**492,509**	164,014	325,693
Provisions and other payables	**360,710**	527,295	457,698
Deferred income tax	**175,787**	87,365	86,587
Current income tax liabilities	**414,809**	387,069	321,919
Total Liabilities	**5,055,278**	4,668,500	4,409,697
Total Liabilities and Equity	**12,678,755**	11,944,623	11,325,670

Statement of Profit or Loss and Other Comprehensive Income

	Dec 2012	Dec 2011
	N'000	N'000
Gross premium written	**4,178,285**	5,033,358
Net underwriting income	**3,640,120**	4,285,655
Total underwriting expenses	**2,204,925**	2,242,055
Total underwriting profit	**1,435,195**	2,043,600
Total investment income	**1,348,853**	850,842
Net income	**2,784,048**	2,894,442
Expenses	**2,231,663**	2,193,120
Profit before tax	**552,385**	701,322
Income tax expense	**169,353**	235,893
Profit after tax	**383,032**	465,429
Revaluation gain on property and equipment	**87,738**	–
Foreign currency translation difference of foreign operations	**(54,048)**	14,399
Total comprehensive income for the year	**416,722**	479,828
Earnings/(Loss) per share (basic)	**8**	9
Earnings/(Loss) per share (adjusted)	**8**	9

Financial summary
Group
Statement of Financial Position (continued)

	Nigerian GAAP	
	Dec 2009	Dec 2008
	N'000	N'000
Cash and bank balances	287,511	6,898,784
Short-term investments	6,110,947	–
Premium debtors	1,216,799	2,274,836
Other receivables	1,295,735	820,285
Loan to policyholders	16,580	16,961
Deferred acquisition cost	187,061	365,603
Long-term investments	208,974	753,356
Investment in subsidiaries	–	127,850
Investment properties	634,560	200,000
Statutory deposit	562,782	500,000
Property and equipment	523,241	435,322
Intangible assets	–	–
Deferred tax asset	1,333,265	544,766
	12,377,455	12,937,763
Capital and Reserves		
Share capital	2,530,902	2,530,902
Share premium	5,240,627	5,240,627
Contingency reserve	805,911	471,993
Revaluation reserve	81,631	106,406
Retained earnings	(616,377)	315,982
Shareholders' Fund	8,042,694	8,665,910
Liabilities		
Due to reinsurers and brokers	158,004	41,174
Other payables	496,784	515,766
Taxation payable	1,133,748	754,986
Insurance funds	2,244,760	2,667,227
Outstanding claims	191,556	187,339
Deposit administration	109,909	105,361
Total Liabilities	4,334,761	4,271,853
Total Liabilities and Equity	12,377,455	12,937,763

	Dec 2010	Dec 2009	Dec 2008
	N'000	N'000	N'000
Gross written premium	3,269,207	4,724,976	7,087,258
Net written premium	2,907,306	4,686,238	5,473,108
(Loss)/profit before tax	269,290	(576,055)	(15,139)
Tax	(856,947)	188,513	196,721
(Loss)/profit after tax	(587,657)	(387,542)	181,582
(Loss)/earnings per share (kobo)	(12)	(8)	4

The summarised statement of financial position of 31 December 2009 and 2008 and the statement of profit or loss and other comprehensive income for the years 2010, 2009 and 2008 were prepared on a different financial reporting framework (Nigerian GAAP) and are therefore not directly comparable with the other financial information presented.

Financial summary
Company
Statement of Financial Position

	IFRS		
	Dec 2012	Dec 2011	Jan 1 2011
	N'000	N'000	N'000
Assets			
Cash and cash equivalents	**2,671,903**	1,938,389	3,553,103
Financial assets	**2,384,345**	3,076,543	1,132,438
Trade receivables	**231,422**	276,724	566,645
Reinsurance assets	**286,791**	73,317	97,919
Deferred acquisition cost	**110,639**	130,255	136,252
Other receivables and prepayments	**647,172**	507,941	636,692
Investment in subsidiaries	**2,705,576**	2,455,576	2,405,576
Investment property	**182,667**	446,000	528,699
Deferred tax asset	**–**	–	–
Intangible assets	**53,316**	37,687	41,364
Property and equipment	**361,731**	333,590	306,148
Statutory deposit	**300,000**	300,000	300,000
Total Assets	**9,935,562**	9,576,022	9,704,836
Equity and Liabilities			
Equity attributable to owners of the parent			
Share capital	**2,530,902**	2,530,902	2,530,902
Share premium	**5,240,627**	5,240,627	5,240,627
Contingency reserves	**1,040,912**	964,220	869,394
Other reserves	**97,315**	106,406	106,406
Retained earnings	**(1,179,973)**	(1,344,114)	(1,536,975)
Total Equity	**7,729,783**	7,498,041	7,210,354
Liabilities			
Insurance contract liabilities	**1,373,644**	1,403,456	1,558,656
Investment contract liabilities	**–**	–	–
Trade payables	**231,036**	117,770	320,851
Provisions and other payables	**256,967**	262,270	290,879
Deferred income tax	**124,175**	63,554	59,036
Current income tax liabilities	**219,957**	230,931	265,060
Total Liabilities	**2,205,779**	2,077,981	2,494,482
Total Liabilities and Equity	**9,935,562**	9,576,022	9,704,836

Statement of Profit or Loss and Other Comprehensive Income

	Dec 2012	Dec 2011
	N'000	N'000
Gross premium written	**2,232,122**	3,160,853
Net underwriting income	**1,845,446**	2,624,857
Total underwriting expenses	**(971,107)**	(1,328,639)
Total underwriting profit	**874,339**	1,296,218
Total investment income	**827,350**	575,124
Net income	**1,701,689**	1,871,342
Expenses	**(1,318,229)**	(1,456,217)
Profit before tax	**383,460**	415,125
Income tax expense	**(142,627)**	(127,438)
Profit after tax	**240,833**	287,687
Revaluation gain on property and equipment	**87,738**	–
Foreign currency translation difference of foreign operations	**–**	–
Total comprehensive income for the year	**328,571**	287,687
Earnings/(Loss) per share (basic)	**5**	6
Earnings/(Loss) per share (adjusted)	**5**	6

	Nigerian GAAP	
	Dec 2009	Dec 2008
	N'000	N'000
Cash and bank balances	166,846	170,087
Short-term Investments	4,258,818	5,355,457
Premium debtors	855,613	1,831,662
Other receivables	789,956	623,144
Loan to policyholders	–	–
Deferred acquisition cost	187,061	365,603
Long-term investments	2,994	2,994
Investment in subsidiaries	2,405,576	2,327,850
Investment properties	474,560	200,000
Statutory deposit	300,000	300,000
Property and equipment	412,183	390,700
Intangible assets	–	–
Deferred tax asset	1,333,265	544,766
	11,186,872	**12,112,263**
Capital and Reserves		
Share capital	2,530,902	2,530,902
Share premium	5,240,627	5,240,627
Contingency reserve	762,030	442,094
Revaluation reserve	106,406	106,406
Retained earnings	(327,363)	177,327
	8,312,602	**8,497,356**
Liabilities		
Due to reinsurers and brokers	127,592	41,174
Other payables	376,819	486,409
Taxation payable	1,090,739	734,534
Insurance funds	1,097,691	2,165,451
Outstanding claims	181,429	187,339
Deposit administration	–	–
Total Liabilities	**2,874,270**	**3,614,907**
Total Liabilities and Equity	**11,186,872**	**12,112,263**

	Dec 2010	Dec 2009	Dec 2008
	N'000	N'000	N'000
Gross written premium	**3,269,207**	**4,522,653**	**6,141,861**
Net written premium	**2,673,960**	**4,581,046**	**4,527,710**
(Loss)/profit before tax	206,718	(395,824)	(109,847)
Tax	(812,109)	211,070	212,324
(Loss)/profit after tax	**(605,391)**	**(184,754)**	**102,477**
(Loss)/earnings per share (kobo)	**(12)**	**(4)**	**2**

The summarised statement of financial position of 31 December 2009 and 2008 and the statement of profit or loss and other comprehensive income for the years 2010, 2009 and 2008 were prepared on a different financial reporting framework (Nigerian GAAP) and are therefore not directly comparable with the other financial information presented.

Schedule of Products and Services

Wapic Life Assurance Limited

1. Golden Years Plan
2. Trust Assurance Plan
3. Cash Accumulator Plan
4. I-Val Plan
5. Wealth Accumulator Plan
6. Money Back Plan
7. Education Guard Plan
8. Group Life Plan
9. Mortgage And Credit Life Assurance Plan
10. Term Life And Variants
11. Endowment And Whole Life
12. Universal And Variable Life
13. Annuity

Wapic Insurance (Ghana) Limited

A. Motor Insurance
   (a) Comprehensive
   (b) Third Party, Fire & Theft
   (c) Third Party Only
   (d) Act
   (e) Special Vehicles
   (f) Motor Trade

B. Fire & Special Perils

C. Engineering Insurance
   (a) Plant All Risks
   (b) Contractors All Risk
   (c) Erection All Risks
   (d) Machinery Breakdown

D. Liabilities Insurance
   (a) Product Liability
   (b) Public Liability
   (c) Employers' Liability
   (d) Hotel & Occupiers' Liability

E. General Accident Insurance
   (a) Burglary
   (b) Personal Accident
   (c) Group Personal Accident
   (d) Workmen Compensation
   (e) Householders/House owners
   (f) Fidelity Guarantees
   (g) Asset All Risks
   (h) Bankers' Indemnity
   (i) Computer All Risks

F. Marine Insurance
   (a) Hull
   (b) Cargo

G. Aviation

Wapic Insurance Plc

A. Motor Insurance
- (a) Private Motor
- (b) Commercial Vehicles
- (c) Motor Trade
- (d) Motor Cycle

B. General Accident
- (a) Burglary And House Breaking
- (b) House Holders
- (c) Public Liability
- (d) Personal Liability
- (e) Products Liability
- (f) Employers' Liability
- (g) Money Insurance
- (h) Fidelity Guarantee
- (i) Goods In Transit
- (j) All Risks
- (k) Personal Accident
- (l) Group Personal Accident
- (m) Professional Indemnity
- (n) Hotel Occupiers' Liability
- (o) Travel Insurance

C. Fire And Special Perils
- (a) Fire And Special Perils
- (b) Consequential Loss/Business Interruption Insurance

D. Engineering/Contractors' All Risks
- (a) Erection All Risks
- (b) Machinery Breakdown
- (c) Consequential Loss Following Machinery Breakdown
- (d) Plant All Risks
- (e) Contractors' All Risk
- (f) Electronics Equipment/Computer Risks
- (g) Consequential Loss Following Electronic Equipment/ Computer Breakdown

E. Marine
- (a) Marine Cargo
- (b) Marine Hull

F. Aviation
- (a) Aviation Cargo
- (b) Aviation Hull

G. Oil And Gas
- (a) On Shore-(Upstream)
- (b) Off Shore-(Downstream)

H. Communication Satellite
- (a) Satellite Launch
- (b) In-Orbit Insurance

I. Agricultural Insurance
- (a) Livestock
- (b) Farm Products

J. Single Premium Multiple Covers policy

Corporate Directory

Wapic Branches

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Our Subsidiaries

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Accra
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Our Zonal Offices

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Access Bank Regional Office
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Access Bank Building
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Gidangoldie
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wapic

A subsidiary of Access Bank Plc

WAPIC INSURANCE PLC RC 1647

NOTICE OF ANNUAL GENERAL MEETING

NOTICE IS HEREBY GIVEN that the 54th Annual General Meeting of members of WAPIC INSURANCE PLC will hold at Latana Hall, Eko Hotel & Suites, Adetokunbo Ademola Street, Victoria Island, Lagos, on Thursday, August 22, 2013 at 11:00a.m to consider and if thought fit pass the following as ordinary resolutions:

A. ORDINARY BUSINESS

1. To receive the Audited Financial Statements for the year ended December 31, 2012 and the Reports of the Directors, Auditors and Audit Committee thereon;

2. To re-elect Mr. Aigboje Aig-Imoukhuede CON as a Non-Executive Director;

3. To re-elect Mrs. Ojini Olaghere as a Non-Executive Director;

4. To re-elect Mr. Victor Etuokwu as a Non-Executive Director;

5. To elect Mr. Adamu Mahmoud Atta, who was appointed a Non-Executive Director by the Board since the last Annual General Meeting;

6. To elect Mrs. Titilayo Osuntoki, who was appointed an Independent Non-Executive Director by the Board since the last Annual General Meeting;

7. To elect Mr. Bababode Osunkoya, who was appointed an Independent Non-Executive Director by the Board since the last Annual General Meeting;

8. To authorize the Directors to fix the remuneration of the Auditors;

9. To elect/re-elect members of the Audit Committee.

B. SPECIAL BUSINESS

To consider and if thought fit pass the following resolutions as Ordinary Resolutions:

10. That the Directors' Fees for the financial year ending December 31, 2013 be and is hereby fixed at N4,000,000.00 (Four Million Naira only)

11. That in compliance with Article 5.07 (iv) of the National Insurance Commission Code of Good Corporate Governance for the Insurance Industry in Nigeria, Accenture Limited be and is hereby appointed as an external consultant to conduct the Annual Board Performance Appraisal for the financial year ending December 31, 2013

PROXY

A member entitled to attend and vote at the Annual General Meeting is entitled to appoint a proxy to attend and vote in his/her stead. A proxy form is attached to the Notice and it is valid for the purpose of the meeting. All instruments of proxy should be duly stamped at the Stamp Duties Office and deposited at the office of the Registrars, United Securities Limited, No. 10, Amodu Ojikutu Street, Victoria Island, Lagos, not later than 48 hours prior to the time of the meeting.

Dated this 30th Day of July 2013.

BY ORDER OF THE BOARD

.....

Mary Agha
Company Secretary
50, Awolowo Road
Ikoyi
Lagos

NOTES

Closure of Register of Members

The Register of Members and Transfer Books of the Company will be closed on August 14, 2013 to enable the Registrar prepare the register of shareholders eligible to attend and vote at the meeting.

Audit Committee

The Audit Committee consists of 3 shareholders and 3 Directors. In accordance with S.359(5) of the Companies and Allied Matters Act, 2004, any member may nominate a shareholder for election as a member of the Audit Committee by giving notice in writing of such nomination to the Company Secretary at least 21 days before the Annual General Meeting.

Biographical Details of Directors for Election or Re-election

Biographical details of directors standing for election or re-election are provided in the Annual Report.

Directors Fees

In line with Access Bank's Group practice, the Directors on the Board who are executives of Access Bank Plc are not eligible for Directors fees. The Board of Directors presently comprises of ten (10) Directors. Four (4) of the Directors, including the Chairman are executives of Access Bank Plc..

Explanatory Notes to the Proposed Resolutions

The Notes below provide explanations to the proposed resolutions.

Resolutions 1-11 are being proposed as ordinary resolutions. This means that for each of the resolutions to be passed, a simple majority of votes in favour of the resolution is required. Please note that if you abstain from voting you will not be counted in the calculation of the proportion of votes 'for' or 'against' a resolution.

Resolution 1: Annual Report and Accounts

The Directors are required under Section 345 (1) of the Companies and Allied Matters Act 1990 to lay before the Company in General Meeting for each financial year, copies of the financial statements of the Company made up to a date not exceeding nine months previous to the date of the meeting.

Resolutions 2 – 7: Election and Re-election of Directors

Your Company's Articles of Association require one-third of all Non-Executive Directors (rounded down) to stand for re-election every year (depending on their tenure on the Board) together with Directors appointed by the Board since the last Annual General Meeting (AGM). In keeping with this requirement, Messrs Aigboje Aig-Imoukhuede, Victor Etuokwu and Mrs. Ojini Olaghere will retire at this AGM and, being eligible for re-election, will submit themselves for re-election. It is hereby confirmed that following a formal evaluation, their performance continues to be effective and that they continue to demonstrate commitment to their roles as Non-Executive Directors.

The Board, pursuant to the powers vested in it by the Articles of Association, has appointed the following Non-Executive Directors subject to all regulatory and Shareholders' approvals:

i. Mrs. Titilola Osuntoki
ii. Mr. Bababode Osunkoya
iii. Mr. Adamu Atta

Their appointments will be tabled before the Shareholders at the AGM for approval.

The Board considers all the Directors submitting themselves for election and re-election as highly experienced and having a good understanding of the financial services industry. Given their experience and background, the Board believes that they will continue to make valuable contributions to the Company.

The biographical details of each Director standing for election or re-election are set out below. The Board recommends that these Directors should be elected or re-elected to maintain the appropriate balance of skill, knowledge and experience on the Board.

Mr. Aigboje Aig-Imoukhuede CON – Non-Executive Director

Mr. Aig-Imoukhuede is the Chairman of the Company and the Group Managing Director/CEO of Access Bank Plc. His banking career spans over two decades. He spent over 10 years at Guaranty Trust Bank Plc. (GT Bank) and resigned in 2001 to lead a dynamic team of accomplished bankers as the Managing Director/Chief Executive Officer of Access Bank Plc. with the mandate to transform the bank into a world-class financial services provider. His visionary leadership has inspired Access Bank's rapid and unprecedented growth over the past decade which has seen the Bank rank amongst the top four banks in Nigeria. He has received numerous awards such as the prestigious African Banker of the Year Award by IC Publications, publishers of the African Banker Magazine, as well as the "2011 Ernst & Young West Africa Entrepreneur of The Year" award.

Mr. Aig-Imoukhuede has served the nation in various capacities where his insight and contributions have facilitated the achievement of set goals. This includes his current membership in the National Economic Management Team. In recognition of his contributions to the development of the Nigerian economy, he was awarded the prestigious National Honour Commander of the Order of the Niger.

An alumnus of Harvard Business School Executive Management Programme, Mr. Aig-Imoukhuede holds LLB and BL degrees from the University of Benin and the Nigerian Law School respectively. He is an honorary fellow of the Chartered Institute of Bankers of Nigeria

He is aged 46 as at the date of this AGM.

Mr. Victor Etuokwu – Non-Executive Director

Mr. Victor Etuokwu is an Executive Director in Access Bank Plc. He has about 20 years' banking experience cutting across banking operations and information technology, internal control, general administration, retail banking, business acquisition and integration.

He joined Access Bank in July 2003 from Citibank Nigeria and was promoted to General Manager in February 2008. He has served the Bank in different capacities, leading several successful and critically important projects across the Bank. The latest of such projects was the acquisition of controlling equity interest in Intercontinental Bank Plc and the subsequent merger of both banks.

Mr. Etuokwu holds a Bachelor of Science Degree and Masters of Business Administration degree from the University of Ibadan and University of Benin respectively. He is a Senior Honorary member of the Chartered Institute of Bankers of Nigeria.

He is aged 46 as at the date of this AGM.

Mrs. Ojini Olaghere – Non-Executive Director

Mrs. Ojini Olaghere is the Chairperson of the Board Finance and General Purpose Committee. She is currently the Group Head, General Resource Management, Access Bank Plc.

Mrs. Olaghere worked as an auditor with Coopers & Lybrand Associates (now PricewaterhouseCoopers) before joining the Banking Industry. She started her banking career in 1991 with Ecobank Nigeria Plc. and has since garnered cognate experience in many key banking functions including Retail Banking, Commercial Banking, Branch Services and General Resource Management.

She holds a B.Sc. Degree (1984) in French from University of Nigeria Nsukka and is a Fellow of the Institute of Chartered Accountants of Nigeria. She is also an Honorary Senior Member of the Chartered Institute of Bankers (HCIB).

She is aged 50 as at the date of this AGM.

Mrs. Titilayo Osuntoki – Independent Non-Executive Director

Titi Osuntoki is a consummate banker who possesses over two decades of cognate experience across various fields in the financial services industry including Marketing, Treasury, Currency Trading, Corporate Finance, Financial Control, Risk Management, and Strategic Planning. She is currently the Chief Executive Officer of GTO Professional Services Limited, a business consultancy outfit based in Lagos. Prior to this, she was an Executive Director at Guaranty Trust Bank Plc (GTBank) from 2008 till October 2011. In that role, she had direct responsibility for all marketing operations in the Lagos Division as well as strategy formulation at GTBank.

Mrs. Osuntoki is a member of the Non-Oil/Non-Agricultural Policy Commission of the Nigerian Economic Summit Group. She has served as Director of a number of notable companies within and outside Nigeria such as Guaranty Trust Bank (Sierra Leone) Limited; FITC Limited; Patrick Speech and Languages Centre Limited, and the CRC (Credit Bureau) Limited. She was a member of the Governing Board of Massey Street Children Hospital, Lagos between 2008 and 2011.

Mrs. Osuntoki holds a B.Sc. degree in Civil Engineering and an MBA from the University of Lagos, Nigeria. She has attended various executive management programs in Harvard Business School, USA; Stanford Graduate School of Business, USA; INSEAD, France; IMD, Switzerland etc. She is an alumnus of the Cranfield University School of Management, UK.

She is aged 46 as at the date of this AGM.

Mr. Bababode Osunkoya – Independent Non-Executive Director

Mr. Bode Osunkoya is a Chartered Accountant with over two decades of cognate post-qualification experience in Banking, Audit, Accountancy, Taxation, Business and Financial Advisory Services. Bababode commenced his training with the firm of Z. O. Ososanya & Co (Chartered Accountants) where he qualified as a Chartered Accountant in 1986. After some years he moved to Abacus Merchant Bank Limited and thereafter Konsuma Credit Limited, where he honed his financial skills. In 1994, he founded Bababode Osunkoya & Co. (Chartered Accountants), a firm he nurtured until 2008 when he became a partner in Abax-OOSA Professionals, a firm of Chartered Accountants, formed by a merger with three other firms. Bababode served two consecutive tenures as Managing Partner, before reverting to Senior Partner in 2012.

Bababode is a 1984 graduate of the Department of Accounting, University of Lagos. He is a Fellow of the Institute of Chartered Accountants of Nigeria (ICAN), a Fellow of the Chartered Institute of Taxation of Nigeria (CITN), and an Associate Member of the Institute of Directors (IoD). In March, 2010, he became one of the first batches of Certified Forensic Accountants of the Institute of Chartered Accountants of Nigeria. Bode is a member of the Public Practice Monitoring Committee of the Institute of Chartered Accountants of Nigeria.

He is aged 51 as at the date of this AGM.

Mr. Mahmoud Adamu Atta – Non-Executive Director

Mr. Adamu Atta is the Chief Executive, Matad Group Nigeria Ltd, an investment company with operations across Africa. An astute business man with over two decades experience in financial management and consulting, he has developed an enviable portfolio of clients across world-class companies such as Shell, Nigerian National Petroleum Corporation (NNPC), Nigerian Liquefied Natural Gas Company (NLNG), First Bank of Nigeria Plc. and Lafarge Plc. to mention a few.

Mr. Atta is involved in projects for the World Bank, UNICEF, DFID and HYSON mainly in the areas of infrastructure, financial services, capacity building, hospitality and tourism, housing, transportation and logistics. His other interests include textile and garments, cement, food and beverage production. He has also served on various Committees in Oil and Gas and Textile sectors and was a pioneer member of the Nigerian Business Forum

Mr. Adamu Atta holds a B.A. in International Relations and Economics and an MA in Development Economics from the United States International University and University of California. He also holds a Masters in Political Economics from Ahmadu Bello University, Zaria.

He is aged 46 as at the date of this AGM.

The interests of Directors standing for election and re-election in the ordinary shares of the Company as at 31 December, 2012 are as shown below:

Director's Name	Direct Holding	Indirect Holding
Mr. Aigboje Aig-Imoukhuede	–	41,604,636
Mr. Victor Etuokwu	3,558,500	–
Mrs. Ojini Olaghere	5,000,000	–
Mrs. Titilayo Osuntoki	–	–
Mr. Bababode Osunkoya	–	–
Mr. Mahmoud Adamu Atta	–	–

Resolution 8: Approval of Auditors' Remuneration

In accordance with S.361 of the Companies and Allied Matters Act, 1990, you will be required to authorize the Board to fix the remuneration of the auditors of the company – Messrs KPMG Professional Services – that was appointed as External Auditors to the Company at the 52nd AGM.

Resolution 9: Election/Re-election of Members of Audit Committee

In accordance with S.359(5) of the Companies and Allied Matters Act, 1990, any member may nominate a Shareholder for election as a member of the Audit Committee by giving notice in writing of such nomination to the Company Secretary at least 21 days before the AGM. Members will be required to vote at the AGM to elect or re-elect members of the Company's Shareholders Audit Committee.

Resolution 10: Approval of Directors' Fees

Your Company is required by law to seek the approval for the annual fees payable to the Non-Executive Directors. Shareholders will therefore be required to approve annual fees of N4,000,000.00 (four million Naira) for the Non-Executive Directors for the 2013 financial year. The commitments and responsibilities of the Non-Executive Directors have expanded considerably as regulatory requirements for insurance companies have grown and the expectations of Non-Executive Directors have correspondingly increased. Non-Executive Directors' fees are regularly reviewed and assessed against other comparable companies. The approval of Shareholders is being sought for the annual fees for each Non-Executive Director and the Chairman to be increased to N1,000,000.00 and N1,500,000.00 respectively with effect from January 1, 2013. Having considered comprehensive data it is clear that the current annual fees of N300,000.00 and N375,000.00 for each Non-Executive Director and Chairman respectively is below the level now being paid in comparable and indeed smaller companies.

Resolution 11: Appointment of Accenture to carry out annual evaluation of the Board and Directors

The NAICOM Code of Good Corporate Governance for the Insurance Industry in Nigeria provides that there shall be annual Board performance appraisal to be carried out by an external consultant appointed by the Shareholders. Based on their expertise in this area, the Company is desirous of appointing Accenture to carry out a Board performance appraisal for the 2013 financial year. Accenture is a global management consulting, technology services and outsourcing company. It is the premier consulting firm in Nigeria with vast experience in the area of corporate governance, mergers and acquisitions, business and technology strategy/execution. Their clients amongst others include major banks and other financial service providers as well as their regulators.

Shareholder Information Update Form

wapic
A subsidiary of Access Bank Plc
RC 1647

I/We wish to request that my/our details as (a) Shareholder(s) of Wapic Insurance Plc be amended to reflect the following information:

DATE DD/MM/YYYY

SURNAME/NAME OF COMPANY

PHONE NUMBER

OTHER NAMES (FOR INDIVIDUAL SHAREHOLDER)

PRESENT POSTAL ADDRESS

CITY

STATE

EMAIL ADDRESS 1

EMAIL ADDRESS 2

SHAREHOLDER'S SIGNATURE OR THUMBPRINT

SHAREHOLDER'S SIGNATURE OR THUMBPRINT

AUTHORISED SIGNATURE & BANKER'S STAMP

INCORPORATION NUMBER WITH COMPANY SEAL

The completed form should be returned by post, or hand-delivered to the office of the Registrar, United Securities Limited, 10, Amodu Ojikutu Street, Victoria Island, PMB 12753, Lagos. T: 01-730 0898, 01-714566 – 7 F: 01-2714568 E: info@unitedsecuritieslimited.com or to the nearest Wapic Insurance Plc branch closest to the Shareholder, c/o Investor Relations Unit. Scanned copies of the form are not acceptable as only originals will be processed.

Proxy Form

wapic
A subsidiary of Access Bank Plc
RC 1647

54th ANNUAL GENERAL MEETING to be held at Latana Hall Eko Hotel & Suites, Adetokunbo Ademola Street, Victoria Island, Lagos on August 22, 2013 at 11a.m.

I/We _____

(Name of Shareholder in block letters)

Being a member/(s) of the above named Company hereby appoint Mr. Aigboje Aig-Imoukhuede or failing him Mr. Segun Balogun as my/our proxy to vote for me/us and on my/our behalf at the 54th Annual General Meeting of the Company to be held on 22nd day of August 2013 and at any adjournment thereof. Unless otherwise instructed, the Proxy will vote or abstain from voting as he/she thinks fit.

SIGNATURE OF SHAREHOLDER

DATE DD/MM/YYYY

ORDINARY RESOLUTIONS	FOR	AGAINST	ABSTAIN
1 To receive the Audited Financial Statements for the year ended December 31, 2012 and the Reports of the Directors, Auditors and Audit Committee thereon.			
2 To re-elect Mr. Aigboje Aig-Imoukhuede CON as a Non-Executive Director.			
3 To re-elect Mrs. Ojini Olaghere as a Non-Executive Director.			
4 To re-elect Mr. Victor Etuokwu as a Non-Executive Director.			
5 To elect Mr. Adamu Mahmoud Atta, who was appointed a Non-Executive Director by the Board since the last Annual General Meeting.			
6 To elect Mrs. Titilayo Osuntoki, who was appointed an Independent Non-Executive Director by the Board since the last Annual General Meeting.			
7 To elect Mr. Bababode Osunkoya, who was appointed an Independent Non-Executive Director by the Board since the last Annual General Meeting.			
8 To authorize the Directors to fix the remuneration of the Auditors.			
9 To elect/re-elect members of the Audit Committee.			
ORDINARY RESOLUTIONS	**FOR**	**AGAINST**	**ABSTAIN**
10 That the Directors' Fees for the financial year ending December 31, 2013 be and is hereby fixed at N4,000,000.00 (Four Million Naira only).			
11 That in compliance with Article 5.07 (iv) of the National Insurance Commission Code of Good Corporate Governance for the Insurance Industry in Nigeria, Accenture Limited be and is hereby appointed as an external consultant to conduct the Annual Board Performance Appraisal for the financial year ending December 31, 2013.			

IMPORTANT NOTES:

1. Before posting the above proxy, please tear off this part and retain it. A person attending the Annual General meeting of the Company should produce this card to secure admission to the meeting.
2. A member of the Company is entitled to attend and vote at the Annual General Meeting of the Company. He is also entitled to appoint a proxy to attend and vote instead of him, and in this case, the above card may be used to appoint a proxy.
3. In line with best practice, the name of two Directors of the Company have been entered on the proxy form to ensure that someone will be at the meeting to act as your proxy, but if you wish, you may insert in the black space on the form (marked*) the name of any person, whether a member of the Company or not who will attend and vote on your behalf instead of one of the Directors named.
4. The above proxy, when completed must be deposited at the office of United Securities Limited, 10, Amodu Ojikutu Street, Victoria Island, Lagos, not less than 8 hours before the time fixed for the meeting.
5. It is a requirement of the law under the Stamp Duties Act, CAP 58, Laws of the Federation of Nigeria, 2004, that any instrument of proxy to be used for the purpose of voting by any person entitled to vote at any meeting of shareholders must bear a stamp duty.
6. If proxy form is executed by a company, it should be sealed under its common seal or hand and seal of its attorney.

Please indicate by marking 'X' in the appropriate space how you wish your votes to be cast on the resolution(s) set out above, unless otherwise instructed, the proxy will vote or abstain from voting at his/her discretion.

SIGNATURE OF PERSON ATTENDING

BEFORE POSTING THE ABOVE FORM PLEASE TEAR OFF THIS PART AND RETAIN IT FOR ADMISSION TO THE MEETING

Wapic Insurance Plc RC 1647

54TH ANNUAL GENERAL MEETING TO BE HELD AT LATANA HALL EKO HOTEL & SUITES, ADETOKUNBO ADEMOLA STREET, VICTORIA ISLAND, LAGOS ON AUGUST 22, 2013 AT 11A.M

Name and Address of Shareholder .....

Number of Shares Held .....

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